KRN Heat Exch Refrig (KRN)

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Call: Nov 2024

KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
(Formerly Known As KRN Heat Exchanger And Refrigeration Pvt. Ltd.)
Registered & Work Office : Plot No.: F-46,47,48,49, EPIP, RIICO Industrial Area, Neemrana-301705 (RJ)
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Saturday | November 09, 2024

To,
BSE Ltd
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400001, Maharashtra, India
Script Code: 544263 To,
National Stock Exchange of India Limited
Exchange Plaza, C-I Block G, Bandra Kurla Complex,
Bandra (East),
Mumbai-400051, Maharashtra, India
Script Symbol: KRN

Sub : Transcript of earning conference call held on November 06, 2024, for the quarter and half year ended September 30, 2024
Ref: Regulation 30 and 46 of Securities and Exchange Board of India (Listin g Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations')
Dear Sir/Madam,
In furtherance of our letter dated November 06, 2024 informing that the Company has uploaded the audio recording of the conference call and pursuant to Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time, please find enclosed the transcript of the Earning Conference Call held on Wednesday, November 6, 2024 to discuss the operations and financial performance for the quarter and half year ended on September 30, 2024.

The transcript of the earning conference call is also being uploaded on the webs ite of the Company at: https://krnheatexchanger.com/

Kindly take the same on your records.

Thanking you,

For and on behalf of
KRN Heat Exchanger and Refrigeration Limited

Praveen Kumar
Company Secretary and Compliance Officer
ACS: 32631

"KRN Heat Exchanger and Refrigeration Limited Q2 FY-25 Earnings Conference Call"

November 06, 2024

MANAGEMENT : M R. SANTOSH KUMAR YADAV - CMD.
MR. SONU GUPTA – CFO.
MR. PRAVEEN KUMAR - COMPANY SECRETARY

MODERATOR : M R. KAPIL YADAV - DOLAT CAPITAL .

Moderator: Ladies and gentlemen, good day and welcome to the KRN Heat Exchanger and Refrigeration Limited Q2 FY25 Earnings Conference Call hosted by Dolat Cap ital.
As a reminder, all participant lines will be in the li sten only mode, and there will be an opportunity for you to ask questions after the presentation concludes, should you need assistance during this conference please signal an operator by pressing "* " and then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Kapil Yadav from Dolat Capita l. Thank you and over to you, sir.
Kapil Yadav: Thank you Dhavan. Thank you very much. On behalf of Dolat C apital, I welcome all participants on the call and thank the Management of KRN Heat Exchang er and Refrigeration Limited for this opportunity to host this call.
I have with me the senior management of KRN Heat Exchange r Mr. Santosh Kumar Yadav who is the CMD, Mr. Sonu Gupta is the CFO, and Mr. Praveen Ku mar is Company Secretary. With this, I now hand over the conference to the Senior Manageme nt Team of KRN Heat Exchanger. Over to you sir.
Praveen Kumar: Good afternoon to all. It's a pleasure to connect with you all, and we thank you for joining us today for the KRN Heat Exchanger and Refrigeration Limited in our Conference Call to discuss the "Financial Performance" of the Company for the 2nd Qu arter and First Half of the Fiscal Year 2025. We extend warm welcome to each one of you, espe cially considering the recent milestones of our listing.
KRN was founded in 2017 and we have quickly establish ed as a trusted manufacturer and exporter in the HVAC&R industry. We specialize in alu minum and copper tube heat exchangers, water coil, condenser coil and evaporator coils. We serve diverse applications in heating, ventilation, air conditioning and refrigeration. Our current production facility spends over 100,000 square feet, enabling us to produce over 1 billion units annually. Approximately 19% of our output is exported during the Quarter 2 meeting international quality standards of our clients, including industry leaders like Daikin and Schni eder Electric. KRN recently got listed on the NSE and BSE in October 2024 and we are grateful for th e strong market reception. This platform will enable us to pursue further strategic growth. Wi th that, I would like to present our financial performance for the quarter.
To start with, we achieved a significant milestone th is quarter by surpassing Rs.100 crores in standalone revenue, reflecting a 39.41% year-over-year inc rease in total income for Quarter 2.
For Quarter 2 Financial Year '2025 the company reported a consolidated total income of Rs.92.53 crore, making a 28.41% increase from 72.06 crore in Quar ter 2 FY24.

Consolidated EBITDA rose by 36.38% year-over-year to 19.59 crore , resulting in an improved EBITDA margin of 21.7 up by 124 bps. Net profit for the quarter surged 42.98% to 12.37 crore with a net profit margin reaching 13.35% an increase of 1 36 bps. EPS also saw a 34.69 growth reaching Rs.2.64.
For the first half of Financial Year '25 total income was 189.52 crore, up by 16.24%. And net profit increased by 24.93% to 24.34 crore. With EPS ris ing 18.28% to Rs.5.24. On a consolidated

basis, KRN achieved a total income of Rs.100.46 crore in Quarter 2 Financial Year '2025, up by 39.41% from the previous year Quarter 2. Standalone EBITA i ncreased by 33.89% to 19.12 crore though the EBITDA margin slightly decreased by 7 8 bps to 19.03%. Net profit goes by 41.55% to Rs.12.13 crores with a net profit margin of 12.08 % an improvement of 24 bps. The EPS for the quarter grew up by 33.85% reaching Rs.2.61.
For the half year, Financial Year '25 standard loan inc ome grew up by 22.18% to R

s.199.19
crore, with a net profit increasing by 21.11% to Rs.23.76 cr ore. And EPS reaching Rs.5.13 reflecting a 15.02% growth. Regionally, our domestic mar ket has contributed approximately 81% of our Quarter 2 consolidated revenue with internation al market accounted for 19%. This geographic balance enable us to capture diverse growth opp ortunities while maintaining a stable revenue. Overall, our performance highlights is its competit ive positioning and strategic focus on market expansion and creating a strong foundation for contin uous growth. Our listing strengthens our public presence and offers us a strong pl atform for sustained growth and hence viability and deeper market engagement. Investor confide nce in our vision is very clear, and we are committed to leveraging just to fuel our long term gro wth ambitions. The management would like to express its gratitude to all our dedicated emp loyees, customers, and stakeholders for their unconditional support. Their trust and support continue to b e the backbone of our success. We are looking forward, and we are committed to driving sustain ed growth, enhancing our operational efficiencies, and creating enduring value for our s takeholders. Thank you for your continued support, and we look forward to a better, bright future t ogether. Thank you.
Moderator: May we proceed with the question-and-answer session sir?
Management: Yes.
Moderator: Thank you, ladies and gentlemen we will now begin the qu estion-and-answer session. The first question is from the line of Prateek Sen from Dexter Capital Advisors. Please go ahead.
Prateek Sen: Can you please share more details on the recently si gned 1000 crore MOU with the Rajasthan government, and how will it be funded, are we going to r aise more debt or equity. And is there a purchase agreement in place for specific type of heat excha ngers as a part of this investment?
Management: No, this actually we signed with Rajasthan governmen t under this Rising Rajasthan. So, government want to sign because we already have a project like KRN HVAC our new subsidiary, only subsidiary. And we have already, committed to invest on that same so they

asked, what will be the next five year plan. So, we signe d the 1000 crore for future plan, so that already we 342 crore, we already received from our IPO, and r est we will invest from our internal approvals. And if need, then we will take from our banks and financ ial institutes.
Prateek Sen: Okay. So, the rest of the amount will be invested in a stag gered way from internal accruals?
Management: Yes.
Prateek Sen: Okay. And sir for KNR HVAC, we had projected that com mercial production will start in April of 2025?
Management: Yes, correct.
Prateek Sen: Are we currently on track with this timeline, and when can we expect the numbers to flow into our financials?
Management: No, production we are going to start on April '25 only. So, you can say sampling we will start in April, and then mass production will start maybe in coming one or two next months. So, Financial will start from 2nd Quarter of 25th.
Prateek Sen: Okay. And sir are we catering to some new clients via KRN H VAC?
Management: Yes, as we added new products so it's like bar and plate extender is the new, and then roll bond also is new. And also we added so these will be for sure there will be a new customer, and some also existing customers. So, because this existing produ cts heat exchanger, so we are expanding the capacity and adding the new products. So, it means ne w customer also add, and new our existing also what capacity, as of now we have limite d so we are on the 100% capacity as of now. So, whatever, existing customer ask for new growth we will add from HVAC, and then for new product, we will add new customers.
Moderator: Thank you. The next question comes from the line of S

agar Tanna from Alchemy Ventures.
Please go ahead.
Prateek Sen: Thank you. I have two questions sir, as you said the prod uction will start from April 25 and ramp up commercial production will start from 2nd Quarter. So, if I understand, if I remember correctly during our IPO discussion you had mentioned this 6x c apacity will come all together.
Is my understanding correct?
Management: Yes, correct.
Prateek Sen: So, year one how much capacity utilization we are expecting?

Management: Numbers cannot describe but however, we are trying to ac hieve this full capacity next three years we start from 25.

Prateek Sen: So, from April 25 within three years we can expect the full c apacity utilization?
Management: Yes.
Prateek Sen: Got it. So, is it fair to assume sir, year one would be 25%, 30% kind of capacity utilization?
Management: No, actually to be honest, I cannot describe like that, because we are adding new product also. So, first we will go to our customer for new products, b ecause sometime honestly, season how works, and the requirement is like that, so it can be mo re or it can be less, but it's depend on situation and our product quality, of course. So, we are trying for positive side.
Prateek Sen: Sir, my next question will be, of this new capacity, how m uch would be earmarked for exports, what target we are keeping?
Management: Yes, actually heat exchanger finance side is new mach ine side based on target for of course, Europe and North America because we are adding new geomet ry. So, new geometry, actually these are like 5 by 16 and quarter inch. So, there nobody us ing in India of course we will try to our domestic customer as well. But our target mainly custom ers of North America and Europe for current product and for your new product first we will sta rt with domestic, and then we will target export.
Moderator: Thank you. The next question is from the line of Har dik Gandhi from HPMG Shares and Securities Private Limited. Please go ahead.
Hardik Gandhi: Sir, I am quite new to your company, I did go through the prese ntation which was shared, but I had a few questions. So, please pardon me for the initial on e. Of all the manufacturing which you are doing how much is fixed price contract given tha t we use so much of the copper, as well as other metals?
Management: Like in tonnage?
Hardik Gandhi: So, usually do we fix the price in the starting or is it variabl e costing?
Management: Actually, we do like that, like last quarter average of the co pper LME and aluminum LME, and USD to INR conversion. So, this we apply to our customer for la st quarter to next quarter. So, it means, in a year we change our prices like four times and same we w ill pass to our customer if, in case of decrease or increase both we pass to our customer .
Hardik Gandhi: Understood. So, you mean to say that, use the prices of t he last quarter, and then we use them to quote it for the next quarter for upcoming orders?
Management: Yes, it's like that also we have always two month invent ory we carry and then we rolling. So, whatever we are using in a month, so we just rolling, so w e use our average and we pass to our customers same.

Hardik Gandhi: What would be the current order book which we have, and if you could provide within how much time can we execute that given order?
Management: Actually, our order book is not like that project based, because we do B2B business, and mainly we develop with our customers. So, sometime this developm ent time from two months to one year. So, after like develop the product, then we supply on their r equirement, whatever they are making in a month we have to supply. So, we receive from s ome of customer like six month forecast, some from three months, some from two month

s. And from some we receive the PO only, so then its rolling the each month. So, you can see since last six years, we are working on the same pattern.
Hardik Gandhi: Sir, so what would be the peak revenue from the existing capa city if you could mention that?
Management: Now we are almost 100% capacity with existing 95% a round the maximum can utilize and we are on the same page as of now.
Hardik Gandhi: So, the Q2 revenue you would say we are at 95% utilizati on and Q2 revenue reflects peak revenue at 95% utilization?
Management: Q2 we achieve 85%.
Management: Yes, production capacity.
Hardik Gandhi: And what is the additional CAPEX, what will be the addi tional capacity which we are putting in?
Management: Total we are expanding 6x capacity with new facilitie s. KRN HVAC Products Private Limited is the wholly subsidiary of the KRN Heat Exchanger and we a re increasing 6x capacity.
Hardik Gandhi: Okay. And the project with the Rajasthan, the MOU which we signed that is separate or included in the same?
Management: Included.

Hardik Gandhi: And what would be our guidance for the upcoming years li ke, if you have some numbers in your mind?
Management: Number I cannot share.
Hardik Gandhi: Okay. And are you going to sustain the margin?
Management: Yes.

Hardik Gandhi: Okay, and who would be the key competitors in this s pace for us, given that a lot of players, like Blue Star and other players, they manufacture their own things in-house, and some people outsource. So, just wanted to have more visibility, on the.
Management: So, mainly OEMs, they make in-house for their mass prod uction requirement, but they also buy from us for critical requirement or some special heat exc hanger. So, our USP is like, reliable product, quality product, and you can say for commercial sid e. So, our industry is growing in a good way and also we are increasing our number of customer and th e number of export side we are growing so both if we are adding then growth will continue.
Hardik Gandhi: Okay. And just a last question I would like to squeeze in, that given that there is a data center boom going on, and they will require the cooling systems ar e we tapping into that industry also through any of our partners or are we individually trying to get into is there a plan for that?
Management: Yes, our data center business we have two, three custo mers so if you see our last document, so like last year we achieved around 7% from revenue from data center only. So, main our data center we are supplying to Schnieder Electric, and the re is two other additional customer also to whom we are supplying for data center. So, we have three big OEM to whom we are supplying for data center, and also we are trying for export also to adding som e customer from data center business. But there is good growth in data center you are right.
Moderator: Thank you. The next question comes from the line of Yashovardhan Banka from Tiger Assets. Please go ahead.
Yashovardhan Banka: Sir, can you apprise me of the industry tailwinds, th e heat exchanger, and the growth we are seeing in the industry as a whole?
Management: Actually, we make fin and tube type heat exchangers, so there is some confusion, in room air conditioning also is our product, and commercial side li ke metro, train, bus air conditioning, data center is also product. So, room air conditioning you can se e growth in India markets is around 8%, but commercial side growth is around 20% to 25% especi ally like data center, growth is more than 50%. So, some big OEM they make in-house for room air conditioning. But commercial side, they are buying from outside or speci al production from us. So, numbers I don't have exactly because of this reason, but from com mercial side, I can say our growth is more than 20% in India and for export, especially for N orth

America, we have good chance,
because from China, they have anti-dumping around 25% on our produ ct. And Europe and USA, of course they are working on China plus one policy. So, tha t is also good for us. So, we participate in exhibition in both Europe and USA. So, we have multiple customer in pipeline, but because of our capacity limitation, we are unable to serve th em, but however, that's why we are increasing 6x capacity. So, we will able to supply them from new facility.
Yashovardhan Banka: Okay. Sir and the industry side, as we said we are i n the fin and tube industry of heat exchangers. So, what is the industry size of the fin and tube heat excha ngers?

Management: I am unable to actually, in term of data I have to che ck, because if we add room air conditioning and completed commissioning then data will change for sure. So , I don't have this data on my hand now, I will come back to you maybe or we can give you on one-to-one call I can share.
Yashovardhan Banka: Okay. Just on the margin expansion, are we looking a t increasing our margins to say around 20% to 25% moving ahead?
Management: No percentage of course cannot target, but however we are trying to increase our margin because of new facility because we are putting solar facility on this new facility, so it’s a 8 megawatt facility which means our electricity growth will be le ss. Secondly, this new facility is new income tax scheme. So, there will be 10% less, 15% scheme . Secondly, we are trying to increase our export so our margins are quite good compared to domes tic margins. And also, there is new policy by our Rajasthan Governments RIPS ‘24 so that also you will receive some incentive. So, if we I club these all regions, then for sure we will able to i ncrease.
Yashovardhan Banka: Okay, sir. And sir what is the execution timeline that we are looking at for the Rajasthan project, the order we recently received?
Management: So, this is the new facility only so it will start from e arly next year, April or May from 25.
Yashovardhan Banka: And sir the execution timeline as in, in how much time are we looking to complete it?

Management: So, our this facility is still under construction. Machine we are buying, already ordered. So, some machine also we receive, some trial is going on. So, I am talking about this April, 25 for sample process only. And this we are trying to achieve this com plete facility, capacity within three, start from 25.

Yashovardhan Banka: Okay. And sir the margins on the same on the project, what margins are we looking at that there?

Management: We will try to increase slightly because of reason I descri bed earlier.

Yashovardhan Banka: Okay. So, somewhere around 18% to 20%?

Management: Honestly, I cannot be providing numbers.

Yashovardhan Banka: Okay, sir. And sir lastly with the industry growth that we are looking at, and are we in expecting to grow faster than the industry?

Management: Yes, actually we make heat exchanger for commercial si de. So, if you see the Indian market also is growing much better compared to this room air condit ioning. So, the room air conditioning industry is growing around 8% to 9% but our commercial side is growing more than 20%. Especially like data center growth is more than 50% tha n bus air conditioning, metro, train, heat pump, all the industries are growing well.

Yashovardhan Banka: Sir just last question. I was going across the new arrivals review, I came across this bar and plate heat exchanger that we are expanding, this is a new produ ct. So, can you just help me with the application of the same and is it like a higher margin product?

Management: This is the one like another type heat exchanger so bar and plate. So, mainly we will targeting this electric loco for Indian railway, because earlier diesel loco that not required of this type of product, but electric loco is mandatory. And also, we target ing this heavy earth movers, core lift products and compressors industry, so they use as an oil cool er. And also there is a scope of the export for North America and Europe. But first we will star t with the Indian railway and domestic requirement, and then we will add export as well.

Moderator: Thank you. The next question is from the line of Prakash C handalia from Finvestors. Please go ahead. As there is no response from the current participant , we will move to the next question, which would be from the line of Vignesh Iyer from Sequent Investm ents. Please go ahead.

Vignesh Iyer: Sir my first question is on the data center side, if I u nderstand it right, Schnieder Electric contributes like 90%, 95% of our data center business. So, just to understand it, do we have an exclusive agreement when it comes to supply of the spec ific part when it comes to the data center business that Schnieder gets?

Management: Actually we have purchase agreement, but we don't have exclusive agreement that we can on supply. But just for example, we started with Schnieder four year back only, and that time our share was only 5% to 10% of their total volume. But this year, we are going to achieve more than 90%, 95% of their total volume. So, it means our shar e is almost standalone, but some products they are buying from one Indian supplier and as we ll as they are buying from outside also. So, we are developing with them also. But now we are not single, but we are the major supplier for them.

Vignesh Iyer: So, their earlier supplier was it a import of that part, or it was some local competitor?

Management: Both importing also earlier and from the bank from domestic also both.

Vignesh Iyer: Okay. So, it terms of export part of the business current ly, can you give me the top two products that contribute to the revenue?

Management: For export mainly, we are supplying two fan coil unit prod uct, and then secondly for heat pump, for swimming pool heat pump, and also for transportation busin ess truck refrigeration and bus air conditioning also.

Vignesh Iyer: Sorry, sir the first product what did you say?

Management: Fan coil unit.

Vignesh Iyer: Okay, fan coil unit and the pump part. And just one last questi on before I get back in the queue. Can you tell me for our newer facility what would be the normal timeline to get the validation from customers that is the export side of the, because if I understand there would be a reasonable chunk of revenue that comes from export from our new facilit y. What is the normal timeline because, if I understand if we are starting our commercial produ ction in Quarter 2, but it would be possible that by the time we land the clients, it wi ll be quarter three, quarter four. So, just to get the timeline, understanding of the timeline?

Management: I got your question, actually depend on customer type and product type, because some of customer if we are replicating the product like whatever t hey are using and we have same geometry or same design, so we can change very quickly, but sometime we design also product, it means maybe they are using that product maybe more than 10 year or 15 year. But now technology has been changed, so we request to that type of cust omer key. We have new design, you can save the money and we can offer the new design. But for that validation process, must we have go so it means that process will sometime, mayb e they complete, maybe six months, or sometime eight months, and sometime one year as well , and whatever our existing customer approval side so we have already many customer in our pipeline, and we are developing with them with our existing facility. It means the developm ent process will be complete once

our new
facility will be start. So, this development we are lik e doing with some of our customers since last one year, with some of seven to eight months, but we are unable to supply mass production because of capacity constraint. But however, once we have new capacity, we can immediately start from the facility.

Moderator: Thank you. The next question is from the line of Alish a M from Envision Capital. Please go ahead.

Alisha M: Sir, just wanted to know, what is our revenue split betwe en room AC and commercial currently?

Management: Actually we call like commercial data center and the n automotive. So, if I consider all commercial, so room air conditioning last year, we ach ieve only 2.5% and rest is only commercial side.

Alisha M: And what would be the share of data centers within this?

Management: 7% last year.

Alisha M: So, bulk of it is going to the auto industry?

Management: It’s like commercial side, like truck refrigeration, bus a ir conditioning, fan coil, heat pump, swimming pool heat pump, VRV and then power plant coolings, so that there is a multip le segment.

Alisha M: Understood. And we are increasing our capacity by 6x and we are saying that we were targeting to use it in three years. So, what is giving us this con fidence, is there some client which is maybe

given some softer commitment, or is there a newer appli cant, what is giving us the confidence to use 6x capacity in three years?

Management: If you see, or maybe checked our history, we started six years back only. So, we started with one facility, and then each like last six year is our reco rd like that. We added one new land so we added three facilitating in KRN Heat Exchanger and the n we started with KRN HVAC. So, now we have three land in HVAC. So, total, we have six propert ies. And this big capacity is around 72,000 square meter. So, each year we added the land, bui lding and machine also. So, increase in the capacity but this nuts and peanuts we are unable to cater our customer, our requirement because of the capacity constraint or market requirement. So, based on that, we decided to cater the right things to market especially for Europe and the U SA. We need one idle facility or one of the best art facility maybe we can comply our layou t, single piece flow, everything process like as MNC. So, we have decided these things and th en we go for the 6x capacity other side. Like our growth is you can maybe see last six years on the sam e page, because we are growing each year and then we have in pipeline like we have total cust omer as of now around more than 200 in our pipeline. But our major revenue is 80% we are r eceiving from top 10 customer. So, it means, if I added some similar and new customers, then we can double the requirement. So, we have in pipeline almost more than 100 customer from the domestic and export side, we had developed some samples but unable to supply because of capa city. So, there are multiple reasons, that's why we decided to go with the big capacity, and w e can achieve the right things, reliable products, and best quality to our customers.

Alisha M: Understood. So, with the new capacity, are we expecti ng any change in our revenue mix between domestic and export because you did say that we wanted to keep some capacity ideal for US, Europe and over there are they part of the (+200) customers that you said we may not be actively working with them, but maybe we supply samples or have some softer commitment so these will be absolutely fresh customers that we will have to approach, we will have to.

Management: These 200 is not new customer there are some working maybe we developed some maybe small supply or some sample we already developed many of them, bu t unable to convert in mass production because of capacity concern. Second, our target will be for sure, export side mo

re,
but we have to cater our existing customer for domestic supp ly as well. If you see our growth with domestic like when we did, 85 crore revenue that time my Daikin big customer, total percentage is 33%. Last year we achieved 308 crore then al so Daikin is 33%. So, it means my domestic customer requirement also growing on same page. So, I have to supply to my domestic customer on same page and then I will add new custome r as well, both side domestic and export.

Alisha M: Understood. And this new capacity you are saying will com e from Q2 of FY26 correct?

Management: Sample we will start from April 25 only, but mass production w e able to start or maybe before or later from Q2.

Alisha M: Okay. And mass production at least to existing custom ers we should be able to scale fairly quickly?
Management: Yes.
Alisha M: Okay. And what is the CAPEX that we have incurred totally fo r this new facility?
Management: More than 300 crore.
Alisha M: And what is the expected asset turn against this CAPEX?
Management: Same way which we achieved till now.
Moderator: Thank you. The next question comes from the line of Ma noj Jaitwa from KSA Shares and Securities Private Limited. Please go ahead.
Manoj Jaitwa: Sir my first question is pertaining to the exports. So, how do you see the exports of our products in US and European markets as you had mentioned that there is huge scope for our products during the time of the IPO meeting which you have mentio ned. So, could you please add some colors on that sir?
Management: Actually, like we participated in division in Europe and the North America both. So, we started, four year back to both market, and we feel they need reliable a nd right quality product in single go. But if we able to meet these two things, they are rea dy to pay good margins, and they have continued big order, because earlier they are buying from Europe, America, or of course from China, from China now they are especially for North Americ a they are facing antidumping 25% and if they are buying from local North America, Europe, so they have to pay more. So, if we able to supply reliable, right quality product to them, so t hey able to save at least 10% to 15% of the money of their total buying. And also, I understood like that in commercial side or customized product. We are better than China, because China I feel they are good in mass production and less price. But when you ask to Chinese peo ple, you customize the product based on customer requirement. So, sometimes they are like blind, the y are unable to understand your customer requirement. So, we are quite good on that pa rt and I am sure that is a good market for me especially commercial side of customized products, especially North America and then Europe.
Manoj Jaitwa: Yes, thank you. Sir my second question is, during the time o f the IPO you had mentioned that you are expanding your team in the finance, marketing, exports, markets, production, purchase, engineering. So, from one man show to diversified divisio n of duties or lead by….. So, could you please add some color on that sir?
Management: First, there is no one man show as of now, because n ow my operation side and my production engineering, maintenance, HR, account side, sales market ing side, I have all HOD. But however as of now we have limitation of the space on existing faci lity because my office space is of 70

people, only who are the completely full. So, new office we are building on new facility for 500 people. And of course, I have to increase my sales, market ing team and other team as well, based on our growth, based on our turnover. And we for that, of course daily basis we are connect design through and we already have the agency for this proce ss, so it's under proce

ss, and
hopefully it will be complete before this facility will start.
Manoj Jaitwa: So, my third question is regarding, currently almost around 33% of the revenue comes from Daikin, and it's good that we have a steady state of re venue visibility from Daikin. But on the flip side also, there is some concerns and challenges al so, if something may happen with your contractual agreement with the Daikin, then it may af fect our growth story significantly. So, are we have got any brief plan B to de-risk or to add more cust omers like Daikin, where we have a good revenue visibility, request you to share some color on it sir.
Management: First of all, we are continue adding new customers, both domestic side and export side. Secondly, with Daikin, we are not working only single product ac tually, we are working on commercial side, multiple SKU. So, as of now we are supplying them more th an 100 part number each day. So, it means mass production we are doing in-house, but like commercial side or small batches or customized coil they are buying from us. So, off it wi ll be continue because volume is not good for them. If volume will okay, then for sure they can see or they can think for in-house facility, but in our case we feel because we are supplyin g to them right quality, right delivery, and, of course right cost, and we are very near to them . So, their freight cost is almost zero. So, it means we packing also we do recyclable, so it means packing and freight cost for them almost zero, and we are supplying right quality, right delivery. So, the re is the reason, because which I

understood Japanese people, they do if you in-house facili ty then for one product, they put one line and they do the investment is huge. So, ROI cannot be meet fo r multiple SKU. So, for sure we will continue for their facility and what supplying to them.
Manoj Jaitwa: Sir what could be our working capital cycle date in terms of inventories, debtors trade payable?
Management: As of now it's around three and a half month.
Moderator: Thank you. The next question is from the line of Aditya, from R elicare. Please go ahead.
Aditya: My question is regarding the data center. Can you touch up on the products which goes into the data center, are they used for air cooling or liquid cooling or immersi on cooling?
Management: No, data center actually complete product they make like indoor size and outdoor size. So, mainly for air cooled chiller, so it's our fin and tube type heat exchanger in air cooled chiller. So, they mainly use for data center cooling. Secondly, indoor side, whatever they are making complete machine. So, indoor, the coil we are supplying to t hem, this immersed cooling and whatever this is the different technology, they are using heat exchanger, but of course they are using fin and tube, then we have to supply to them. So, fin al technology, we are not much aware,

but this air cooled chiller we are supplying to them, fi n and tube and the operator side, indoor side, --41:17 we are supplying to them.
Aditya: Got it. And apart from Schnieder Electric which are the t wo other companies that we are supplying?
Management: The other two companies actually we don't have recei ved signed documents. So, that's why, unable to describe name.
Aditya: Okay. And here you said that we are targeting the exp orts as well. So, what steps we have taken in this direction to you can say start heat exchanger?
Management: Just for example Schnieder we are supplying to their Ba ngalore facility. But they have another facility in Italy, and they are buying almost more than 1 00 crore of heat exchanger. So, they suggest us you can approach to them. Then they introduce us , so we went there, we wish them, then they visit us. And then we have, some agreement si gned, and then we supply the sample, they approved our sample, but

mass production not start ed because of capacity, so hopefully we will start with them for Europe market, other some of customer also similar types.
Moderator: Thank you. We have the next question from the line of Ni tin Gandhi from KIFS Trade. Please go ahead.
Nitin Gandhi: Can you just share what's the percentage of revenue contr ibution from Schnieder?
Management: I don't have the data, but around 10% approx.
Nitin Gandhi: And with existing unit, you can have peak revenue of somewhere around say, 100, 110 crore per quarter. And with six times capacity which you are generati ng, so that will have effectively another 2000 crore addition, is it a right peak potenti al or are you planning some other high value items which could take the revenue further higher from 2000 cr ore?
Management: Actually, we are adding new product as well. So, this on e of the bar and plate of course this is the higher value and some low product also this role bonding o perator, but in number, to be honest, I cannot convert, it will be around similar.
Nitin Gandhi: Okay. No, because I just walked out from you replied, as set turnover is likely to be more or less same from the existing. So, I just converted from that and so I thought 2500 crore could be the peak revenue from all put together existing and the new that might of working. Thank you very much.
Moderator: Thank you. The next question is from the line of Har dik Gandhi from HPMG Shares and Securities Private Limited. Please go ahead.

Hardik Gandhi: Sorry to bother you again. Sir just one small question, that goi ng forward as we said that we are expanding into multiple segments, and by what time do y ou think that we will reach a considerable 80%, 85% peak utilization in the expanded ca pacity like existing as well as the expanded capacity, by what time are you envisioning tha t?
Management: I already replied this question, we are targeting our capacity next three year start from '25.
Hardik Gandhi: And, sorry I might be confused but are we starting the mass production by Q2 FY25 or Q2 FY26?
Management: Actually mass production means, like sampling we can st art from Q1 so three months will be like some small approval. So, of course, for big volume we will be start from Q2 only.
Hardik Gandhi: But, Q1 which year sorry?
Management: Sorry?
Hardik Gandhi: Q1 which year, FY25?

Management: Next year Q1, 25-26.
Moderator: Thank you. The next question is from the line of Nikhi l from Oswal Investments. Please go ahead.
Nikhil: So, I just had a question on the market share. What's y our market share in India, and who would be a major competitors in each of the product lines if you can jus t elaborate?
Management: As of now, the markets are still, we are unable to chan ge in numbers. The reason is because fin and tube used in room air conditioning as well as commer cial also. So, mainly room air conditioning they, mainly big OEM they make in-house onl y. So, commercial side, you can say as Indian supplier we are the leading supplier. However, t here is another company called Spirotech Heat Exchanger in Rajasthan only now is acquired by the one of the Italian companies called Lua Group. So, now it belongs to Europe, and they do almost more than 90% export to Europe and, of course, America. Second one of our competito r you can say Prajai Heat Exchanger Bombay based company, Indian company they are supplying to near to Bombay customer. So, I feel there is only two.
Nikhil: Okay. Sir, if you could just repeat that name of the competit or who exports 90%.
Management: Spirotech Heat Exchanger.
Moderator: Thank you. So, the next question is from the line of D eepak Agrawal from Param Capital. Please go ahead.

Deepak Agrawal: Sir my question comes back on this

, so obviously we are a dding a lot of capacity and our margin profile is likely to remain similar or actually improv e. So, can you talk a bit about our USP in terms of looks like at eight, nine times asset turn, and the kind of 19%, 20% EBITDA margin, and maybe 12%, 13% PAT margin. It looks very, very profitable. S o, one question comes is, why are others not adding, if we are adding so, I am su re you have that first mover advantage, and maybe the empanelment's with the clients, anything th ere. So, in terms of, how do you ensure this kind of margin profile stays in the longer run?
Management: No, this Spirotech I mentioned. So, Spirotech is doing more than top line from us on a per square gross margin is similar to us. So, they do almost 90% e xport. So, it means there is a good chance to export, but we are specializing it commercial side, beca use we are making big heat exchangers. So, as of now still we are making up to 12 m eter heat exchanger. So, you can see, like 12 meter heat exchanger, and some machines they use four numb ers so some machine they use eight numbers, so 12 meter, eight numbers, if use some customers. So, you can see, you can maybe feel machine site. So, it means they need reliable product actually, because our main strength is, USP you can say we are able to customize the produ ct as per customer requirement, and we are able to give the feel that you can have, fee l like this product will must be reliable from our side. So, you can say reliability, and of course quality a nd delivery and customization. So, and my background is operation side. So, we are able to do these things based on customer trust, and then we are able to trust on big OEMs, and then t his story is going on continue.
Moderator: Thank you. The next question is from the line of Prakash C handalia from Finvestors. Please go ahead. We will proceed to the next question, which will be fr om the line of Mohit Chu from Subh Labh Research. Please go ahead.
Prateek: This is Prateek from Subh Labh Research. Sir most of my q uestions are answered. Just wanted to understand a bit about the current financial year FY25, since we are already at around 85%, 90% capacity utilization, is it fair to assume that for Q3 and Q4 our revenues are going to be in the range of 110, 120 crore only or can there be an upside sc ope to this?
Management: Sir, honestly numbers cannot be shared, but growth wi ll be similar way last year, if you compare to.
Prateek: Okay, no that's fine. So, let me reframe it, we are a t 85% capacity utilization. And what's the peak capacity utilization we can hit in this business, in t he current capacity sir, can we reach?
Management: Maximum, actually it's also capacity you can understand because we calculated based on like our lines because some lines, still we are achieving 100% but some line like we have 80% or 85% so overall, we can achieve 85% to 90% maximum.
Prateek: Okay. So, on a blended basis you are saying the peak you can hi t is 85%?
Management: Yes.

Prateek: Which we are currently at, okay I get that.
Moderator: Thank you. The next question is from the line of Preet from Almond s Global. Please go ahead.
Preet: And, I just get to the questions. Most of my questions ar e answered, but I just had to add on to it, with the diversification of the product offerings. So , when will these new products start

reflecting in the revenue, and what kind of revenue growth c an be expected from this?
Management: Overall plant including new products it will start from April 25 only, so including new product
as well, and domestic like our existing as well. An d this oil cooling and then roll bond is like
one of type other heat exchanger only, but they are only h eat exchanger. So, it means, our
strategy like that, we are going to all type of heat exc hange in one roof. So, as of now we al

so
fin and tube, then this also heat exchanger then this bar a nd plate also another type of heat
exchanger. Then roller bond also is another type heat exchange r. So, this will come on 10 times
and our capacities, including all around 6x and then we ar e going to achieve in next three years
start from 25.
Preet: All right, thank you so much. And I also wanted to ask, i s the 100% revenue coming from OEMs,
or is after sales also contributing to it?
Management: Aftermarket, is almost zero maybe some samples, maybe we sell. But of course, 100% from
OEM only.
Preet: Okay. And are there any plans on expanding into the aftermarket?
Management: No.
Preet: Alright. And one last question, with a significant p roportion of revenue coming from B2B clients
and growing exports to US and Europe. Can you elaborate mor e on the strategy for securing new
international clients, especially with the anti-dumpi ng tariffs against Chinese products in the
USA?
Management: I already replied. However, I can come again, because this European and USA, they need reliable
product and of course their commitment also must be goo d, because earlier they feel as Indian
supplier we are not able to supply right quality and right delivery of course sometime – but now
market is changing, of course we are supplying to some o f our customer like since last fourth
year, and they are quite happy we received very good apprecia tion mail also and then we
participate in exhibition. So, then some of customers, we a re meeting with them last four year,
but now I am going to supply as a mass production becaus e of capacity. So, in our pipeline, there
is good customer from both regions like Europe and North America, and now in our market also
good reputation after listing as well, of course so becau se our B2B, and then you can say
marketing, of course we have good clients and of course our future will be bright based on that.
Preet: Okay. And other additional industries or companies, co untries that you all are targeting?

Management: Yes, company for sure additional customer like in exhibiti on whatever inquiry we are receiving
we are replying to them. And first we study the compan y size and what we are buying. So, based
on that, we select and then we continue with them. But region like, as of now we are targeting
only Europe, North America, including Canada, and then UAE .
Moderator: Thank you. Ladies and gentlemen we will take that as o ur last question for today. I would now
like to hand the conference over to Mr. Kapil Yada for closi ng comments. Over to you, sir.
Kapil Yada: Thank you Dhavan and thank you KRN Heat Exchanger manageme nt for taking our time for
this call, and thank you all the participants. As I can see, there are few questions lined up. We
can take it offline later. Thank you, sir. Thank you very much, th anks for the time.
Management: Thank you Kapil.
Moderator: Thank you. On behalf of Dolat Capital that concludes thi s conference. Thank you all for joining
us. You may now disconnect your lines.

Call: Feb 2025

KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
(Formerly Known As KRN Heat Exchanger And Refrigeration Pvt. Ltd.)
Registered & Work Office : Plot No.: F-46,47,48,49, EPIP, RIICO Industrial Area, Neemrana-301705 (RJ)
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Friday | February 07, 2025

To,
BSE Ltd
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400001, Maharashtra, India
Script Code: 544263 To,
National Stock Exchange of India Limited
Exchange Plaza, C-I Block G, Bandra Kurla Complex,
Bandra (East),
Mumbai-400051, Maharashtra, India
Script Symbol: KRN

ISIN: INE0Q3J01015
Sub : Transcript of earning conference call held on Febr uary 03, 2025, for the quarter and nine months ended December 31, 2024
Ref: Regulation 30 and 46 of Securities and Exchange Board of India (Listi ng Obligations and Disclosure Requirements) Regulations, 2015 (the ‘SEBI Listing Regulations’)
Dear Sir/Madam,
In furtherance of our letter dated February 03, 2025 informing that the Company has uploaded the audio recording of the conference call and pursuant to Regulation 30 and 46 of the Securities and Excha nge Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from tim e to time, please find enclosed the transcript of the Earning Conference Call held on Monday, February 03, 2025 to discus s the operations and financial performance for the quarter and nine months ended December 31, 2024.

The transcript of the earning conference call is also being uploaded on the website of the C ompany at: https://krnheatexchanger.com/

Kindly take the same on your records.

Thanking you,

For and on behalf of
KRN Heat Exchanger and Refrigeration Limited

Praveen Kumar
Company Secretary and Compliance Officer
ACS: 32631

“KRN Heat Exchanger and Refrigeration Limited
Q3 FY '25 Earnings Conference Call”
February 03, 2025

MANAGEMENT : M R. SANTOSH KUMAR YADAV – CHAIRMAN AND
MANAGING DIRECTOR – KRN HEAT EXCHANGER AND
REFRIGERATION LIMITED
M R. SONU GUPTA – CHIEF FINANCIAL OFFICER –
KRN HEAT EXCHANGER AND REFRIGERATION
LIMITED

MODERATOR : M R. KAPIL YADAV – DOLAT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to KRN Heat Excha nger and Refrigeration Limited Q3 FY25 Results Conference Call, hosted by Dolat Capital.
As a reminder, all participant lines will be in listen-onl y mode and there will be an opportunity for you to ask questions after the presentation concludes. Shou ld you need assistance during the conference call, please signal an operator by pressing star th en zero on your touch-tone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Kapil Yadav from Dolat Capital. Thank you and over to you sir.
Kapil Yadav: Thank you so much. On behalf of Dolat Capital, I welcome al l the participants in this call and thank the management of KRN Heat Exchanger & Refrigerator Ltd for the opportunity to host this call. For today's call, I have with me the management side, Mr. Santosh Kumar Yadav, Chairman and Managing Director, Mr. Sonu Gupta, CFO.
With this, I now hand over the conference to Mr. Santosh Ya dav ji for the opening remarks, then we have a question and answer session. Thank you sir and over to you.
Santosh Yadav: Good afternoon to all. Thanks to connect for today's call. Our CFO w ill give the brief and then I will answer the question and answer. Thank you.
Sonu Gupta: Good evening everyone. It's my pleasure to welcome you all to KR N Heat Exchanger and Refrigeration Limited Q3 & 9 months FY25 Earnings Confere nce call. I truly appreciate your time and interest in joining us today.
The world around us is changing rapidly with the rising dem and for energy efficient cooling solutions, increased investment in data centers and push towards re ctification in key industrial like railways and automotive. At KRN, we are not just ado pting, we are driving this change. Our relentless focus on innovation, expansion and customer centric sol utions is enabling us to build a strong and resilient business capable of delivering sustained growth.
Expanding our position transformationally, one of the most exciting milestones in our journey is our transformational capacity expansion in Neemrana, Rajastha n. This INR 300 crores plus investment under our subsidiary KRN HVAC Products Pvt. Ltd . is progressing at full pace with civil work nearly complete and machinery trials underway. We are o n the track to begin sample production in April 2025.
This plant is more than just an extension, this is a gam e changer with a 6-fold capacity increase. We are not only strengthening our core HVAC and refrigeration business but also entering high growth sectors like railway, electrification, heavy earth m overs and industrial cooling. Once this facility will fully be operational, we expect to generate peak re venue of 5x to 6x of current level.

Our exports have been growing steadily increasing from 9.57% to 14 .68% and we are actively expanding into Europe and North America. With the global shift towards China plus one especially and favorable trade policies, we see significant op portunity ahead.
Our entry into the Bar and Plate heat exchangers will further e nhance our reach, both in domestic and export markets. We are closely tracking the government PLI sch eme for wide growth where our subsidiary company applications refer to the committee of e xperts. Management is hopeful for final shortlisting, this will provide a substantial boo st to our earnings and accelerate our growth plan.
Alongside this, we are driving margin expansion through adva nced coating and manufacturing efficiencies to enhance durability and cost savings. Solar energy adoption at our upcoming plant to reduce power cost, export-driven growth which offers higher margins than domestic sales,

government incentive under Rajasthan RIPS 2024 policy enhanc

ing profit ability.
Now turning to our financial performance, I am pleased to share tha t our return on investment focus on the execution and growing demand for our products having translated into strong results. In Q3 FY 2025, we achieved a revenue of INR116.36 crores , reflecting a 73.67% year-on-year increase.
Our EBITDA grew to INR15.81 crores, up 34.76% year-on-year, while net profit surged to INR13.73 crores, making a 74.44% year-on-year growth. For the 9-month FY 2025 period, our total income reached INR305.88 crores, growing 32.96% year-on-year, wit h net profit rising to INR38.01 crores, an increase of 39.02% year-on-year. This result reaffirms our strong momentum and the effectiveness of our strategy and initiatives.
At KRN, we are building for the future with a major expansion underway, a growing global footprint, and the return on investment focus on innovation. We are confident in our ability to create long-term value for all stakeholders.
I would like to express my sincere gratitude to our employe es, customers, and investors for their continued trust and support. Thank you and I look forward to an e ngaging discussion ahead. I request to open the floor for questions and answers. Thank you, sir.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Reet Ranawat from Aventus Capital. Please go ahead.
Reet Ranawat: First of all, congratulations for the numbers. I have seen a tr end in the share of evaporator coils increasing and condenser coils share in the revenue decreasin g. Is there any particular reason for that?
Santosh Yadav: No, I think in an earlier call also I said that for us evapora tor and condenser are almost the same product for us. So, we just add the product portfolio then by c ondenser or evaporator. So, if the same customer sometimes asks for a condenser and some evapora tor or maybe vice versa. So, that's why as a manufacturer, for us it's both the same part.

Reet Ranawat: So, no particular reason for that?
Santosh Yadav: Yes, no.
Reet Ranawat: Another question, are we seeing increased adoption of bar an d plate heat exchangers in data centers or in comparison with fin and tube? So, that's w hy we are starting with the new manufacturing facility?
Santosh Yadav: No, this data center cooling, our existing product will grow but for bar and plate application is different. So, first application in bar and plate is like elect ric loco and off-road vehicles and then earth movers or like compressors or lifters. So, these are ap plications for bar and plate like as an oil cooler. For data center, our existing product as a heat exchanger will grow.
Reet Ranawat: Okay, last question. So, how much of the MOU which was receive d from the Rajasthan government will be reflected in the financials? Like could you give a time frame?
Santosh Yadav: No, we signed like 1000 crores MOU with government and we will t ry to meet this 1000 crores in next 5 years.
Reet Ranawat: Okay, next 5 years.
Santosh Yadav: Yes.
Reet Ranawat: Alright. Thank you.
Moderator: Thank you. The next question is from the line of Shubham from Dexter Capital Advisors Pvt. Ltd. Please go ahead.
Shubham: Hi, thanks for the opportunity and congratulations, Santoshj i, for a great set of numbers. I had a couple of questions here. So, the first question was, what was our volume growth this quarter and what is our current capacity utilization rate?
Santosh Yadav: The total volume like in terms of like consol may be HVAC als o includes our standalone KRN Heat Exchanger. What is the total numbers? So, standalone is th e reflecting like air and heating and consolidated reflecting including HVAC. So, HVAC like p hase 1 is already started. So, that's why total numbers is 116.
Shubham: So, volume growth is 116% is what you are saying?
Sa

ntosh Yadav: Year on a year basis, total.
Shubham: Okay. So, sir, basically and our capacity utilization levels this quarter?
Santosh Yadav: KRN heat actually we almost on the peak. So, there is no more further like available capacity, but HVAC like phase 1 we started. So, there is some spare capacities avai lable.

Shubham: So, sir, basically what I was trying to ask was on our c ondenser and evaporator coils capacity, right? What I believe is, it is the same as last year, rig ht? The March ending FY24. Our capacity is similar for those, right? Because our subsidiary KR and H VAC, it is to start commercial production from April 2025. Would that understanding be correct?
Santosh Yadav: No, KR and HVAC have two phase. So, first phase already start ed last year with same product and phase 2 will start from April.
Shubham: And for phase 1, what were the products that were started for phase 1 in HVA C?
Santosh Yadav: It is the same product, KR and like heat exchanger only.
Shubham: Same. And so, what would be the total capacity for evaporato r and condenser coils including both our standalone and HVAC?
Santosh Yadav: As of now, total capacity like we achieved is maybe 85% to 90% including HVAC. So, you can say if I club totally, so only 5% or 6% we can increase till April an d April we will going to add new facility for both heat exchanger and as well as other product.
Shubham: So, sir, my question was basically on our March 2024 ending financials, right? So, was there a significant capacity increase between this 8 months to 1 2 months, 8 months so that due to which we were able to increase our revenue by 70%? Like what w as the main reason behind 70% increase in revenues this quarter for year on year?
Santosh Yadav: So, there is two reasons. One, we added HVAC as a phase id entity. Secondly, we added some machine also in KRN Heat Exchanger. So, you can say we did like some line balancing. So, that is why we were able to increase some turnover..
Shubham: Understood. Also, sir, just last question and I will agai n join back the queue. So, basically for the bar and plate heat exchanger as well as the oil cooli ng units, right? Are we doing any testing with our customers? Basically, I believe local manufacture rs would be our key clientele here. Are we doing testing for those products with them?
Santosh Yadav: Yes. So, testing is there almost 6 to 8 months. So, we already got the tender like from BLW for 10 piece or like as a development order. Now, we are waiting for their v isit to us and after their visit, we will supply to PROTO as a trial. So, they wi ll trial almost 6 to 7 months and then we will enter in the main phase for bar and plate. So, it means our bar and plate facility is almost ready for production.
So, we already made some PROTO as well. Now, we are wai ting for government side. They will visit and we will offer to PROTO and they will test like 6 months and then we will enter in main phase. Meanwhile, we will do like other, this compressor and then J CB forklift trucks and off-road vehicles. So, we will align with these clients and we will try to achieve some production from there.
Shubham: Sure, understood. Thank you. That would be from my end.

Moderator: Thank you. The next question is from the line of Amit Rajput from Rits Capital. Please go ahead.
Amit Rajput: Thanks for the opportunity, sir. So, almost all of the questi ons were being answered and I have just two questions left. First is your revenue guidance , as of we have completed three quarters in this year. So, what will be the range of revenue we will be closing FY25?
Santosh Yadav: This running quarter is almost same or maybe we will try to increase like 5%-10% on last quarter. Because our capacity is almost full.
Amit Rajput:

So, my last question regarding the debt side, like you have sai d that you have signed MOU with the Rajasthan government regarding INR1000 crores and I guess you ha ve raised around INR342 crores rupees from IPO. So, rest of the funding will be from, you will be doing through debt or?
Santosh Yadav: So, as of now, first we will start our existing facility like with this INR300 crores plus investment and then we will review after 6 months from like our internal pro fits or maybe from working capital from bank. So, that we will decide after 3 or 4 months.
Amit Rajput: Okay. So, when will be your capacity will be operational? If y ou could give me the date or month?
Santosh Yadav: Like as I said, this bar and plate is almost ready but other facilities like construction is pending and machine is coming. So, fully we will try April and like as a PROTO s ample manufacturing and then we will need like 4-5 months to set all things l ike people training, quality systems, customer visit. So, mass production will start in second half of next year.
Amit Rajput: That's all from my side sir. Thank you. Thank you for answering all my ques tions.
Moderator: Thank you. The next question is from the line of Mansi Nene who is an individual investor. Please go ahead.
Mansi Nene: Actually, most of my questions are answered. This one questi on is government has announced

a big boost for the nuclear energy in this budget. Is KRN has any plan to enter this as heat exchangers are used in the nuclear energy also?
Santosh Yadav: Actually, we are manufacturing like all type of heat exchange rs. So, including like we are going to add heat exchanger with SS tube as well in new facilit y SS tube. So, we will have to study this nuclear requirement what type of heat exchanger like they need with material. So, for sure in our range then for sure we will add this as well in our portfolio.
Mansi Nene: So, it's possible in future?
Santosh Yadav: Yes. As of now, we don't have any specific reason. So, like in deep we cannot comment but sure we can make it in our range.
Mansi Nene: Okay. Thank you so much sir. Thank you.

Moderator: Thank you. The next question is from the line of Rucheeta Kadg e from iWealth. Please go ahead.
Rucheeta Kadge: So, my question is mainly on the gross margins for the quart er. So, you know we have seen quite a dip. So, what was the reason for the same?
Santosh Yadav: Actually, what we analysed is there is two reasons. First is like our employee cost is increased because now we have almost 850 people against last quart er it was 700. So, because now we hired 150 manpower for our new like facility. So, they are u nder training because we have to train them before shifting to new facility. So, this is the sligh tly increase.
And second small portion is like actually earlier China go vernment on mainly this copper and aluminum they are giving subsidy almost 13% to their manu facturer. So, I think two months back they will take back that facility. So, then they in crease the price and compared to that this Malaysian and Thailand vendor also increase. So, this i s the slightly impact on us on this last quarter. Actually, we like -- we passed over customer in next quarter. So, from 1st January we already passed this impact to our customer and slightly diffe rence this USD to INR conversion also. So, I club these three reasons then it is slightly down.
Rucheeta Kadge: So, sir just to follow up on that. So, you know in the earli er call we have mentioned that you know we usually book the contracts on one quarter prior t o that and we have an inventory for two months. So, even after that would there be this kind of disrupti on on the margin side?
Santosh Yadav: No, like one month impact will be there. So, it is two months inventory we can keep. So, one month. So, that is why. If you compare like main emp

loye e cost then raw metal side like this
USD to INR and raw metal is very, very thin, very thin. But reaso n is there.
Rucheeta Kadge: And sir other than that you know do you get like your order book? W hat kind of order book do you have currently?
Santosh Yadav: So, order book we have always rolling type. Secondly, your first que stion I remember I said but that is like this China that 13%, that impact we are not aware because it is the first time they did. So, this actually not covered in our contract. So, they di d first time. So, we have to pass on when our price will renew on 1st of January.
This LME portion and USD to INR of course we covered in last quarter but this China like anti-dumping or maybe this incentive they take back that not covered. And your second question order booking actually we have order booking continue with rolli ng actually because we do regular production based on customer requirement not project based actual ly.
Rucheeta Kadge: Okay. And sir you know when we say that in the next 3 years, t hat we should reach our peak revenue in terms of the capex that we are doing. So, what giv es us this confidence? Like do we have any kind of soft commitments that are in place or we h ave done the testing of our products with these clients and we are just waiting for the manufa cturing to start so that we can start supplying to them? So, just wanted to understand a bit on this.

Santosh Yadav: So what you said is almost origin. Some of the customers , we have like soft commitment and some of customer we already like they approved our sample, so ju st we are waiting to for new facility to install them in mass production. And also we will add some new customer as well. So in recent, like this month like in February we are doing two exhibitions, one in the USA and second in India, like Bangalore aircraft and third in March we are doing in exhibition one in the USA and second in India like Bangalore aircrafts and third in March we are doing in Germany for ISH.
So that we will add new customer. We will like increase our like demand from existing customer and then some customer we are waiting for projects to start. So if I club these all three, four regions, so then there is a requirement actually.

Rucheeta Kadge: So, just one more follow up on that sir. So, these customers, how big are these customers, would be for us? Like who we have already done testing for and from wh om we have already received soft commitments. How big are these people?
Santosh Yadav: So they are quite big, even one customer is you can say t hey are like buying heat exchanger compared to our existing top line maybe 4 times they are buy ing from other country or maybe other supplier. So they are quite big. Even some of like more tha n 100 crores and some of like around 50 crores or 60 crores in a year requirement.
Rucheeta Kadge: So, how much of this do we expect to acquire like from them like if their demand is so much? How much of it can we take? What is the pie that we can take?
Santosh Yadav: Actually base story is like that, when we started our fac ilities or facility like started with one floor, then we had second, third, fourth floor. So it means our existing facility is the optimized facility. So when big customers came to our facility, they c an just by themselves, they cannot meet our big requirements. So that's why we are coming with big fa cility, almost six check. So when they visit this facility, they can see by their, they can meet from there our requirement in terms of like building, machinery, layout and everything. So based on that actually, many commitment or many visits had already happened. So we are w orking on that and then it will, for sure when they will start, we will meet their quality sta ndard with delivery and quality and then slowly they will increase the requirement
Ruche

eta Kadge: Got it understood. Thank you so much.
Moderator: Thank you. The next question is from the line of Shivkumar Pr ajapati from Ambit Investments Advisor. Please go ahead.
Shivkumar Prajapati: Thank you sir for having my question. First of all congrat ulations for such a great set of numbers. So, my first question is on the revenue front. So, I think we are operating at the optimum level since last 2 to 3 quarters. So, this time we did around INR111 crore s. So, is there any change in product mix or something that made us to reach this level because hardly INR90 to INR95 crores of revenue was expected.

Santosh Yadav: Can you repeat again question?.
Shivkumar Prajapati: So, sir actually we are operating at the optimum level since last 2 to 3 quarters. So, is there any change in the product mix or high value product being sold thi s quarter that made us to reach this INR110 crores of revenue this quarter?
Santosh Yadav: No, like our old customers remain same. Of course, their require ment is increased. So, then also is added value in our system and also we added some like 1 or 2 customers from North America. So, they give us like some big order. So, that is why we are able to increase that and also honestly unable to provide to all customers. So, some of new customers jus t in queue.
Shivkumar Prajapati: Okay. So, my second question is on other income. I see the other income is too high in comparison to other quarters. Could you throw some light or could you please throw some light on this?
Santosh Yadav: Other income is there. I think two parameters are there. One is o ur incentive from government and second interest post because we received money from IPOs and then we received some FD amount interest. Okay.
Shivkumar Prajapati: So, my next question is on this North America and Europe. We are planning to expand in these regions. So, do we have any competition or competitor operating ove r there, that we may face any challenges?
Santosh Yadav: No, actually competitor one is from like Europe and one is from North America but some of them like operating in Mexico maximally. So, now we have l ike for us is one good news. USA put the duty 25% on Mexico as well. So, for us I think now we can easily compete to Mexico and Canada vendor as well, if they want to supply in USA.
So, Chinese actually our company is not there with Chinese earlier also and now not. So, we have to compete to European and North America manufacturer. S o, we can easily like able to compete very easily. Even they can get almost 10% of like th eir bottom line of saving if they receive our product.
Shivkumar Prajapati: And for post this regime change in USA, do we like antici pate any challenges after Trump coming in over there?
Santosh Yadav: No, for us I think it is better that I said because earlier we have some threat that some of manufacturer they shifted their facility in Mexico especial ly and then they are manufacturing in Mexico and supplying to USA because Mexico also labor cost is quite low compared to USA.
So, for us I think Trump from first day he put duty on Mexico as well as Canada. So, for us I think it is better chance compared to Biden.
Shivkumar Prajapati: Great. And sir my last question is on the Indian geography . So, I think more than 40% of our revenue comes from Rajasthan state which is obvious that we op erate over there. So, sir any

strategy to expand in other states because I realize that other states hardly contribute around 10%
each. So, what is the strategy to penetrate in Indian markets?
Santosh Yadav: Yes, actually we are thinking to open one facility for South I ndia but it is still under planning.
So, fully in next 6 months we will conclude on same and then we will update.
Shivkumar Prajapat

i: Great sir. Thank you so much. Best of luck.
Moderator: Thank you. The next question is from the line of Amit Rajput from Rits Capital. Please go ahead.
Mr. Amit I would request you to unmute your line and speak pleas e. There is no response from
the current participant. We will move on to the next participa nt. The next question is from the
line of Prerak Gandhi from Neumerc Research Lab. Please go ahead.
Prerak Gandhi: Hello sir and thank you for this opportunity. So, I just want ed a few clarifications with respect
to the new facility. So, sir in April the new facility will be operational or will we be just laying
the bricks for that? And what will be the current capex involved in th at with respect to that new
facility and what does that new facility inculcate?
Santosh Yadav: So, this new facility like actually there is total 4 S AD 1, 2, 3, 4. So, like 2 SAD almost complete,
3 SAD maybe will complete by this month and 4th one w ill complete next month. So, like SAD
1 and 2 already machine will be installed like bar and plat e, especially bar and plate. So, we also
made some Proto and we received one Proto order from government as w ell.
Secondly, like all SAD we will complete in March end and that is why we have said April and
we will be able to make Proto complete. Then office block will be slightly delayed like it will
complete maybe July or June end. We have like 4 weeks maybe tota lly if I club and 4 week we
have problem with this grab also because we are in NCR.
Let me list facility wise. So, we said like total our p roduction volume will increase by 6X
compared to existing facility and mass production will start from secon d half of next year.
Prerak Gandhi: Okay, perfect. Thank you, sir.
Moderator: Thank you. Thank you. The next question is from the line of Yashwanthi from Kojin Finvest.
Please go ahead.
Yashwanthi: Thank you so much for the opportunity and congratulations for t he great set of numbers. So, just
one query, why we have seen a dip in EBITDA margins?
Santosh Yadav: Can you repeat again? Your voice is not so clear.
Yashwanthi: I just wanted to understand what has gone wrong or why our EBITDA margin has shedded from
around 17% to almost 13% plus for this quarter?

Santosh Yadav: Percentage I have to calculate but actually if compared to like last quarter to this quarter so there
is only 2-3 things what I said. Like one is our employee cost i ncrease because we have hired 150
people for new facility. So, they are under like training.
And secondly, some impact on the -- for one month for raw materia l because earlier China giving
subsidy to their vendor. If they export then they receive 13% of the total amount. So, they almost
2 months back they already take back that facility. So , that's why they able to increase their price
and suddenly they increase other country price as well. S o, that slightly impact on us on raw
material price. The rest is the same.
Yashwanthi: And when you expect it to all these issues to settle down, the labor costs are contributing and
when we can go back to our earlier margin of around 17%-18%?
Santosh Yadav: Raw material price of course we already passed to our customer from 1st o f June but this 1st of
January. But this like employee cost is still we will ha ve some maybe next 4-5 month program
with HVAC because we have to hire people, we have to train them until we start mass
production.
Yashwanthi: Okay. Can you just shed a light on the competitive landsc ape in HVA and HVAC industry and
how does we differentiate ourselves or what are our competitiv e advantages as compared to our
competitors?
Santosh Yadav: Can you repeat this question again?
Yashwanthi: Basically I just wanted to understand how is the competitive la ndscape and what are our modes
or our competitive advantages that differentiate us from others.
Santosh Yadav: Actu

ally like if you see as on today, our maybe gross block is around INR70 crores of KRN
Heat exchanger actually. So, it means last 6 years we invested only INR70 crores and we

achieved probably this year around like INR350 crores like that. S o, this new facility in 1st row
we are investing more than INR300 crores plus and we are adding new product as well as
existing product.
So, it means this new facility will be like latest faci lity with the latest machinery, latest
technology including like we are importing some machine from Europe, even from USA, even
from Japan, even from China. So, as of now you can see as a prof essional heat exchanger
manufacturer maybe we will be the largest facility in India -- other than OEM s.
So, based on investment of course result will also come and we will c all to our all customers as
well as our export customers. So, based on facility I think if I compare to my competitor and our
distance will be quite long.
Yashwanthi: Okay. And now when these new capacities are coming up which investments you are putting in
the facility?

Santosh Yadav: So, new facility like April we will start like sampling for all produ cts and then mass production
will start from 2nd half year or next year.
Yashwanthi: So, in that case what kind of growth you project for FY26, o n the top line and the bottom line
basis?
Santosh Yadav: That exact number I cannot give you but like total.
Yashwanthi: Ballpark number in terms of the percentage growth you can say.
Santosh Yadav: Actually like 6 months we will have very less number but for 6x1 capacity mass production. So,
if I add all product then for sure growth will be there.
Yashwanthi: Okay. So, in your opening you mentioned that once this new capacity is coming up and it is
operational at a full capacity you will see around 6 to 7 times turnover which you had reported
and which is your current turnover. So, as you see, what is the indu stry growth driver you are --
sorry what is the industry demand driver you are seeing currently? A nd likewise have you seen
any demand or the product expectation from your existing clients or the new verticals region
wise you are expanding? You can see some demand growth for tha t. I mean you are expanding
the capacity but then how it is getting sufficed or meet the de mand?
Santosh Yadav: I got your question. So, actually there is 3-4 parameters. So, we are increasing our capacity
including other products as well. So, it means existing produ cts and other products. So, we are
adding like 4-5 new products as well. So, total we are expanding like 5 -6x.
Secondly, we will -- like our existing customer growth is t here. So, 20%-30% we are like
receiving growth from their side even especially data center growth is more than 30%. Secondly,
we will add some domestic customer to whom we are not sup plying now. Secondly, we will add
export customer to whom we are not supplying now or maybe we will sup ply some samples
only. So, they are waiting for mass production.
So, it means if I conclude from domestic existing customer t hen domestic new customer then
export existing customer and export new customer. And then fi fth one is new products. So, if I
club all things then we will able to increase 5-6x.
Yashwanthi: Just now you said that you are not able to meet the expor t demand which is currently there or
you are not supplying to the export which is currently there. So, is that the capacity was the
constraint for us?
Santosh Yadav: Yes, existing we don't have capacity actually. So, for export actually like whatever we are
supplying so we are supplying like 3-4 years. So, they are g rowing. So, we are also growing but
new customer we are unable to supply because of capacity constraint .
Yashwanthi: Okay. And how much is current export contribution to our revenue and post these expenses
wher

e do you see going forward?

Santosh Yadav: Can you repeat this question again?
Yashwanthi: What is our current contribution coming from the export? In t he revenue how much export
accounts for?
Santosh Yadav: Now percentage around 20% of total top line and next like shortly w e will try to make like more
than 50%.
Yashwanthi: Okay. So, domestic with the existing client and the ne w client it will contribute around 50% and
again export existing and the new region and the new c lients it will be contributing towards 50%
in the 5-6x revenue growth. Am I understanding it correctly?
Santosh Yadav: Yes, correctly.

Yashwanthi: And just quickly last two questions you might have me ntioned or I might have missed out, our current order book and the executable period.
Santosh Yadav: No, order book we have not like that actually we have like r olling actually. So, like one of may be customer they are making their machine may be 100 piece in a month. So, t hey give me like forecast may be for 2 month and for PO for 1 month only. So, each month it is rolling. So, we have to supply to what they are making. So, based on our order book always there.
Yashwanthi: Okay. And what is our current working capital cycle?
Santosh Yadav: Can you repeat this again? Your voice actually very less.
Yashwanthi: Okay. What is our current working capital cycle?
Santosh Yadav: Current working capital cycle is 90 days approximately.
Sonu Gupta: 90 days.
Yashwanthi: Okay. Thank you so much and wishing you the best for the coming qua rter.
Moderator: Thank you. The next question is from the line of Mithun from Kiva advisors. Pleas e go ahead.
Mithun: Just wanted to understand your current capacity and how is that going to change in the next 6 months or a year's time once you put up this new capacity or s ome rights issue also you are subscribed to your subsidiary. Could you just take us through that ca pex plan and how capacity will change?
Santosh Yadav: Like adjusting our one capacity in KRN Exchanger and second c apacity in KRN HVAC Phase 1. So, these both capacity we are almost full and Phase 2 of KRN HVAC we will start like Proto from April end or May early. Then for our existing product of co urse we will pick capacity very quickly.

For other product we have to go through line the customer appro vals or proto testing and like that. So, that is why we are claiming our mass production restarting second half year of the next year. So, total capacity if we compare to existing we are targeting 5x to 6x of top line.
Mithun: Sorry, 5 to..?
Santosh Yadav: 5x to 6x
Mithun: Okay, of the current capacity?
Santosh Yadav: Yes.
Mithun: That will be ready by when?
Santosh Yadav: Like trial will be ready by April end but for mass production sec ond half year of next year.
Mithun: And your existing products capacity is going by how much and new products is how much?
Santosh Yadav: So, if like new product we added like 5 new products and 1 existing. So, if I total like half and half may be. So, existing will be 3 times and 3 times will be oth er product.
Mithun: So, other products is the first time you are making it?
Santosh Yadav: Yes, but they are also heat exchanger actually, not different lin e only this line of business. So, customer is almost same and the product is also heat exchanger.
Mithun: You are saying 5x to 6x of the current capacity meaning you can do 5 times the revenue of FY25 or?
Santosh Yadav: We will -- like we are assuming or we are planning to achieve in next 3 financial year start from April.
Mithun: Sorry, I did not understand it sir.
Sonu Gupta: FY'25 end of the year results, we have assumed that we will multiply by 5 times in the coming 3 years time.
Mithun: Okay, And these products that you are manufac

turing the end co nsumers would be which of these companies because you mentioned these orders are base d on the requirement of the client. So if there is a demand shortage or something would there be a proble m that you would face?
Santosh Kumar: No, like it is a B2B business. So, whatever like part we de velop for some of customers. So, we are supplying 100% to them. But if like we are asking some new dev elopment then of course we are taking time. Secondly, we are unable to add new customer or new part number due to capacity constraint.
Mithun: And how much would your top few clients contribute or top 5 clients in t erms of orders?

Santosh Kumar: Top 3, I do not have any tips but it total top 10 is contribute 80%.
Mithun: Top 10 contributes 80% but top 3 would be how much?
Santosh Kumar: Top 3, I think I am not correct maybe roughly it is around more than 50%.
Mithun: Top 3 is it?

Santosh Kumar: Yes. Like top 1 is our Daikin. So, they contribute almost 25% to 30% a nd then Schneider 15%. So, that is why I am telling 50% around.
Mithun: I am just trying to ask you, for example, if Daikin or one of y our clients sees an issue in terms of demand, then what happens is my question, because you are putting up so much of capacity?
Santosh Kumar: Then our as of till now we are adding 2 new customers each mo nth. So, this is our average actually. So, as of now it is not seems to us that their demand will reduce. However, if it reduced, then we will add new customers as well. So, we are working on both verticals now.
Mithun: So, it is mainly the AC industry. There is no other industry that you are targeting?
Management: It is HVAC&R, heating, ventilation, air conditioning and refrige ration.
Mithun: Okay.
Santosh Kumar: So, this includes all commercial sites like automobile, bus, air conditioning, metro, train, then data center cooling, power plant cooling, then heat pump, th en swimming pool heat pump and then.
Mithun: Got it.
Santosh Kumar: VRV, yes all.
Mithun: Understood.
Moderator: Thank you. The next question is from the line of Ajay Surya from Nivesha ay.
Ajay Surya: So, my question is sir on the margin. Sir, if I look at our pa st financials, even before financial year 2022, the gross margins were around 20%. But in last couple of years, the gross margins have suddenly moved up to 29%-30%?
So, wanted to understand, what has changed in the industry, which ha s led to the increase in the gross margin. And also sir, in the current quarter, we have see n a dip in gross margins. So, going forward, how should we look at the gross margins?
Santosh Kumar: So, first actually when we started business, so we starte d with small OEMs or aftermarket clients only. So, that time our margin is slightly very thin. So, then w e asked to big OEMs to visit us or we adopted to start with them.

So, then we have on board big B2B customer or even export al so we started from second year. So, then we have order from big clients or export side. So, then now we are not working with small OEMs or maybe in aftermarket.
So, then you can see that we are able to increase after 3 ye ars and then now we are on same level. And this particularly slightly down because of the main reason is our manpower cost increase, because of our new facility. We added more than 150 p eople for new facility. So, now we are giving the training to them to shifting before them, so, that is the reason.
Ajay Surya: Sir, but also wanted to understand, because we are also expanding such rapidly and such hugely like 6x capacity expansion. So, what is the capacity expansi on that is happening across the industry? And I mean what gives us the confidence to, like w e will be able to maintain the margins going forward?
Santosh Kumar: Now, this capacity, I

think I already replied confidence. Second ly, about margin actually new facility of course next 6 months, we will have some need fr om manpower cost. But after 6 months we will have 3 to 4 regions to able to sustain the margins.
So, first number one is, we will increase our export side. So, our margin is slightly good compared to domestic in export. Secondly, our electricity cost w ill be very less because we are putting solar.
Ajay Surya: Sir, my question is on like, because in last call also, we mentioned, that roughly we have a market share of around 20%-25%. And we are now expanding 3x in the exist ing products. And I mean, is there no capacity expansion done by other players, like , any other competitor who is expanding?
So, just wanted to understand, like, how is the capacity expansi on happening across our peer group? Like how are they looking at the going forward demand? Are they not expanding or like just wanted to know more on that?
Santosh Kumar: No, honestly, about peer we cannot comment they are expandi ng or not. But for us we can see the visibility in the market. We can see the demand. So, that is why we are expanding. So, peer we cannot comment. Secondly, about industry of course everybody is growing.
So, you can see new HVAC hub in Sri City. So, everybody p ut their facility there like Daikin, Voltas, Havells, Blue Star all. So, industry growth is there a nd like OEM of course they are expanding.
But our competitors, they are not much aware. We cannot comm ent on that. Secondly, confidence, I think that question I already answered, why we are expanding?
Ajay Surya: And sir last question on, so we are now moving into bar an d plate heat exchanger, which we will supply to locomotives. So, I got to understand, it is a tendering process for which we will have

to bid and get the orders right. So, sir wanted to understand, like becaus e to win we will have to

build L1 or be the L1. So, how will the gross margin differ from ou r existing product and in bar plate?
Santosh Kumar: So, yes you are right. There is the bidding process. So, we got the like 10 number for as a proto development under bidding only.
And what we studied are compared to raw material and EBITDA o r maybe gross margin. So, there is the - if we compare to our existing product. So, margi n is better even L1 if we like last 2 or 3 year which we study. So, margin is better compared to an existing if we compare to L1 prices.
Ajay Surya: Got it sir got it. So, all the best for future, and also w anted to ask like can we have a plant visit arrangement to know more about the company and the expansion plan.
Santosh Kumar: Yes, that is I am requesting to all. So, this is the best idea honestly if you see our facility. So, we are making like world best facility, even like, this will be the largest facility for our product in India as well as South Asia.
So, you can connect with our IR agency Mr. Sunil. So, and then yo u can plan. So, we are near to Delhi airport around 2 hours from Delhi airport. So, for sure, we are most welcome to all you can visit us.
Ajay Surya: Okay sir thank you and all the very best for the future.
Moderator: The next question is from the line of Hardik Gandhi from H PMG Shares and Securities. Please go ahead.
Hardik Gandhi: Nice numbers for this quarter. So, just wanted to ask a few q uestions, first, there was a dip in the export numbers. We said that there is a huge demand on the e xport side, but there was a on a consolidated basis, there was a dip in export numbers. So, can you help wi th that?
Santosh Kumar: Actually, as of now we are exporting to our existing client o nly. So, last like we added one customer from North America only. So, now we are accepting order from there on ly.
So, it means we are unable to start mass production to new cl ients. So, there is, maybe, if you compare to

whatever order we receive, we achieved the delivery for same. Secondly, December end there is some delay for one or two weeks because of this Christmas festival. So, then we dispatched in this January month. So, if you see like January month our export will increase for sure.
Hardik Gandhi: Understood. Makes sense. And so second thing is we received a PLI for roughly INR140 crores and along with that we have an MOU with the Rajasthan g overnment. So, if you can just help me understand the economics of it how will it help us?

Santosh Kumar: So, this Rajasthan government, actually there is no impact on commercial side. Actually just we like signed the MOU under INR1000 crores for next 5 years. We c an invest in Rajasthan and we give the employment. This is the just.
Secondly, there is another policy called RIPS, Rajasthan In vestment Promotion Scheme. So, this policy is there. So, we can like it is 24 policy, year 24 . So, there is the like provision we can receive 1.4% to 1.6% of the top line for next 10 years. So , whatever we will do the top line, a government give you the incentive or subsidy for 1.4% to 1.6% and for 10 years.
Secondly, about PLI. So, PLI actually we applied and then they forwarded our application of the COE like this committee of the expert. So, they called us in this Monday only. So, just brief about our product or our company. So, fully they will announce the final result may be 1 or 2 weeks.
So, if we will receive the PLI then there is some calcu lation. So, I don't have much idea like on that. They will give 6% to 4% for next 3 years on the top line of the production or incremental on the last year. So, this we will maybe more brief on in next cour se.
Hardik Gandhi: For how many years?
Santosh Kumar: Actually, they started this PLI before 2 years. So, that I am not sure they will like consider us say from phase or from like as expansion. So, if they will like co nsider as expansion they will give us 3 years and if they will start from 0 then it is 5 years. So, that rule is not clear as of now.
Once we will receive the approvals then same application we will receive this thing also.
Hardik Gandhi: Understood. And for RIPS that was 10 years, correct?
Santosh Kumar: RIPS is 10 years. Actually, RIPS also there is 2 options. So, w e will choose option this for 10 years.

So, there is 1.4% to 1.6% of top line for 10 years. But if we receive like HGST deposit and then we can claim, that is for 7 years. So, we will choose this top line one.
Hardik Gandhi: Understood. And this will be added to the other income or how will this be accounted for?
Santosh Kumar: It will be other income.
Hardik Gandhi: And the last question is on the gross margin. I will not ask all the previous questions. I just wanted to know from you what would be a good approximate blended gross margin or EBITDA whatever is comfortable going forward we can assume on the products?
I understand for the next 2 quarters we have pressure from the employees because we are training them and other things because of the production ramp up. But I am asking you after 9 months period or 10 or a year from now that once all the things are normalized what would be a good gross margin?

Santosh Kumar: I got your point. So, actually as per my personal opinion, I t hink I replied region of the key why we can able to increase. So, if I include all these 3, 4 re gions. So, we will able to increase 1% to 2% on existing.
Hardik Gandhi: Okay. Perfect. 1% to 2%. Thank you so much sir. I hope to see y ou in the plant region. All the best.
Moderator: The next question is from the line of Lakshay Agarwal from GrowthSphe re Ventures LLP.
Lakshay Agarwal: So, I had just one question. Like you had earlier mentioned that t he fluid and steel which is

a
finned tube heat exchanger. It is something which is require d in the data center. If you could help me with what percentage of revenue do we get from in this current ye ar?
Because FY'24 you had mentioned that it was 7% of our revenue. And what is the anticipated revenue going forward in the next 2 to 3 years?
Santosh Kumar: So, actually we didn't prepare that data, so, unable to answe r. But however there is one thing I can tell you. This increasing is in good condition. So, maybe if you give your maybe drive we can prepare and then we can forward to this data. But it is increasing for sure.
Lakshay Agarwal: Okay. Sure. I will reach out to the IR for the same. And sec ondly, what could be the margin profile? Like is it similar to what the existing products we have or for this the margin profile is different?
Santosh Kumar: Actually it depends on customer and product type. So, we hav e like cost sheet actually customer wise. So, like if one customer we already free the cost sheet.
So, whatever product will come then same cost sheet wi ll follow. So, if you will add new customer, and if export, then of course we will slightly charge more as compared to domestic.
So, it depends on customer, and of course product and then volume als o. If they need one piece or multiple or something like that actually.
Lakshay Agarwal: Okay. Understood. Currently which are the customers to which we are suppl ying this product?
Santosh Kumar: So, we have almost 3 to 4 customers. So, they are using our product in data center application.
Lakshay Agarwal: Okay. If it won't be any problem can you mention names of these 3 to 5 customers?
Santosh Kumar: I can mention only one Schneider Electric. So, they mainly we are supplying to them for data center.
Lakshay Agarwal: Okay. And do we also have a product mix in terms of how muc h of the total revenue do we have currently of the evaporator and condenser coils or is it something which need s to be prepared?

Santosh Kumar: That also needs to be prepared, but honestly there is no m eaning of condenser in our product because both product for us is same. Our manufacturing is same and only for like application customer wise is different. So, if still you need we will provide.
Lakshay Agarwal: Okay. So, thank you. All the best.
Moderator: The next question is from the line of Hitesh Bhandari from CJ S hah Family Office. Please go ahead.
Hitesh Bhandari: Thanks a lot for giving me the opportunity. One question is on the revenue side like you suggested we would be able to do 6x in 3 years. So, wanted to understand the bridge for the 3 years once we get to 6x. What could we expect for 25 and 26 if you have some rough numbers that you can maybe guide us to?
Santosh Kumar: Actually numbers, I think we are unable to provide, but like total, we will try to achieve.
Hitesh Bhandari: So, roughly on the capacity side how much of the capacity we will be abl e to utilize of the total 6x capacity that we are thinking. How much each year would we progress on the utilization path?

Santosh Kumar: So, roughly I can give you an idea, like that we will st art the proto from early next financial year and then mass production will enter in mid of the year, and the n full capacity we will try to achieve next 3 years. So, then same percentage you can calculate.
Hitesh Bhandari: So, basically sort of a linear growth in terms of utilization grow th.
Santosh Kumar: Yes, actually we will add new customers. So, some cust omers will need approvals, especially for new products. Of course, we will have less effort to incre ase our growth in our existing products. But for new products, we will start for small OEMs, a nd then still after market and then we will enter in.
Hitesh Bhandari: Right, So, like we mentioned, that from mid of next year we w ould be able to enter mass production. So, now loo

king from there, like, we do have some s oft commitments and a few customers whose demand we are not able to fulfill right away.
So, how much of the demand would be available right away, say , once we get into mass production of the 6x capacity? How much say 1x or 2x we wou ld be able to supply right away and rest we would need to grow?
Santosh Kumar: That percentage I can maybe just we have to make a document and then we can tell you.
Secondly, like we already hired our domestic sales head. So, now we are hiring some more people.
So, now we are going to customer for each product, and we are li ke some customer also they visited, and some they may be visited in coming week or months. So, based on that we are doing meeting with all of customer, and then we are showing our fac ility. So, of course soft

commitment is there, but we cannot give the wrong commitment to market. So, first we will have complete data then we will let you know.
Hitesh Bhandari: Understood. So, and sir last question on the margin side. So, jus t wanted to understand like you mentioned, there is a cost sheet kind of a structure.
So, does it work on a cost plus margin model or is there like sort of fixed pricing and then it changes. So, if it is a cost plus margin model, then ideally w e would want to have a fixed margin in our mind that this is something we want to make. So, what is that p ercentage?
Santosh Kumar: No, like we have a customer like old type of customer like some maybe running mass production, big customer, some may be small quantity, some may be spec ial application. So, based on customer or based on application, we like have customer base, and then their cost sheet is fixed.
So, if we fix one cost sheet with one customer, then if we will add like new product, then of course same cost sheet will follow.
Then other than like domestic cost sheet we have different an d for export of course we have different. So, based on that we already confirmed our margin will sligh tly increase compared to our existing margin in coming years.
Hitesh Bhandari: Right. So, this cost sheet it is revised once there is a revision in the pricing or how does it happen?
Moderator: Sorry to interrupt Mr. Hitesh, your voice was not clear. I would re quest you to please repeat your question.
Hitesh Bhandari: So, this cost sheet is revised say on a monthly basis or once there are changes then only we intimate the customers on the revision in pricing?
Santosh Kumar: No, we have some of customer like one month average, but ver y less, but mainly 95% customer we do average change quarterly basis. So, it means we change ou r price with the existing customer four times in a year. Alright.
Hitesh Bhandari: Thank you so much.
Santosh Kumar: Thank you.
Moderator: Ladies and gentlemen, we will take that as the last quest ion. I would now like to hand the conference over to Mr. Kapil Yadav from the Dolat Capital for closing comments.
Kapil Yadav: Thank you Operator. Santosh sir, you would like to make any closing rem arks?
Santosh Kumar: No, I think from my side all okay. I am again requesting to all to visit us actually so you can see our facility what we are building up, and then based on that maybe your 90% of question of course by default will be answered. Rest of you will answer during the visit. So, if possible connect with Kapilji or maybe Sunilji and then make a plan i n group maybe 5 to 10 people and visit to us. It will good for us.

Kapil Yadav: Thanks a lot sir. Thank you very much and all the participan ts, thank you very much. If any question is being unanswered, do let us know. We will prov ide offline sessions with the

management. Thank you Santoshji and thank you CFO sir for taki ng out time for this call. Thank you everyone.
Moderator: Than

k you. On behalf of Dolat Capital that concludes this conference. Tha nk you for joining us and you may now disconnect your lines.

Call: May 2025

KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
(Formerly Known As KRN Heat Exchanger And Refrigeration Pvt. Ltd.)
Registered & Work Office: Plot No.: F-46,47,48,49, EPIP, RIICO Industrial Area, Neemrana – 301705 (RJ)
CIN No.: L29309RJ2017PLC058905 Contact No. 9116629184

(+91)-9116629184 info@krnheatexchanger.com www.krnheatexchanger.com

Date: 20th May, 2025

To,
BSE Ltd
Phiroze Jeejeebhoy Towers, Dalal
Street, Mumbai- 400001, Maharashtra,
India

Script Code: 544263 To,
National Stock Exchange of India Limited
Exchange Plaza, C-I Block G, Bandra Kurla
Complex, Bandra (East), Mumbai-400051,
Maharashtra, India

Script Symbol: KRN

Subject: Transcript of Investors/Analysts Call held on 15th May, 2025

Dear Sir/Madam,

With reference to our letter dated 11th May, 2025 in respect of Investors/Analysts Call, held on Thursday, the 15th May, 2025, please find enclosed herewith the Transcript of discussion held during the said Investors/ Analysts Call.

The aforesaid information shall also be disclosed on the website of the Company at www.krnheatexchanger.com .

Kindly take the above information on your record.

Thanking You,

For KRN Heat Exchanger and Refrigeration Limited
(formerly known as KRN Heat Exchanger and Refrigeration Pvt. Ltd.)

Santosh Kumar Yadav
Chairman & Managing Director
DIN: 07789940

“KRN Heat Exchanger and Refrigeration Limited
Earnings Conference Call”
May 15, 2025

MANAGEMENT : MR. SANTOSH KUMAR YADAV – CHAIRMAN AND MANAGING DIRECTOR – KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
M R. SONU GUPTA – CHIEF FINANCIAL OFFICER – KRN HEAT EXCHANGER AND REFRIGERATION LIMITED

M R. JITENDRA SHARMA – COMPANY SECRETARY –
KRN HEAT EXCHANGER AND REFRIGERATION
LIMITED

MODERATOR : MR. YOGESH PATIL – DOLAT CAPITAL MARKETS
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the KRN Heat Exchanger and Refrigerator Ltd. Earnings Conference Call hosted by Dolat Capital Markets Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Yogesh Patil, Lead Analyst from Dolat Capital. Thank you and over to you, sir.
Yogesh Patil: I would like to extend a very warm welcome to all the participants for taking the time out to be on this call and management for taking the time out to present us the scenario of Q4 FY25 and full year FY25. We have with us Mr. Santosh Kumar Yadav, Chairman and Managing Director. Mr. Sonu Gupta, Chief Financial Officer and Mr. Jitendra Sharma, Company Secretary.
I want to hand over the call to management for initial remarks and then we will have questions and answers. Over to you, sir.
Sonu Gupta: Good evening, everybody. Myself Sonu Gupta. It's a pleasure to welcome you all to KRN Heat Exchanger and Refrigerator Ltd. Q4 and FY25 Earnings Conference Call. Thank you for taking the time to join us today. As we close out FY25, I can confidently say this year marks a defining chapter in our journey, driving by the strong execution, expanded capabilities and strategic breakthrough.
We are operating in a landscape marked by accelerating industrial electrification, growing demand for energy-efficient cooling solutions and a global supply chain shift. We've made significant progress on multiple strategic initiatives this year. Our HVAC business continues to see robust connection with capacity utilization, maintaining above 90%.
The refrigeration vertical is set to be the prototype market entry by May 2025, backed by the strong OEM and aftermarket interest. One of the biggest breakthrough this year has been our approval as a vendor by the Ministry of Indian Railways. Our wholly owned subsidiary, KRN HVAC Products Pvt. Ltd. has received official recognition from Ministry of Indian Railways for the supply of oil cooler radiators for converter transformer. We have already delivered a 10-unit prototype order to Banaras Locomotive Works, BLW.
We also incorporate Thermotech Research Laboratories Pvt. Ltd., a wholly owned subsidiary, focused on HVAC testing and training. This aligns with our strategies to push deeper into R&D.
Moderator: Please hold, ladies and gentlemen. The line for management has disconnected. We have the management reconnected in the call.
Sonu Gupta: Okay. So, I will make a quick financial. One of the biggest breakthrough this year has been our approval as a vendor by the Ministry of Indian Railways. Our wholly owned subsidiary, KRN HVAC Products Pvt. Ltd. has received official recognition from the Ministry of Indian Railways for the supply of oil cooler radiators for converter transformer.

We have already delivered a 10-unit prototype order to Banaras Locomotive Works, BLW. We also incorporate Thermotech Research Laboratories Pvt. Ltd., a wholly owned subsidiary, focused on HVAC&R testing and training. This aligns with our strategies to push deeper into R&D and testing lead innovation. Our capacity expansion through KRN HVAC Products Pvt. Ltd. is progressing well. With civil work nearly completion, we will start commercial production soon. We also successfully implemented, as per HANA Cloud version, our SAP ERP system on April 1st for our internal operation, which will help us improve operational efficiency, enhance internal visibility, and strengthen process control as w

e speak.
Now, a quick look at our financials. For Q4 FY25, on consolidated basis, we delivered a strong performance with revenue of INR135.83 crores, marking a robsut year-on-year growth of 62.3%.

EBITDA stood at INR18.89 crores, registering a 7.48% increase, while net profit rose to INR14.87 crores, reflecting a healthy growth of 23.44% compared to the same period last year. For the full year FY25, our consolidated revenue reached INR441.71 crores, growing 40.79%. Year-on-year EBITDA came in at INR70.54 crores, up 20.63%, and net profit stood at INR52.88 crores, a growth of 34.25% over the previous year. On a standalone basis, Q4 revenue is INR132.16 crores, up 58.18% year-on-year EBITDA rose 13.07% to INR20.24 crores, and net profit increased by 10.98% to INR13.75 crores.

For the full year standalone, we recorded revenue of INR438.47 crores, reflecting a 39.82% growth. EBITDA was INR70.01 crores, up 20.50%, and net profit was INR50.17 crores, an increase of 25.79% year-on-year. Looking at the revenue mix, the domestic business contributed INR362.4 crores, accounting for approximately 84% of total revenue, with a growth of 49%. Overseas revenue stood at INR67.5 crores, driven by strong performance in the EU and Canada. Our export grew nearly 49% year-on-year, and now contributes 16% of consolidated revenue, again led by the transaction in the EU and Canadian markets. We are aiming to increase this share to 30%-35% by FY26.

With product pricing 20%-25% lower than EU peers and faster development cycle enabled by our in-house labs, we are strongly positioned for global expansion. While we did face some margin pressure during the quarter, we remain confident in our long-term leverage, solar adoption, increased automation, backward integration, and a rising export share. These factors are expected to support sustainable margin expansion.

Our growth team stands in high standard as around 480 continue to be key pillars of our execution and innovation capability as we scale. Further, the Rajasthan RIPS, and our application RIPS incentive enhance profitability. Looking ahead with a strong sectoral demand, a growing order pipeline, R&D capabilities and new capabilities coming online, we are entering a very exciting phase of our journey.

In line with our long-term vision and commitment in the Make in India initiative, I am also pleased to share that our wholly-owned subsidiary KRN HVAC Products Pvt. Ltd. has received approval under the Government of India Products Linked Incentive PLI scheme for white goods. The approval comes with a sanctioned financial incentive of INR141.72 crores, which will play

a vital role in supporting our backward integration strategy, development and localised component ecosystem and accelerating our business.

In closing, I would like to thank our team, customers and shareholders for their trust and support. We remain committed to building a high-growth, innovation-led and global competitive company. With that, I now open the floor for Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Nikhil Singhania, HNI Investor. Please go ahead.

Nikhil Singhania: Thanks for the opportunity, sir. Sir, just two small questions. Sir, first is related to today's filing about PLI scheme benefit of INR141.72 crores. Can you share some more details about it? And second question is related to the increase in material cost. How do you see it going forward?

Management: Good evening to all. I think that is good because today we received the PLI approvals around 11 o'clock today by mail. So, that same we updated it on both exchanges also. So, that actually is called product link incentive. So, whatever production we will make and we will sell, there is a top line percentage we will receive from government and like total they approved INR141 crores. So, t

here is a criteria like what maybe turnover we will do and what we will sell and then they will give us the percentage of total sale. So, other like rules and regulations we will receive in next one or two days. So, once we will have all rules and regulations, then I will let you know. But now conclusion is like that, earlier policy they have like that 6%, then 5% and then 4%. So, we can get the incentive in next three years in terms of these percentage for top line.

Your second question about little pressure on EBITDA. So, actually last quarter we have three things. I think we calculated that our EBITDA is down around 1.7% if we compare to last. So, we received some seasonable sales like not regular sales. So, some you can say some increase the sales, we received some order with less margin. Secondly, we sold some raw material actually to our OEMs. So, last actually I have quarter some pressure or this maybe issue with the BIS.

So, some OEMs have material shortage. Somehow we have scope. So, they ask us to sell the material. So, we have to sell because they are our original customer also for our product. So, that is raw material we cannot get the same percentage of margin. So, we sell in less margin. And secondly, we have some more employee for training which will transfer to HVAC products. So, that is our employee cost increase around 1%. So, if I club in three reasons, then around 1.7%. So, that is the main reason for EBITDA pressure. Thank you, sir.

Moderator: Thank you very much. The next question is from the line of Reet Ranawat from Aventus Capital. Please go ahead.
Reet Ranawat: First of all, I have 2-3 questions. So, in one of the analyst calls, you mentioned about the refrigeration facility. So, could you please clarify that KRN has already developed a refrigeration facility or are there any plans to establish one? So, could you give some information about that?
Management: No, I actually mistyped that word. What about you? Maybe can you come again for that?

Reet Ranawat: No, you mentioned about the refrigeration facility in one of the analyst calls. So, what was it about?
Management: This is a laboratory, right?
Reet Ranawat: No, you mentioned about the refrigeration facility.
Management: So, for refrigeration, we are already in like, actually, I am unable to get your right question. But, however, for refrigeration, like we are making completely refrigeration machine, like for indoor units, we are already making for Daikin India. So, Daikin India, whatever selling for indoor, for refrigeration, this cold storage, we are already making. And for heat exchanger also, we are making for refrigeration industry. So, that is my answer.
Reet Ranawat: Sorry? You mentioned around INR450 crores of revenue from that facility. So, what was it about like?
Management: Okay, this is for refrigerator, not refrigeration. Now, I understood. So, actually, for refrigerator, we are making three products. So, one is called roll boundary operator, second is the fin tube and third is the wire on tube condenser. So, three products belong to component for refrigerator industry. So, that top line, what you said, we can achieve in next three years.
So, now, we receive all machines under installation and we receive some small order also from aftermarket. And for OEMs, since last three months, we are under discussion. So, we receive the RFQ with many OEMs also. Even Havells near to us, they will also make refrigerator. It is from our factory to, I think, our distance is around 11 kilometers. So, they will also start mass production from September.
So, we are discussing with Havells also. So, this facility, we will start soon, including our existing facility. So, that top line, what you said, we can achieve in next three years. But slowly, capacity will increase. We will receive revenue also and you can see the end

result also,
incoming results.
Reet Ranawat: So, this is under the new subsidiary, right? HVAC subsidiary?
Management: Yes, it is in new subsidiary.
Reet Ranawat: Okay. So, another question that I had was, so now our main end user industry is HVAC industry. So, with the theoretical capex, so can we see a factorial shift in the end user industry or like our focus will remain on the HVAC industry only?
Management: Sorry, actually your voice is not clear to me. Hello.
Reet Ranawat: So, right now our main end user industry is HVAC. So, coming with the theoretical capex, so do we see a factorial shift in the coming years or HVAC remains our focus?
Management: As of now, all products are related to HVAC are only like heating, ventilation, air conditioning and refrigeration only. However, we can like add a similar other complete product as well for, but industry will remain same as of now.

Reet Ranawat: Okay. And one last question is that, so how will the new R&D facility contribute to KRN revenue?
Management: Yes, that is a good question. So, actually this facility will be made like as a separate. So, there is a separate plot number, separate building and we invest in separately and even name is also not linked to KRN. So, its name is Thermotech Research Laboratory and we did MoU with AHRI also. So, AHRI is our agency from North America and is the maybe biggest agency for certification and these maybe quality standard for our industry. So, there is no laboratory as of now for -- like which is approved by AHRI.
So, this will be the first laboratory. They already we have MOU with AHRI and we will do as a third party, other testing also for complete the industry. They can come and they can test based on like international, Asian, American and of course Asian.
What we will do for our product? So, as of now we are making based on customer input or based on software, we can design the product and then we can offer to customers. So, then customer have to test by themselves only. So, then they have if sometime issue then they come again and

then it is like taking that too much time.
So, now what we will do? We will do --we will based on their input, we will make the product and then we can test by ourselves for performance, for air flow and then pressure drop. So, we will have certification from our laboratory. Laboratory of course is the independent laboratory and third party based on international standard.
So, they can believe this product is -- they can use on their product directly without test.
Secondly, what we will do? Like as of now all OEMs, they are busy with on their new development or new coming projects. But existing what they already approved, they are not doing want to change.
Because if I want to some offer some savings, because when maybe 10 years back to design what that small tube diameter is not there in the market. So, once they start maybe from half inch and now you can see we have almost 5 geometry belong to 5 inch tube diameter also. So, what we will do?
We will take their old model, we will test them with original condition and then we will propose with our product. And we will do all test and then once complete the testing and then we can come to -- maybe we will go to the customer. And then we can offer this is your product and you can save that money because of if you can change the heat exchanger.
So, that mainly European and USA they have very less resources in terms of R&D and less manpower. So, that is we are thinking we will convert faster our market for both European and for North America.
Reet Ranawat: Okay, so do you have a number in mind for that revenue share?
Management: Revenue will be remain same because revenue will come from HVAC only from facility. But customer will believe if you have laboratory and you can have testing facility. So, they can

believe on your product and they can value addition. So, they can offer us some like a slightly up margin as well.
Moderator: The next question is from line of Shivkumar Prajapati from Ambit Investment Advisors.
Shivkumar Prajapati: Sorry if I am repeating the question but my call got disconnected. The first question is on margins. So, I need some clarity that our pricing is like whatever the prices are going on for the last quarter. We average it and we price our product for the next quarter. So, what led to the fall in our margins for this quarter?
Management: So, for this quarter like our EBITDA maybe you can say down around 1.7%. So, there is the three reasons which I already told. However, I can repeat again. So, first we received some seasonable sales in the last quarter. So, the seasonable sales we received less margin. Secondly, we sold some RM only to our OEMs.
So, RM we have less margin compared to our existing product. And third one, our employee cost increased because we hired some employee in KRN Heat and they are going to trend in KRN Heat and then they will transfer to HVAC. So, that three impact is total is around 1.7%.
Shivkumar Prajapati: So, but if we see on Y-O-Y basis in Q4, FY24, our margins were above 21%. So, it's a big fall around 7%, 700 bps?
Management: No, that is not correct.
Sonu Gupta: 7% is EBITDA. 7.4% is a increase, not decreased.
Shivkumar Prajapati: No, no, sir. I am talking about the EBITDA margins and not absolute value. The EBITDA margins?
Sonu Gupta: No, I am talking also in terms of percentage. See that our EBITDA stood at INR18.89 crores. 17.48% as this was last year.
Shivkumar Prajapati: INR17.6 crores last year. Same period, yes. And the margins were around 21.4% for Q4, FY24, that is last year. And for this year, like the recent quarter, it is 14.4%. So, there is a gap of around 7 point something percentage. So, I am just trying to understand this huge gap?
Management: No, I think you are like maybe compared with that Q4, ‘24 to Q4, ‘25, right?
Shivkumar Prajapati: Right, right, right, right. Exactly.
Management: Okay, that I think compared, we don't have.
Shivkumar Prajapati: Okay, okay.
Management: If you want to give me maybe, okay, maybe we can separately we will reply because that data we don't have in front. Maybe I am discussing for Q3 to Q4 actually.

Shivkumar Prajapati: Okay, okay, sir. We will connect for this. And sir, my next question is on this UK FTA deal with

India. So, is there any favorable thing for us? And also, please, can you throw some light on this tariff impact by the tariffs which have been imposed by the US and also the trade talks between China and US. So, will these things impact our business?

Management: So, UK, actually we have some customer, like a small customer already we have in our portfolio. However, one big customer we are going for discussion. So, of course, they will have some maybe advantage if they will take from us. But before that also, they are discussing with us on serious note. So, as of now, we don't see the big impact on us from UK. But however, backside they will have some benefit.

Second question about USA tariff. So, actually USA earlier they are buying from maybe locally or from European or maybe from China. So, as of now, no customer wrote us on the tariff. And whatever we are discussing is continued. As of now, maybe they are thinking what will be the result on end. So, they also don't know and we also don't know.

But however, as of now, we don't have any impact. Third question about China and US trade deal. So, as per our personal opinion, I think whatever percentage they will decide, I think it will be compared to India. I think it will be maybe more compared to India. So, I think we will have benefit. And even this scenario,

other side also manufacturer from USA side.

So, I feel at least they have one other supplier from other than China. So, China plus one policy is maybe North America of course in Europe. Because they don't know what will happen after four years because of this tariff issue.

Shivkumar Prajapati: So, it seems that Phase 2 is on track. And did we start with the sample production that we were about to start in May?

Management: So, this before next call, for sure we will start. Actually, we have to commission of the production. So, first we can cut like now machine is under installation, some machine under trial. So, maybe next two, three weeks we will be able to declare production date. So, we need actually two, three weeks to conclude the things. But for sure, before quarter, for sure we will start.

Shivkumar Prajapati: So, sir, will this impact our commercial production that we were about to start from H2 FY26? I mean, what is the expected date?

Management: From Q2, like you can see on the top line for sure. And slightly we will start from this quarter end or early next week, early next quarter.

Shivkumar Prajapati: Okay, sir. And sir, like our run rate is around two to three new client additions per quarter. So, did we have any new clients on our list for the quarter?

Management: Yes, sir. That run rate remains same as of now also.

Shivkumar Prajapati: Okay, sir. And would you like to share the volume growth for the full year or say for the quarter as well?

Management: Number I cannot share. But however, you can see like quarter-to-quarter, of course. And then honestly, this PLI if you had, so that is good news for us that we received today only. So, it will also help us.

Shivkumar Prajapati: And sir, this BHEL post securing that trial orders, what is the expected business size from them for the next two to three years?

Management: Actually, this BLW have, I think, total 3,000 orders. And if you roughly like four, so I think INR1,200 crores total in term of, but there is seven to eight players. So, it's a tender based business. So, who will be like L1 that have maybe more business. So, it will start maybe after six months because now we have to submit our two proto for trial purpose in the next couple of weeks. And then they will run on their loco on running actual conditions.

It may be five to six months and then they will give us the approval for bulk tendering. Other than BLW, we are under discussing with other OEM also for same product. So, even we received some sample order also from other OEMs and we will like target to export also. So, there is a possibility from other OEMs some good numbers.

Moderator: The next question is from the line of Saloni Jain from Nirmal Bang PMS. Please go ahead.

Saloni Jain: So, I have a couple of questions. So, first is, since we are expected to begin commercial production from June this year, what kind of capacity utilization are we looking at in FY26 given the soft commitments we have from clients and the ruling order book? And what is the order size of tendering expected from Ministry of Railways?

Management: No, order like from this BLW as of now we received only 10 numbers like as a purchase order. But after that there is a tender around total 70 piece. So, I think 2 or 3 tenders. So, that also we like quote our price and we receive L1 confirmation. So, whatever they will convert in POS, we will have almost 70 piece as of now. But bulk tender will come maybe after June or July.

But once we have approved for bulk tendering, then we can enter around for bulk tendering. So, it will take 2, 6 to 7 months like for BLW. But we can supply to other OEMs like local OEMs

so that we can supply. And what was your first question? I missed actually.
Saloni Jain: It was on the capacity utilization.
Management: Capacity. So, capacity what we told like before also in other

calls. So, this year we are targeting
around 20% to 25% of utilization from new facility.
Saloni Jain: Okay. And so, could you give a break-up of revenue with respect to commercial, automotive and data center in FY24 and '25? And how do we expect this mix to shift in next 3 years?
Management: So, this automotive and data center. So, we not actually calculated based on industry. So, that data maybe I can provide maybe later. But the growth is there for sure. So, we already wrote down. So, these 2 data we will share. But data center of course growth is there almost 60% to 70% from OEMs, existing OEMs. So, it will continue.

Saloni Jain: Okay. So, can you tell me if we expect. So, right now majority of our revenue is coming from HVAC. So, that are we expecting that from commercial to data center there will be a shift?
Management: Data center also we called HVAC. Of course it is the same process. So, we not calculated based on that. But if you like maybe change the maybe industry size then of course they can convert. But we are considering HVAC and our only data center.
Saloni Jain: Okay. And so, based on the previous participant's question also, are we aggressively trying to target US market now after the tariff war that we have seen between US and China? And it is a common understanding that China will definitely have a higher tariff than India. So, are we aggressively targeting that market as well?
Management: Yes. Actually we like some of geometry we added for North America also. So, our position on the same. And even we did not receive any like feedback or reply from our customers or like future customers like if they have some issue with traffic because they are understood. It will happen maybe when they want to you can change. But like development and RFQ there is no change. So, still we are on the same condition.
Saloni Jain: All right. So, and if you allow me for the last question, are there any further plans of expansion that we are looking at in FY 26 and '27?
Management: So, this year…
Saloni Jain: Have you decided on the capex?
Management: No, no. As of now we have not decided. But first we will like conclude this our manufacturing start and then next quarter we will see and we will declare. As of now under discussion many things, but we cannot declare.
Moderator: The next question is from the line of Hiral Parekh from Dolat Capital.
Hiral Parekh: Sir, my question is regarding the oil cooler radiators that will be supplying to Indian Railways. Could you help us with the margins on the same? I understand from prior guidance that they are higher than the other orders that we have.
Moderator: Ladies and gentlemen, the line from the management has been disconnected. Please wait a moment till I connect them again. Ladies and gentlemen, we have the management back in the call with us. So, please go ahead. Hiral Parekh, you can repeat your question.
Hiral Parekh: Yes, sir. My question was regarding the oil cooler radiators that we are supplying to Indian Railways. What would be the margins for the same? I understand from prior guidance that they are higher than the other orders that we have?
Management: Yes. So, it's almost double compared to our existing product. But however, this is a tender business. So, sometimes it can be lesser because if you want to get the more order, then you have to reduce the price. But based on current price, it's almost double compared to our existing.
Hiral Parekh: And sir, in this year, how much of the order book do we expect to realize?

Management: So, for oil cooler?
Hiral Parekh: Yes, for oil cooler.
Management: As of now, we have firm order around INR50 lakhs and around INR1.5 crores, we have received L1 position. So, as of now, we supply clubs around INR2 crore as of now. But some

new tender
is in coming month also. In 1st of July also, one tender around 70 piece. And rest of Indian Railway, we are under discussion with other OEMs also.
So, as of now, we receive sample order only. So, once we will supply the sample, we will check, then they will open for new order. So, that is the current situation.

Moderator: The next question is from the line of Hardik Gandhi from HPMG Shares & Securities Private Limited.
Hardik Gandhi: Sir, just wanted to know a few basic things. First is what would be our existing or like overall margin for the year expected because given that there is a steep drop in the EBITDA margins and we are starting a production in Q2, there will be a lot of fixed costs coming our way for which we might not able to break even or something like that. So, just wanted to know on a year-on-year basis where we can expect our margins to land.
Sonu Gupta: There is a two favorable situation. One is the risk will start and the second one is the PLI will be received today, approval from the Government of India. So, this will be definitely adding our EBITDA margin and also that new facility will start in the second half and it will be a faster path. So, diluting our fixed expenses after coming this mass production of this undergoing new facility.
Hardik Gandhi: Yes. So, I just wanted to know what would be a good number like, just 14% would be a good stable margin which we can maintain or do you think it will dip more in the near future and then it will stabilize?
Moderator: The line for the management has been disconnected. Please hold. We have the management back with us.
Management: Sorry for this. I don't know what's happened. So, that question. So, now that if we talk about the standalone, so this our margin will remain same or slightly up if we compare to this last quarter. And about console, of course, this again three to like one or two quarters, there will be some more pressure because of initial cost will be high, like overhead and the production will be less. But from like quarter or third, we will be on the same condition as our standalone.
Hardik Gandhi: Understood. So, we can expect roughly 14% as a stable EBITDA margin?
Sonu Gupta: We are looking at the number…
Management: But now if you are considering like PLI itself, we can get like 5% so that we receive today only. So, that will be much more…

Hardik Gandhi: But isn't PLI a production linked thing for the new phase or is it for the existing phase and the new phase?
Management: It's for new only, for HVAC products, for new facility. So, we will have 5% now PLI and then 1.5% or 1.55% from RIPS. So, you can see 6.5% is there.
Hardik Gandhi: And how long will this go till unless and until we realize INR140 odd crores or something like that?
Management: This PLI for next 3 years and RIPS for the next 10 years.
Hardik Gandhi: 10 lakh units or 10 lakh?
Management: No, no, 10 years. Whatever like PLI is for next 3 years and the RIPS for next 10 years, for like after…
Hardik Gandhi: For next 10 years, any production we do, we get 1.5% from the -- understood.
Management: Yes, Yes.
Hardik Gandhi: That's it from my side. Thank you so much.
Moderator: Thank you very much. The next question is from the line of Shivkumar Prajapati from Ambit Investment Advisors. Please go ahead.
Shivkumar Prajapati: Yes, hi sir. Thanks for having my question again. So, the first question is we are supplying samples to our customers. So, could you please share what's the pipeline for our customers and what's the conversion ratio?
Management: No, like our industry is not like that. We are supplying sample and if they will reject then they stop the conversion. It's not like that. We like supplying sample, if they have some issue, then of course they will ask again. But still we will convert. So, ratio is like that. If we want to do business, so conversion will be 100%. But if you are not matching their price or maybe some delivery or technical, of course then you have to stop earlier also during feasibility study. So, if you are supplying sample, then sometime they will take like 6 months, some 3 months or some 1 year, but business will be there.
Shivkumar Prajapati: Okay. So, is it safe to assume that if we have started to supply sample, then 100% we will be supplying to them maybe after their approval cycle?
Management: Yes, but sometime like the sample may be different of geometry or the concomitant. Yes.
Shivkumar Prajapati: Okay, sir. So, next question is on the realization part. So, can you explain what is the realization difference per unit of our old products versus the new products?
Management: I didn't get your question actually.

Shivkumar Prajapati: So, what would be the selling price range, the old products that we are supplying earlier and also the new products that we are about to supply in the coming years?
Management: So, it will actually like different product to product actually. So, now in our heat exchanger, we are selling like single piece maybe INR500 and maximizing around INR15 lakhs. So, you can see the like range INR500 to INR15 lakhs and new product like our existing product of course will remain same and bar & plate also I think INR20,000 to INR5 lakh or INR6 lakhs and then this refrigeration is the part. So, it is one piece around INR500 to INR600 only because the commodity is this.
Shivkumar Prajapati: Okay, sir. And sir, we were also planning to set up some warehouses in Europe and India.
Moderator: Sir, sorry to interrupt. Ladies and gentlemen, please wait. The line for the management has been disconnected. Please wait till we reconnect them again. We have the management back with us.
Sir, please go ahead.
Management: So, I think last question I already replied. So, maybe new question.
Management: Shivkumar Prajapati, last question was there.
Shivkumar Prajapati: Yes, sir. So, am I audible?
Management: Yes.
Shivkumar Prajapati: Yes, yes, yes. So, sir, we had plans to set up warehouses in Europe and US to cattle their markets. So, can you share some updates on the same?
Management: So, that's Europe. We are under rationally the first 3PL, like third party logistics and for USA we are looking, but still we are not concluding. So, first year we are going to like conclude a salesperson for US. So, we had already in 2, 4, 5 to 6 persons from North America and from India also. So, in next couple of weeks I think we will conclude for first salesperson and then we are out. So, by end of this year I think we complete both.
Shivkumar Prajapati: Okay. And sir, we supply to Schneider and we do around INR50 odd crores of business with them. I think these figures are outdated, I mean for the last year. So, for this year any number that you have, like what's the business size deal you did with Schneider for this year?
Management: So, Schneider like we are doing our share is around 92% to 95% of their total business. So, growth is there, but we not break out customer wise till now. So, once we will do then I will share.
Shivkumar Prajapati: Okay. And sir, we also got the approvals for their Europe market as well from Schneider. So, did we start to supply over there?
Management: Yes. So, last before 3 week their quality team and their quality expert they visited us and they audit us for I think 3 days continue and then they send the report, like as they approved. So, now pilot load is already complete. We will supply maybe next week. So, once pilot load they will use then they will open for mass production.

Shivkumar Prajapati: And sir, what's your guidance for this year, like what would be the exports revenue? Any ball

park numbers?
Management: So, this from existing facility it will remain same because we are almost on 100% of utilization and for new facility we will going to add new customer and increase capacity from existing customer we will serve, like we will supply from new facility. So, of course export will be -- growth will be there, but like in term of percentage, I cannot clear now. However, next call we can we can be clear.
Shivkumar Prajapati: And sir, this one last question. What's our expectations from this railway versus metro segment for the next 2 years?
Management: So, as of now we are supplying heat exchanger only. So, growth is there. But we are expecting maybe 10% to 15% growth on existing business not much, because there were not much percentage of our total business to that segment. But like some tender if they will got our existing customer, of course by automatically we will receive. So, as of now on same percentage of 10% to 15% we are supplying to them.
Shivkumar Prajapati: And sir, this is the last one. It is regarding liquid cooling. So, do our heat exchangers get used in this segment as well for this data center and all?
Management: So, liquid cooling direct there is no use, but backside there is use of heat exchanger as well. Yes.
Shivkumar Prajapati: Okay, sir. Thank you so much, sir. Best of luck.
Management: Thank you.
Moderator: Thank you very much. The next question is from the line of Heta from Monarch AIF. Please go ahead.
Heta: Yes. Hi, sir. So, I just have two quick questions. Firstly, with respect to your revenues from the US market, I believe your 9 month FY '25 presentation stated that the US revenues are around INR6 crores, whereas when we see the full year FY '25 presentation, it says the revenue is less

than INR1 crores. Could you help me understand the same?
Management: No, I am unable to understand. Can you repeat again your question?
Heta: Yes. So, when I see the geographical revenue split, so for 9 months FY '25, the revenue from the US is stated as INR6 crores, whereas when I see for the entire year FY '25, the revenue is stated as less than INR1 crore.
Management: So, maybe there is some correction need, I think to check. But we added one customer from, like Canada as well. So, we received some good business. However, this data, I think need to check. I am not sure.
Heta: Okay. So, it's there in your audited financials as well in the geographical split.
Management: So, we have to check and then come back to you again. Okay.

Heta: Sure. Sure. And, so second thing, could you help me understand how the networking capital will flow in FY '26?
Management: Sorry?
Heta: The networking capital, the number of days.
Management: So, that's -- your first question. I think there is some, because we have American, like first is our 865, like INR8.65 crores is from American and then USA they return INR85 lakh, right?
Heta: Yes.
Management: So, actually USA also consider. So, actually they consider that maybe one customer as per their invoice maybe that another one. So, that both maybe need to club or that is the confusion only, you got. I think you replied, right?
Heta: Okay. Sure.
Management: And your next question?
Heta: The next question is how would the networking capital cycle be for FY '26?
Management: So, this actually now some manufacturer already started, but still we are unable to take from them because of quality or maybe their prices or their delivery. So, still we are importing and our government like BIS also implemented in last quarter. So, there is difficulty. So, that is why we are able to increase our inventory. So, I think in next 6 months, once their manufacturer is able to supply from locally, then it will change. Otherwise, coming next 6 months, it will remain same.
Heta: So, the number of days would be around 115 to 120 days?
Management: Yes,

it is around like that. As of now, its around 100 plus.
Heta: Okay. All right. Thank you so much.
Moderator: Thank you very much. The next question is from the line of Soumya from Insightful Investments. Please go ahead.
Soumya: Hi, sir. Thank you for the opportunity. I just had to recheck something. So, you spoke about PLI benefits and you said that for 3 years, it will be 6%, 5% and 4%, am I right?
Sonu Gupta: Yes.
Soumya: And then after that you said for the next 10 years, it will be 1.5%. Is that so?
Management: Yes, it is precisely 1.56%. Okay.
Soumya: Okay, okay. Sir, sorry and also another, I just missed your point on the BMW product that you are currently sort of supplying to them. So, could you please just repeat that?

Management: BLW, right?
Soumya: Yes.
Management: So, BLW and CL, like BLW, there is like many other manufacturers also, they use oil cooler. So, that our product is used mainly in electric loco. So, that is a tender-based business and we receive tender and then we have to apply and then reverse auction is there. So, 7 to 8 like vendors are also there. So, whatever business, like as of now, they are asking like in a year around 3000 piece. So, whatever we can get, we can supply.
Other than BLW, we can able to supply to other OEMs, like off-road vehicles and heavy equipments or for lift trucks and compressors. So, there is also multiple customers. So, we are under discussion with them. So, all things belong to this bar and plate heat exchanger.
Soumya: Okay. All right. Thank you, sir.
Moderator: Thank you very much. The next question is from the line of Reet Ranawat from Aventus Capital. Please go ahead.
Reet Ranawat: Yes. So, I had again a specific question. So, are we looking for the fund raise for the remaining

INR650 crores of MoU from the RITA? Is that right?
Management: So, as of now, we have not decided. However, we have some other thing also under discussion but not materialized, like to expand the business in some other geographical or some new business going to add. But this we will decide in next couple of weeks and then we will be able to answer that question.
Reet Ranawat: Okay. All right. Thank you.
Moderator: Thank you very much. This is the last question. I now hand the conference over to management for closing comments.
Management: So, thanks to all for attending this call and I think this compared to last call to this call. So, we have three things to -- I want to mention again. So, one is the SAP because SAP is one of the best software for the world to control our things, like in term of inventory production, of course, and the transparency in the system.
Second, we got the approval from BLW. And third one, we received the PLI approval today only. And of course, not last but least, like TRL, we are also going for investing in R&D to like expand our product worldwide and to like give the right quality and in right price. So, thank you.
Moderator: Thank you very much. On behalf of Dolat Capital Markets Private Limited., that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
(Formerly Known As KRN Heat Exchanger And Refrigeration Pvt. Ltd.)
Registered & Work Office: Plot No.: F-46,47,48,49, EPIP, RIICO Industrial Area, Neemrana – 301705 (RJ)
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Date: 5th August, 2025

To,
BSE Ltd
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai- 400001, Maharashtra, India

Script Code: 544263 To,
National Stock Exchange of India Limited
Exchange Plaza, C-I Block G, Bandra Kurla
Complex, Bandra (East), Mumbai-400051,
Maharashtra, India

Script Symbol: KRN

Subject: Transcript of Investors/Analysts Call held on 1st August, 2025

Dear Sir/Madam,

With reference to our letter dated 28th July, 2025 in respect of Investors/Analysts Call, held on Friday, the 1st August, 2025, please find enclosed herewith the Transcript of discussion held during the said Investors/ Analysts Call.

The aforesaid information shall also be disclosed on the website of the Company at www.krnheatexchanger.com .

Kindly take the above information on your record.

Thanking You,

For KRN Heat Exchanger and Refrigeration Limited

Jitendra Kumar Sharma
Company Secretary

"KRN Heat Exchanger and Refrigeration Limited
Q1 FY '26 Earnings Conference Call"
August 01, 2025

MANAGEMENT : MR. SANTOSH KUMAR YADAV – CHAIRMAN AND MANAGING DIRECTOR – KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
M R. SONU GUPTA – CHIEF FINANCIAL OFFICER – KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
M R. JITENDRA SHARMA – COMPANY SECRETARY – KRN HEAT EXCHANGER AND REFRIGERATION LIMITED

MODERATOR : MR. YOGESH PATIL – DOLAT CAPITAL MARKETS PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the KRN Heat Exchanger and Refrigeration Q1 FY '26 Earnings Conference Call hosted by Dolat Capital Markets Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Yogesh Patil. Thank you and over to you, sir.

Yogesh Patil: Thanks Anushka. Good afternoon, ladies and gentlemen. On behalf of Dolat Capital, I have pleasure in inviting you all for Q1 FY '26 Earnings Conference Call with the management of KRN Heat Exchanger and Refrigeration Limited.

The management is represented by Mr. Santosh Kumar Yadav, Chairman and Managing Director, Mr. Sonu Gupta, Chief Financial Officer, and Mr. Jitendra Sharma, Company Secretary. Now, without taking much time, I hand over this call to Mr. Santosh Kumar Yadav for the opening remarks and then we will have a question and answer over to you, Santosh sir.

Jitendra Sharma: Thank you, Yogesh. Good evening, everyone. I, Jitendra Kumar Sharma, Company Secretary of the company. It's my pleasure to welcome you all, KRN Heat Exchanger's Q1 FY '26 Earnings Call. I would like to thank each one of you for joining us today and for your continued trust in our journey. Joining me on the call today, we have Mr. Santosh Kumar Yadav, our Managing Director, and Mr. Sonu Gupta, Chief Financial Officer of the company. We are pleased to report a Q1 FY '26 result.

Our consolidated total income for the quarter stood at INR118.86 crores. Driven by healthy domestic and export demand, we achieved an EBITDA of INR17.59 crores representing a margin of 15.26% and delivered a net profit of INR12.42 crores with a solid net profit margin of 10.45%. Our EPS for the quarter stood at INR2 reflecting continued earnings, visibility, and operational resilience.

From a stand-alone perspective, our performance was equally encouraging. Total income stood at INR117.14 crores up 18.65% year-on-year. EBITDA came in at INR19.79 crores marking a 16.02% growth with a healthy EBITDA margin of 17.30%. Net profit grew sharply by INR34.85% to INR15.69 crores with a net profit margin improving by 161 basis points to 13.39%. The EPS for the quarter stood at INR2.52.

Our growth was supported by a robust year-on-year segment. Revenue growth was 20.36% led by both domestic and international markets. Domestic revenue contributed INR96.39 crores growing 17.27% Y-on-Y. While our Avarthi's revenue surged 39.04% Y-on-Y too, INR18.89 crores. With strong traction from the UAE and Italy, our expanding global footprint including presence in Germany, Canada, and France continues to serve as a key driver of growth.

One of the major highlights of our quarter was successful commencement of commercial operation at our Neemrana Manufacturing Facility under our wholly-owned subsidiary KRN HVAC Products Private Limited. This state-of-the-art facility launched on May 31, 2025

enhances our capacity to serve both domestic and global markets with high-quality heat exchangers and HVAC products.

In another significant development, our subsidiary secured approval under the PLI scheme for white goods with sanctioned incentive of INR141.72 crores by IFCI Ltd. This incentive will aid us in accelerating expansion, deepening backward integration, and enhancing localization, all of which are integral to our strategy of building a cost-efficient and self-reliant manufacturing ecosystem.

At KRN, we remain deeply aligned with the structural tailwinds supporting the HV

AR and R

industry from rising infrastructure development and sustainability focus to increasing adoption of energy-efficient systems. Our commitment to product innovation, operational excellence, and strong client partnerships continues to fuel our momentum. Looking ahead, we are focused on expanding our market share, strengthening our global presence, and executing our strategic roadmap with discipline and agility.

With a growing portfolio, a strong order book, and a highly capable team, we are confident of sustaining this positivity trajectory in the upcoming quarters. Thank you once again for your time and continued support. We now look forward to addressing your questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We take the first question from the line of Jai Chauhan from Trinetra Asset Managers. Please proceed.

Jai Chauhan: So, sir, my question was, like, with the new Thermotech Research Lab, what is your approach to building intellectual property? Like, do you have any patents filed or planned, or how do you see IT contributing to your competitive mode?
Santosh Yadav: So, actually, this new lab we, like, make separately. Other than as a manufacturer lab, so it will be as a separate identity, like Thermotech Research Laboratory. However, it is only on subsidiary. So, we have already MoU with AHRI. It will be, like, first lab in India who will be, like, approved by AHRI. So, we already did the MOU with AHRI. And even lab equipment already dispatched from China. So, hopefully next week we are going to receive. So, another two months we have to, like, install the whole equipment.
And we are able to start, like, from September and early October. And then two or three months we will have to meet, like, for all certification nationally and then European and American and UAE side. So, by end of this year it will be completely ready for international, locally, and as well as for us.
Jai Chauhan: Got it, sir. So, basically, like, my question was around, like, how do you see, like, what kind of thing you can, what kind of IP you can generate using this research lab? Like, can this help you to develop competitive mode going forward? Like, can you file patents for the same or something like that? Because I am just trying to gauge the industry at the moment?
Santosh Yadav: So, actually IP we cannot get from lab. But we can get on our products. So, it will be work like that. If I want to, like, some specific particular tube with different geometry, like, internal geometry, maybe groove height or something like that. So, we can say, like, better efficiency

tube. So, first we have to contact with manufacturer of the tube. Then we can maybe have some sample. We can try in our sample. And we can get approval from lab.
And then we can file the IP address to this manufacturer on the tube side. And in product side also, if we have some, like, design specific, which is not in market available, then we can first test. And if we can get more efficiency compared to existing product, then also we can file. So, slowly we can work on IP side.
But first we will start lab. We can get the certification all. And then we can have, like, our product qualification, our product customer qualification. And then we will work on IP as well. It will be the parallel activity.
Jai Chauhan: Right. Right. Understood. And, sir, currently, if I'm not wrong, you operate 100% B2B with OEMs, right?
Santosh Yadav: Yes.
Jai Chauhan: So, sir, like, have you evaluated the aftermarket opportunity, replacement parts opportunity? I think that typically offers higher margin, right, sir?
Santosh Yadav: No, I think you are incorrect. Because in our product, aftermarket is a very, very thin margin. So, that's why we are not doing as of now. So, when we started the business, we started with the afterm

arket only. So, once you have a new product, so you want to set the machines or your system, your manpower training. And then, of course, we did aftermarket earlier when we started.
But when we, like, moved in OEM side, so then we feel the aftermarket price is, compared to OEM, very thin. So, that's why we are not doing as of now. But, however, in new products, like for this roll bond and a wire and tube condenser, we have some new products.
So, for this new product, as of now, we started with aftermarket only. So, now we are settled on the things, our machine running and manpower training, QMS system. So, of course, we are doing aftermarket with new product, but not on our existing product.
Jai Chauhan: Right, sir. Right, sir. That answers my question, sir. Thank you. Thank you, sir.
Moderator: Thank you. The next question is from the line of Manish Ostwal from Nirmal Bang Securities Pvt Ltd. Please proceed.
Manish Ostwal: Yes, sir. Thank you for the opportunity and a decent set of numbers given the metro conditions. Sir, question on the, first, on the new facility which we have commenced in May 2025. So, can you talk about, in terms of how we are ramping up the facility? How we are adding the customers and especially export market side and domestic side? How many clients we added for the new facility so far? How many clients visited the facility? Can you talk about qualitatively? And that will be grateful for understanding the ramp up part of the new facility.
Santosh Yadav: Yes. So, as I said before also in earlier call, so we already started like in May. However, we delayed like almost more than two months. But finally, we started in May end or you can say,

so we did like only last one month. And from now, it's potentially two months. So, like machine already installed, all utilities ready and we started like back production or sample testing already in all components.
But now, we are working on QMS system, customer visit, quality approvals and of course, training of manpower. So, as of now, average like each week, we are having sometime one or sometime two customers who are visiting to our new facility, as well as our existing or some new customer as well.
So, hopefully, we assuming this quarter, we will have all customer approvals, quality system, manpower training and all things all set and from third quarter, we will of course ramp up in production and then third and fourth quarter, we will have good numbers from new facility. But this running quarter, of course, we will have less number. But of course, we have to do like other work as well, like QMS and then the training manpower machines, settle down things and all things.
Manish Ostwal: Sure. The second thing, sir, if I look at our quarterly numbers, so we have our growth and revenues 20% of gross profit increase, very similar rate. But EBITDA is down and I understand that expenditure with respect to new plant we are incurring and because of that, EBITDA performance is weak. Can you call out specific cost with respect to new plant in the current quarter number so that we can understand the comparison from a Y-o-Y basis?
Santosh Yadav: Yes. So, actually, standalone I think number is good. But our console has some issues. So, there is some depreciation we booked for one month. So, it's around INR1.25 crore. And then we like have some loan from KRN Heat Exchanger. So, we charge some interest as well because we have agreement like that. Once production restart, then interest will charge by KRN Heat Exchanger.
And then, of course, employee cost also around INR1.5 crore. And then we did some sample testing or machine trial. So, there is RM also consumed. But of course, we don't sell the product. So, that's why RM consumption. And then consumables like gas and electricity. And then employee cost. And then interest portion, and then depreciati

on, which include all I think around almost INR4 crore.
Manish Ostwal: And sir, last question on the export side. So, currently we have export share of 16.4% of our consolidated sales, INR18.89 crores for the quarter. And it has been steadily improving for last 3-4 years. And now, with the new facility, if you just see when you talk about 6-7 times of revenue. What will be the share of the export? And in export business, what is the margin differential at a gross profit level compared to the domestic margin?
Santosh Yadav: So, of course, I said before also like new facility, we plan such way that we want to improve our export only. Because as of now, we have congested facility or you can say optimized facility with very less space. So, that's why we built almost 600,000 square feet covered area. And it's need for big numbers, especially for export, because the need facility must be good.
So, we're targeting in next 3 years, we're able to achieve at least 50% of export from our own existing product. Of course, from not new. And margins are slightly, I think 3% to 4% we can

get better compared to domestic, if like in average. But it's not fixed. It's actually depend on product, company profile, business volume, and of course applications.
Manish Ostwal: Okay, sir. Thank you. Thank you very much.
Moderator: Thank you. The next question is from the line of Hiral Parekh from Dolat Capital. Please proceed.
Hiral Parekh: Hello, sir. Thank you for taking my question. So, I just wanted to understand. Can you help us understand what is the current status of approvals under the RIP scheme? And when do you expect the margin or P&L bank to start reflecting? And secondly, sir, I just want to understand, what would you call out to be the key triggers for the next 3-6 months?
Santosh Yadav: Okay. So, for RIPS actually, we need some certification like, especially for pollution by CTO. So, we're expecting in next week we're going to get this CTO. And then we can apply for RIPS. Other documents are ready. So, after applying, I think it will take around 6-7 weeks from government side. So, hopefully, we will get within this quarter from RIPS approval. And then we can get like incentive. We can start from third quarter of this year. And what was the second question? Can you repeat? Actually, I forgot.
Hiral Parekh: Yes, sure. I wanted to understand what would be the key triggers for revenue in the next 3-6 months in terms of order inflows, utilizations and packages?
Santosh Yadav: I understood. Okay. So, as I said before, like now we are working on customer visit. QMS approval from a customer existing, as well as from new. And like settle down the machines. And then giving the training of a new manpower with existing manpower. So, these things will be

settled down, I think, in next 2 months from now. And then production ramp-up will start from third of quarter. And then third and fourth, we will have good numbers compared to existing. So, what we said before, I think we can achieve by end of this year.
Hiral Parekh: Got that. Thank you, sir.
Moderator: Thank you. The next question is from the line of Manik Narang from SSPL Securities. Please proceed.
Manik Narang: Thanks for taking up my question. I have three questions actually. First one is, as you have mentioned earlier, that the plant will operate at 25% capacity in the first year. Okay. So, can you guide us in which quarter we can expect it to reach at 25%?
Santosh Yadav: So, as I said, I think same question. However, I can maybe reply again. It will start from third of this quarter, like third and fourth of this year. So, Q3 you can get.
Manik Narang: Okay. So, from Q3 and Q4 we can expect it. It will operate at 25%, right?
Santosh Yadav: Yes.
Manik Narang: Okay. Okay. Fine, sir. And one more question is that, like in this quarter, how much of the revenue ca

me from the new plant, that is from April to June? As I can see, there is not much of

difference in consolidated and standalone features in terms of revenue. And the plant has started to operate from May 31st, 2025. So, how much of the revenue came from the new plant during that period, April to June?
Santosh Yadav: Revenue is not much. But however, we did some production. But actually, we don't have approvals of new plant from customers. So, we cannot dispatch from new facility. So, some part we made in HVAC. But however, we transferred in heat and then we can bill to Customers. So, less number.
But because once we start, then we have to first set the machine, all things. We have to train the manpower. We have to complete our QMS system by OEMs. So, not much building. But however, sampling and trial run that is going on is still. Some small lot also we started. So, small dispatch you can say we started.
Manik Narang: As you said earlier, like during this meeting itself, that customers are visiting regularly. Like, did you secure any order so you can be confident that sales might be coming from the third quarter or fourth quarter?
Santosh Yadav: No, customers like regularly. So, they will not check the products actually. But once we want to start from new facility, so they have to approve new facility in their system. So, they have to visit. They have to send their QMS audit or maybe quality person. They will visit and they do the audit and then we can start.
But we can make as of now, but we cannot bill from new facility to them till their approval. So, because we started 1-month -- 2 months back from now. So, 1-month you can say we have to run first sample or then pallet load and then mass production. So, now some of part we already started in mass production. But product will not approve by customer for sure. But facility will be approved by customer.
Moderator: Next question is from the line of Shivkumar Prajapati from Ambit Investment Advisors.
Shivkumar Prajapati: Yes. Hi, sir. Thanks for having my question. My first question is will you be able to you know through some light on the customer expansion or their capex plan for the next 2 to 3 years to whom we supply? Also, if you could mention the names which are possible for you.
Management: Customer name, of course, I cannot disclose. But however, just average I can give you. As of now, our average is like that. On existing products, around five products per day we are adding in our shop floor from including all customers. And average for new customers is still two new customers per month we are going to add. But especially now you can say some big booms coming in data center cooling.
So, if you maybe heard today news from Google, they are going to invest around INR50,000 crores in India for data center. So, similar way we have good numbers we can expect from data center and then as well as commercial other sides like heat pump and then gas heat side, refrigeration side, all.

Shivkumar Prajapati: Okay, sir. And sir, we are also expecting demand from hydrogen, steel and renewable into vertical. So, what portion of FY '26 and '27 order pipeline we are expecting from these segments?
Management: No, hydrogen as of now we are not working. But if particular some OEMs they are maybe working on hydrogen and they are using our heat exchange that we are not aware yet. So, this

segment we are not very aware and we are not supplying.
Shivkumar Prajapati: Okay, sir. And sir, this new subsidiary that we have formed is having some concessional tax rate of 15%. So, at what utilization level we expect our overall console tax rate to go down to say 20% or 18%. Like what would be the timeline for this?
Management: Can you repeat? I didn't get it again.
Shivkumar Prajapati

: Sir, this new subsidiary that we have set up, it is having a tax rate of around 15%. I mean the concessional tax rate, right? So, right now on console basis we have 30%, 30%, 28% to 30% of tax rate. So, I am just trying to understand at what level, I mean at what capacity utilization levels or say in period terms, when can we see our console tax rate going down towards 20% or below it?
Management: So, I think, tenure, I cannot confirm. But it will work like that. Now Heat will not move further because it is already full. So, now whatever growth will come from HVAC only. So, HVAC have new tax rate and Heat has old tax rate. So, now whatever growth will come is from new facility only. So, once we have numbers, so of course HVAC will be going up always and then Heat will be steady or slightly down.
Shivkumar Prajapati: Understood. And sir, is there any criteria that we look before accepting any order? Is it the value or profitability?
Management: Of course, like small customer or like one or two number we cannot provide. And first once we have new RFQ, so we see the customer profile, if it is long-term or short-term or they will buy continue or one time order. And then based on that we offer like our price to them. And once they will agree on price, then we can move forward for development.
Shivkumar Prajapati: Understood. And sir, are there any opportunities for cross selling and upselling in case the SKUs that we provide to our end users?
Management: No, I didn't get it. Can you repeat again?
Shivkumar Prajapati: Sir, suppose we are supplying an SKU, suppose it is 500 rupees worth. So, suppose we develop any advanced SKU. So, did we pitch the customer because they have developed something really efficient. So, would you be interested in buying or something like that? Do we try to cross sell and upsell?
Management: Yes, yes. For this actually -- for doing this work, we are putting our laboratory, Thermotech Research Laboratory. Actually, what happens if some of the customers have their own laboratory or some they don't have. So, what happens if somebody or OEMs they have laboratory, so they are busy in new development only. But they are not working on existing product or old product.

So, what we will do, we will go to the customer or we will offer to them, okay, we can develop new series or new energy efficient or new high efficient product for you. So, we can take complete product from them and we can have our laboratory, we can test on their existing product. And then we can have data for their existing heat exchanger, then we can have software. So, we can like do the simulation, then we can design new heat exchanger, energy efficient, cost efficient. And then we will test in our laboratory and then we will go to again customer and then we can have our test certificate and then we can offer to them some saving and some saving we can also retain. So, this way we already started work with OEMs. We have already some team for them work and once we have lab, so we will start this work also.
Shivkumar Prajapati: Got it. And sir, would you be able to provide us the breakdown margin profiles across any sector, say oil and gas or chemicals or others. I mean just trying to understand which sector offers the highest margin.
Management: This, as of now we are not doing and I am unable to answer if we can give or not. So, let me check with my team and if we can give, we can provide you separately, okay?
Shivkumar Prajapati: Got it, sir. And sir, last question, any guidance for the top line and margins for the full year FY '26?
Management: So, it is like that, like this last -- you can say last quarter and this quarter is still we will be in some pressure because of HVAC. I have, you can say the income is less, but of course we have expense, but from third quarter we will start to ramp up and then till f

ourth quarter we are able to achieve on existing margin. And then good numbers you can expect from next financial year because this RIPS policy we will be able to get, I think from third quarter and this PLI also from next year.
So, these two will maybe, will give you the more benefit on this margins and our export also will start from third quarter. So, this number six will add, then of course margin will start for sure from next year and this next earning quarter we will have pressure. But third quarter you can, maybe you can expect of similar way.

Moderator: The next question is from the line of Sanjay Nandi from VT Capital.
Sanjay Nandi: Hello. Good evening, sir. Thank you for the opportunity. Sir, just to guide it, like 18% has been our total exports roughly for FY '25 exit and we are planning to ramp it up to 50%, right? Is the understanding right, sir?
Management: Yes.
Sanjay Nandi: So, sir, if we plan to ramp it up to 50% of our total sales, then what could be our incremental overall margins, like if you can give some ballpark numbers in next 2 to 3 years on the line? So, can we expect something like 18%-20% kind of, what you used to do earlier?
Management: No, actually, like some, maybe I can maybe again on some product lines. So, as of now we are doing fin and tube heat exchanger, okay. So, fin and tube we are expecting same margin till this

year and next year of course it will be able to increase because of export, because of PLI, because of RIPS and of course because of solar, these things.
But other side, we are going to add some new product as well. So, some new product like from refrigerator side, we will have in margin compared to our existing product. However, we have bar and plate, have good margin compared to our existing product. So, if we average out all things, so this year we are going to achieve on similar way and maybe slightly down because of this HVAC pressure.
But from next year, we will be able to increase 1% or 2% on existing product due to these PLI and then RIPS and then new income tax scheme and these things. But however, other side we will have overhead is more compared to existing and then we have depreciation also is more compared to existing. So if I club things so we can maybe slightly 1% or 2% we can able to achieve more if I club all things.
Sanjay Nandi: Got it. Got it. And sir like if we presume like everything will be in production from the next year beginning onwards so FY ‘27 onwards. So, what kind of total sales can we just expect in next two years to three years on the line, like from INR450-odd crores currently. What kind of thing we can expect in next three years onward if you can give some next recommendation for us?
Santosh Yadav: So numbers exactly I cannot share, but however, this year we are expecting 20% to 25% of capacity utilization from new facility. And then next year is around 50% and then three years from now you can say almost 80% we can utilize from new facility. And our existing facility is almost full.
Sanjay Nandi: And sir what is the current debt profile in our books as we talk?
Santosh Yadav: Sorry can you repeat again?
Sanjay Nandi: Yes. What is the current debt profile like the net debt if you can help us with the numbers.
Santosh Yadav: No. I think the voice is breaking. What is your question?
Sanjay Nandi: Yes. No. Yes. I just wanted to get the figure for the net debt, as on debt. Net debt.
Santosh Yadav: Actually sorry, I mean, your voice is blurred actually. So maybe if somebody is able to understand I can reply.
Sanjay Nandi: Yes. Can hear me.
Santosh Yadav: Yes. I can hear you but when you -- this word is blurred actually. Can you repeat again?
Sanjay Nandi: Yes. I would like to get a figure for the net debt.
Santosh Yadav: Net debt. Okay.
Sanjay Nandi: Yes. Yes.

Santosh Yadav: So as of now like this term loan we are very less around INR2 crores and we are working capital only. So it’s -- because we have some FD so as of now you can say we are in position almost zero as of now.
Sanjay Nandi: Okay.
Santosh Yadav: Yes.
Sanjay Nandi: Got it. And so just to mention that like today's news, some data center cooling, capex is coming up INR50,000 odd crores. So, what would be the quantum of power pipe in that entire capex?
Santosh Yadav: No. It’s -- I don't have exact number, but today I only in some news, Googles announced they are going to invest INR50,000 crores in data center cooling in India. I am expecting I think 10% of HVAC system. That is not -- I don't have any data, I am just assuming my own experience.
So, I think the data center can be 10% of HVAC system. So, maybe it's roughly INR1,000 crores I think only this project.
Sanjay Nandi: INR1,000 crores for the heat exchanger, HVAC segment, right?

Santosh Yadav: Yes. Yes. Like I am assuming.
Sanjay Nandi: Sir, is it a current…
Santosh Yadav: Yes. Sorry.
Sanjay Nandi: It's fine, sir. Just a ballpark number I wanted. And sir, what is the industry size as of now, as we talk?
Santosh Yadav: That question actually I recall, I remind because heat exchanger have like room AC also have heat exchanger and other industry also heat exchanger. So, it's the same product fin and tube type. So, industry size is I think more than INR4,000 crores if I club all. But if in commercial size, I don't have exact numbers because it's the mix actually.
Sanjay Nandi: No issue. Sir, no issues.
Santosh Yadav: Yes.
Sanjay Nandi: Got it. Got it, sir.
Moderator: The next question is from the line of Mohit from Subh Labh Research.
Mohit: Hi, sir. Sir, just a follow up on a previous participant question. Since we are planning a utilization of 25% this year from the new capacity. And the peak revenue from our capacity is INR2,400 crores. So are -- can we do a INR600 crores revenue this year?
Santosh Yadav: No. I think numbers, I never said to INR2,400 crores. So, it's maybe, we went we have like INR300 crores. That time we said 6 times. So we expect similar way. So, we are expecting from that way 20% to 25% this year.

Mohit: So sir from it calculates around INR1,800 crores. So, INR1,800 crores, 25% will be around INR450 crores this year.
Santosh Yadav: So, numbers, I need to calculate. So, maybe I can reply you personally or maybe you can share the contact details with the Yogesh. Then we can let you know.
Mohit: Okay. Sure, sir. We will take this offline.
Santosh Yadav: Yes.
Mohit: And, sir, my question is like you mentioned in earlier comments, that we have installed all the machinery in new plants. So, what amount of capitalization are we seeing this year?
Santosh Yadav: For balance sheet, right?
Mohit: Yes. For balance sheet.
Santosh Yadav: So, you are asking numbers or value, like?
Mohit: A ballpark number. Yes, a ballpark amount.
Santosh Yadav: So, that I don't have as of now. So, this also I can maybe reply you later. Because I need to check the account.
Mohit: Okay, sir.
Santosh Yadav: We still balance sheet not ready for this, because after that also we receive some machine after quarterly result. So, that also we will let you know separately.
Mohit: Sure, sir. We can take this next time. And, sir, since the US tariff has been implemented. So, after its implementation. Don't we expect any downside in demand from US or we will see the same demand as earlier?
Santosh Yadav: So, honestly we have as of now one or two customers only who use regularly. So, their side we don't have any negative feedback and some customers are already up to all stage. So, from that side also we don't have any negative remarks.
Because this product if they want to develop from other sourc

e, then also they have to take some times. And if they buy from locally. Of course, the price is much higher compared to us. If they add the duty as well. Or if they will buy to other country like China. I think China also have more duty compared to us. So, as of now…
Mohit: Correct.
Santosh Yadav: We are expecting there will be no much impact on us. But, however, still from my personal opinion, it is a -- I think from this end we -- I think everybody know we -- when we can change, we also don't know. So, we are working only like our way. So, we are not considering what will

be the tariff in next or what will be the income. So, let's see what will happen. But as of now there is no impact on us.
Mohit: Okay, sir.
Prateek: Hi, Mr. Yadav. This is Prateek this side from same team. Mr. Yadav, we have been reading about this district cooling centers, which probably is a probable alternative to HVAC, where a

small part of the entire city is refrigerate -- is cool or rather chilled or rather refrigerated with the help of district cooling center.

I just wanted to get your opinion on, does it also require the evaporators and the condensers or is the infra similar to what is the current systems are. And our product will still go if district cooling centers are built, because probably there is one big tender in Amravati which has been won by some Dubai-based conglomerate if I am not wrong.

Santosh Yadav: Okay. So, this is good question for me. So, what will happen like, as of now maybe in the middle of city, like, big city like Delhi or maybe Bombay. So, everybody have their own heaters, like, or air conditioning maybe split or maybe window. So of course heat is also going outside and maybe nearby some other buildings. So there is maybe suffocation also in between the both building, and of course, energy wise also is wasting. So this I heard maybe I think few years back four years to five years. So government is planning like that. They are making one HVAC system maybe combined for all society or maybe they can club maybe 1,000 or 2,000 homes.

Prateek: Yes.

Santosh Yadav: And then they will cool, like, they will supply as a like gas supply what we are getting from outside as of now.

Prateek: Yes.

Santosh Yadav: So and they will match and put the meter as well. So for us is good. This cooling need heat exchanger and that's we are making only commercially. We called commercially heat exchanger. So room AC actually as of now we are not supplying. So our market share in room AC is almost zero. But this cooling our share will be almost more than 60% or 70%.

Because we are the expert of the bigger heat exchanger or maybe commercially heat exchanger. So our heat exchanger for sure we will use -- they will use on that technology or new technology and room AC our market is not there. So for us is the I think good.

Prateek: Understood. Understood. So you mean even if district cooling center comes the evaporator and the condensers are going to go nowhere. They will require it, in fact, even in bigger sizes probably.

Santosh Yadav: Yes. Yes. Because the heat exchanger for sure they need and they will put like water cooled or maybe air cooled chiller. So as of now air cooled chiller is our big market as still, because it's similar we like data center. So our product for sure will use, even room AC our product because we are not supplying to room AC. So room AC fin and tube is there…

Prateek: Yes.

Santosh Yadav: But not is our market. But this is our market. Yes.

Prateek: Understood. Understood. This is -- this was very helpful, Mr. Yadav. This just reminds me of one follow up if I may. So, Mr. Yadav, we are seeing in the high end residential projects. These days builders are now giving a central AC sort of arrangement in the ent

ire apartment. So there also in case the split ACs or the window ACs are not there and the entire building is, I mean, air controlled with a central AC system. So, there also market share I mean time for us will increase, right?. Is that fair understanding?

Santosh Yadav: Yes. It is the same what we discussed because the central cooling also is same process they use. So, it' two or three way, like they put the chiller may be, this chiller can be air cooled chiller can be water cooled and then they have air handling unit and then they have fan coil unit. So, it's the complex like complete system. So, it means our coil we are supplying to fan coil as well, air cool as well and water cooled chiller as well, air cooled chiller as well.

Prateek: Yes. Those were our questions. We just request you know reply back on the 25% capacity utilization and commensurate revenue for FY '26 from the new plant. If your team can reach back that will be very helpful.

Santosh Yadav: Yes, yes for sure.

Prateek: Thank you Mr. Yadav. Good luck for the entire year ahead.

Santosh Yadav: Thank you sir. Thank you.

Moderator: Thank you. The next question is from the line of Yogesh Patil from Dolat Capital. Please proceed.

Yogesh Patil: Thanks a lot for the opportunity. Sir, quick math I have done as you mentioned Q2 will again take a little bit time to ramp up on the new facility. So, our revenues will be largely in line with the current quarter. Correct me if I am wrong.

And secondly, I have done small math. Suppose in a second half of FY '26, if the facility ramps up with the 25% utilization, then can we expect a INR200 crore kind of a revenue from the overall consolidated side per quarter? Is that a correct understanding? So that FY '26 overall calculation comes around INR600 crore or INR620 crore kind of a total revenue. If you could throw some light on these numbers, if possible.

Santosh Yadav: So, honestly exact number I cannot comment. But however, that is for sure the main ramp up on production side will start from third quarter of this year. And then fourth, of course, it will increase much compared to now or maybe third quarter. So, we are expecting if compared to like full year is 20% to 25% of utilization from new facility. Yes, that is for sure.
Yogesh Patil: Okay, fair enough. Secondly, can you provide some details on the order book for the next few months which are in our hands? How much time it will take to deliver? Any broader picture you can give us?

Santosh Yadav: So, I think that question is a repetition of the last call also because we don't have business like that project work we are not doing. So, customer we have like they developed us and then they have open order for only one month because based on their requirements. Then it's rolling actually. So, each customer we have open order for maybe next one month only. And then once we will like have new month, then they have some even -- they can share the forecast on mail. Okay, this will be done once we are able to like ready to material for dispatch and they share the few something like that. So, we don't have order book something like that we can share because of we don't do like project work or long lead time, we don't have. So, we are just rolling actually each month.
Yogesh Patil: Thanks a lot, sir. I will come back in the queue for questions.
Santosh Yadav: Thank you.
Moderator: Thank you. The next question is from the line of Hiral Parekh from Dolat Capital. Please proceed. I would request Ms. Hiral to unmute herself and then speak.
Hiral Parekh: Yes, most of my questions have been answered. Thank you.
Moderator: Thank you. The next question is from the line of Rakesh Khosla from Dhanishth Technical Investments. Please proceed. I would like to request Mr. Rakesh. So that participant is out of the queue. I will proceed with the next question. T

he next question is from the line Shivkumar Prajapati from Ambit Investment Advisors. Please proceed.
Shivkumar Prajapati: Yes. Hi, sir. So, sir, I just want to understand about the other expenses. So, would you please be able to make us understand what the other expenses include and what part is fixed and what part is the variable?
Santosh Yadav: So, as of now for further expansion we are thinking to get like in our portfolio complete product actually because backward integration we already did. So, as of now we have complete heat exchanger range. Even we are the only one who have like 21 geometry in India market for the heat exchanger.
And then we have completely sheet metal range, including laser and Type Fin Pres so we can make like big part and small part as well. And then we have manifold site like tubing we have completely. So, now we are thinking to make complete assembly, like completely for commercial site.
So, it's like railway air conditioning or you can something like that. So, we can assemble and there will be almost very negligible investment and we can start the production immediately. So, that way we are thinking. But however in next one or two months something conclude and then we will let you know from our market.
Shivkumar Prajapati: No sir, actually I was looking for that other expenses part on the profit and loss statement.
Santosh Yadav: Okay, okay. So, other expense I think, I need other expense. Do you have it? Because as of now this data also I don't have in front of me and CFO. So, maybe we can share separately, right?

Shivkumar Prajapati: Sure sir, sure sir.
Santosh Yadav: I thought you asked for.
Moderator: Thank you. As there are no further questions from the participants. I would now like to hand the conference over to the management for closing comments.
Santosh Yadav: So, thank you everyone for, like I received some good question and I really appreciate for who joined us for today call. And we are working on I think on what we promised as of now to market and surely we will achieve what we said earlier and what we said now. So, market is good and we have some good on track order as well in pipeline. So, customer is also appreciating our new facility. So, fully everything will be well in coming quarter or coming years and we will achieve what we said. Thank you.
Moderator: On behalf of Dolat Capital Markets Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
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Date: 10th November, 2025

To,
BSE Ltd
Phiroze Jeejeebhoy Towers, Dalal
Street, Mumbai- 400001, Maharashtra,
India

Script Code: 544263 To,
National Stock Exchange of India Limited
Exchange Plaza, C-I Block G, Bandra Kurla
Complex, Bandra (East), Mumbai-400051,
Maharashtra, India

Script Symbol: KRN

Subject: Transcript of Investors/Analysts Call held on 6th November, 2025

Dear Sir/Madam,

With reference to our letter dated 31st October, 2025 in respect of Investors/Analysts Call, held on Thursday, the 6th November, 2025, please find enclosed herewith the Transcript of discussion held during the said Investors/ Analysts Call.

The aforesaid information shall also be disclosed on the website of the Company at www.krnheatexchanger.com .

Kindly take the above information on your record.

Thanking You,

For KRN Heat Exchanger and Refrigeration Limited

Jitendra Kumar Sharma
Company Secretary

"KRN Heat Exchanger and Refrigeration Limited
Q2 FY26 Results Conference Call"
November 06, 2025

MANAGEMENT : MR. SANTOSH KUMAR YADAV – CHAIRMAN AND MANAGING DIRECTOR – KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
M R. SONU GUPTA – CHIEF FINANCIAL OFFICER – KRN HEAT EXCHANGER AND REFRIGERATION LIMITED

M R. JITENDRA SHARMA – COMPANY SECRETARY –
KRN HEAT EXCHANGER AND REFRIGERATION
LIMITED

MODERATOR : MS. HIRAL PAREKH – DOLAT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the KRN Heat Exchanger and Refrigeration Q2 FY26 Results Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. I now hand the conference over to Ms. Hiral Parekh. Thank you and over to you ma'am.

Hiral Parekh: Thank you Huda. Good morning ladies and gentlemen. On behalf of Dolat Capital, I am pleased to invite all of you to the Q2 FY26 Earnings Conference Call with the management of KRN Heat Exchanger and Refrigeration Limited. The management is represented by Mr. Santosh Kumar Yadav, Chairman and Managing Director, Mr. Sonu Gupta, Chief Financial Officer and Mr. Jitendra Sharma, the Company Secretary. Now, without taking much time, I hand over this call to Mr. Santosh Kumar Yadav for the opening remarks and then we will open the floor to the Q&A. Over to you Santosh sir.

Santosh Kumar Yadav: Good morning all. So, I think opening remarks will be by Jitendra. So, once we finish, I will answer for questions answers.

Jitendra Sharma: Thank you Santosh sir. Good morning everyone. I Jitendra Kumar Sharma, Company Secretary of the company. I am having with our Chairman and Managing Director Santosh sir and CFO of the company. I hope you are all doing well. It is truly good to connect with all of you again.

As we discuss KRN's performance for the second quarter and first half of financial year 26, I want to begin by sincerely thanking each one of you for joining in today. Your time and continued engagement with our story means a lot to us. The first half of this financial year has been a very encouraging period for KRN.

We have maintained a strong growth trajectory, executed well our plans and taken several steps that strengthen our foundation for the years ahead. Starting with our standalone performance, total income for Q2 FY26 stood at INR227.22 crores, showing a solid year-on-year growth of 126% compared to INR100.48 crores in Q2 last year.

EBITDA for the quarter came in at INR29.60 crores, up 69% from INR17.56 crores and net profit almost doubled to INR23.66 crores from INR12.11 crores, a growth of 95%. For the first half of FY26, standalone total income was INR344.35 crores, higher by 73% compared to INR199.2 crores in Half 1 Financial year 25.

EBITDA stood at INR49.38 crores, up 43% and net profit increased by 66% to INR39.33 crores.

On a consolidated basis, total income for Q2 stood at INR154.46 crores, growing 67% year-on-year EBITDA, was INR30.25 crores, an increase of 67% and net profit rose to INR17.99 crores, up 46% compared to the same quarter last year. For H1 FY26, consolidated income was INR273.3 crores, up 44% over last year.

EBITDA stood at INR47.85 crores, up 34% while net profit was INR30.43 crores, higher by 25% compared to the same period in financial year 25. The standalone figures are greater than

the console figures due to inter-company sales with our subsidiary companies. This growth came on the back of strong execution, better capacity utilization and sustained customer demand across both domestic and export markets.

Our export business in particular has seen good contribution this year with continued strength from markets such as the UAE, the United States, Canada and Italy. Our Neemrana manufacturing facility continues to ramp up well and has started delivering many meaningful efficiency gains. The plant's performance is helping us improve delivery timelines, optimising costs and maintain quality standards that KRN is known for.

Alongside this financial progress, we

have also taken strategic steps that we believe will shape our future growth path. Our subsidiary, KRN HVAC Products Private Limited has signed a business transfer agreement to acquire the best air-conditioning division of spare refrigeration systems Private Limited. This is an important step that expands our presence in the automotive

HVAC segment and adds new technological capabilities.
Additionally, we have recently assigned CRISIL A negative ratings with a stable outlook for our bank facilities. This recognition is a strong validation of our financial discipline, credit strength and operational consistency. Both these developments are recent and while they have not contributed to the H1 FY26 performance, they set the stage for the next leg of growth of KRN.
Looking ahead, we remain optimistic. The overall HVAC and refrigeration industry continues to strong demand momentum supported by infrastructure expansion, sustainability goals, and energy-efficient adoption. With our growing product portfolio, manufacturing strength and dedicated team, we are confident of maintaining this positive direction in the coming quarters.
Before I close, I would like to thank our employees, customers, and partners for their constant support and belief in what we are building. Each achievement is a collective effort and it is your trust that drives us to do better every quarter. We look forward to another great quarter ahead and now welcome your questions and thoughts. Thank you.
Moderator: Thank you very much. We will now begin with the question and answer session. The first question Vivek Patel from Ficom Family Office. Please go ahead.
Vivek Patel: Thank you. Thanks a lot for the opportunity. Please pardon my question as this is the first time I'm looking at the company. The first question was, what percentage of our revenue do we drive from the oil and gas sector? And if you're not doing it at this point in time, do we have plans to enter that segment?
Santosh Kumar Yadav: Yes, Mr. Patel. Actually, oil and gas basically use a different type of heat exchange like a salient tube type, but we are making only salient tube type. So, our scope in oil and gas is limited. Like some refineries is there may be refrigeration cycle or something used. So, basically, that we are supplying, but main heat exchanger use are this salient tube type. So, our scope is limited in particular this industry. However, whatever is needed in this industry, we are trying to like use the same.

Vivek Patel: Okay, understood. And secondly, I just wanted to get your view on heat exchanger segment or sector as a whole, not just finned tube, but heat exchanger as a whole. What we think is the competitive intensity of this industry? When we compare it across size, say, for example, intensity in less than 1 ton to 20 tons per tons per sales, 20 to 100 tons and 100 plus tons, for example, how do you think that intensity is amongst these segments?
Santosh Kumar Yadav: Actually, we have not like have data or something like that what you asked, but we like to believe there is a segment like industry-wise, maybe data centre cooling or refrigeration side, then automotive side and then like refrigeration, then room air conditioning. So, also depends on tonnage.
It's linked to like room air conditioning have less tonnage and then commercial side have multiple tonnage, including then power plant cooling or maybe thermal cooling and something like that. So, it depends on the case like room air conditioning segment is quite big compared to in term of percentage, but commercial side is less in term of value or maybe in percentage. So, mainly we are solving on the commercial side, very less in room air conditioning side, but especially now commercial side growth is compared to room air conditioning is quite good. Room AC we believe around 10%, but comme

rcial side around 20% to 25%.
Vivek Patel: Okay. And other than the HVAC industry, which other sectors do you think they will contribute to our growth within the next three to five years?
Santosh Kumar Yadav: HVAC growth in India, because it's linked to like infrastructure, then AI or data centre cooling, then automotive, especially bus air conditioning, then train, metro. So, it's of course linked and we believe it will be continued in term of commercial, it will be continued around 20%, at least for next 10 years.
Vivek Patel: Okay. And just last question, if I can squeeze in about the exports. In the previous call, you had mentioned export target revenue share of 50% in three years time. I just wanted to know what would be your strategy to achieve that export revenue share and more importantly, what is our right to win in the international segment? Thank you.
Santosh Kumar Yadav: Yes. So, internationally actually requirement compared to India, especially in commercial is huge, especially in North America and Europe. And earlier we have like limited capacity with less infra. So, a new factory we try to build good infra in term of internationally, maybe compared to internationally almost the same and we have good space now, almost 600,000 square feet. So, we build factory, try to achieve like export only.
And for that, now we are already started the production. So, we are supplying sample and we are receiving some order also. Secondly, we hire team also. So we hire one person for export sale only, still today in Europe also. So, now we will be only responsible for export sales. So, what we said in particular heat exchanger segment, finned and tube type, we will achieve 50%

in the next three years.

Vivek Patel: Thanks a lot for your time, sir. All the very best. Thank you.
Santosh Kumar Yadav: Thank you.
Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.
Deepak Poddar: Okay. So, just clarification first up, you just mentioned that 20% growth for next 10 years. So, I mean, we are talking about industry level or company level?
Santosh Kumar Yadav: Industry growth in term of commercial air conditioning or package air conditioning.
Deepak Poddar: Okay. For that particular segment?
Santosh Kumar Yadav: Yes.
Deepak Poddar: Okay. And any kind of CAGR we are looking at for at the company level? I mean, next three to five years, what sort of CAGR we are looking at?
Santosh Kumar Yadav: So, of course, we have now new capacity. So, like new capacity is almost our 6x compared to our before one year balance sheet. So, this year we are trying to achieve around 20% and then of course, 50%, 80%. So, for us, I think it's much bigger compared to industry target.
Deepak Poddar: No. So, I missed it. I didn't get it. So, this year we are looking at 20%?
Santosh Kumar Yadav: For new capacity, we are trying to like achieve 20% of capacity utilization, what we added.
Deepak Poddar: Okay. For new capacity, we are trying to utilize 20% in the current year?
Santosh Kumar Yadav: Yes.
Deepak Poddar: And 50% in FY27?
Santosh Kumar Yadav: Yes. Next year.
Deepak Poddar: Okay. And what is our current capacity utilization?
Santosh Kumar Yadav: So, we have two like factories. One is listed and one is subsidiary. So, listed KRN Heat Exchanger, we are almost full and this new subsidiary this year, what we said 20%.
Deepak Poddar: Okay. So, the existing one, we are almost full utilization level?
Santosh Kumar Yadav: Yes.
Deepak Poddar: Okay. And for the new one, we are targeting anyways 20% that you mentioned?
Santosh Kumar Yadav: Yes.

Deepak Poddar: And what was the capex that got into this new capacity, which made it 6x for us?
Santosh Kumar Yadav: So, to

tal is around INR350 crores, but from IPO we claim INR241 crores, but balance we have also invested. So, it should be maybe by end of this running quarter, it will be concluded. But it's tentatively INR350 crores.
Deepak Poddar: INR350 crores. And which month this got commissioned, the 6x capacity?
Santosh Kumar Yadav: Oh, it's commenced 30th of May this year.
Deepak Poddar: 30th of May. Okay. Understood. And on the financial front, our gross margin saw a big improvement. So, just wanted to understand what led to the improvement and how sustainable we see it?
Santosh Kumar Yadav: We said before also, so our like gross margin is similar to like around 20%, but it's sometime quarter-to-quarter it can be changed because we change price in each quarter. So, if material up and then we can get some maybe price or raw material, something like that, but it is like 20% is sustainable.
Deepak Poddar: Okay. So, this quarter was around 32%, right – 31%, 32% gross margin?
Santosh Kumar Yadav: No. So, I'm talking about EBITDA. So, that's why gross is similar to EBITDA.
Deepak Poddar: So, EBITDA margin, I think this quarter was close to 20%. So, that is sustainable, that's what you are mentioning?
Santosh Kumar Yadav: Yes. That's my mistake gross and EBITDA.
Deepak Poddar: So, we are talking about EBITDA margin. And just one final thing on this acquisition front, can you throw some light on its, I mean, revenue and margin details and what, how much we had to pay for this acquisition?
Santosh Kumar Yadav: So, what happened is actually now we have earlier we are supplying or now also supplying some of special bus air conditioning. And we thought there is a good scope in coming years. So, as of now market is around INR1,000 crores for total bus air conditioning, including conventional and electric bus both and there is three major in player in India. So, they are sharing almost one computer, you can say 50% and the rest of 25-25 including export.
And if we compare to all three, so we have much backward integration in compared to all of

three. So, we have new facility, but we don't have technology that time and know-how. So, that's why we acquired this company. Basically, they are running by three of professional earlier they are working in same industry and they are running this company since I think 12 years from now, 12 to 13 years.

So, now we try to not give some value, but we merge this company in terms of like their technology know-how and all employee, their asset and their store. We just paid for asset and

their technology and then we merge, but value is not much. But now it will run by this same team only. We already started the production and we build some like 10 to 20 members as of now and coming year, we will achieve good numbers from this business as well.

Deepak Poddar: So, basically what you're trying to say, this acquisition is more from the perspective of technology know-how and team that we are getting through the acquisition. Right now, they're not doing much revenue, but next year we are expecting some kind of revenue jump up to happen from this?

Santosh Kumar Yadav: Yes. Because industry also, this bus air conditioning is growing 20% to 25% per year.

Deepak Poddar: Okay. And I mean, next year, how much contribution can come from this acquisition? I mean, any ballpark number?

Santosh Kumar Yadav: So, as per our plan it's around INR160 crores we are planning, but as of now like merge in same what we have told before. So, top we are not changing. So, it's because backward indication means we will make heat exchanger and then tubing and then our heat metal part from same facility. So, it will be like mixed.

Deepak Poddar: And the margin profile will be similar, what we are getting?

Santosh Kumar Yadav: It is similar to our heat exchanger or slightly up.

Deepak Poddar: All right. Oka

y. That's very helpful, sir. I mean, that would be it from my side all the very best to you.

Moderator: Thank you. The next question is from the line of Jayshree Bajaj from Trinetra Asset Managers. Please go ahead.

Jayshree Bajaj: Hello, sir. First of all, congratulations on the good set of numbers. My question is for in the H1, FY26, the UAE contributed almost 47% of export revenue and followed by USA 20% and Canada 18.86%. So, what specific investment is planned for the North American market considering its strong contribution to sustain the growth momentum beyond Asia, that’s my first question?

Santosh Kumar Yadav: So, actually, when we started export, we started to UAE first. So we have customers so same customer their buying is increasing. So, that's why its percentage is increasing, but now we are more focusing on especially for Europe and North America. So, now whatever growth we will receive, we will receive from North America and Europe only. UAE, I think it will remain same, but in terms of percentage, it will be down once the number will increase from North America and Europe.

Jayshree Bajaj: Okay. And can you elaborate on your R&D initiatives and the role of Thermotech Research Laboratory subsidiary?

Santosh Kumar Yadav: Yes. So, since like last year and before, I think from now I think one year. So, we have new companies, 100% subsidy of our listed companies, Thermotech Research Laboratory. So, mainly try to make like as a separate identity and third-party lab. So, it's almost now ready. So, hopefully, next month it will start from like in terms of testing. Installation almost completed. Now, some fine-tuning is going on.

So, once it will start, so we will test our existing heat exchanger and now we are sending PP to our existing customer and new customer because if they need some value engineering or value addition on existing product or if they want to some new product development, so that we will help to develop together. Because earlier, we can like use simulation by software only or customer have to test, but customer already have some new development in pipeline.

So, it will be delayed much less compared to our expectation or sometimes they can take heat exchange from our competitor. So, to like make the plan particularly that thing, we added new geometry. Now, we have almost 20 geometry in terms of finned tube heat exchanger and then we have laboratory. So, now we can offer to our customer, you just come to us and for you we can design, we can test and then we can supply our product.

Jayshree Bajaj: Okay. Got it. Thank you.

Moderator: Thank you. The next question is on the line of Hardik Gandhi from HPMG Shares. Please go ahead.
Hardik Gandhi: Yes. So, congratulations on a good set of numbers. Just wanted to know that are all phases operational in the new subsidiary?
Santosh Kumar Yadav: Sorry, can you repeat?
Hardik Gandhi: So, are all phases operational in the new subsidiary? I think we had multiple phases in the new plant. So, are they all operational?
Santosh Kumar Yadav: Yes. Now, bus air conditioning, you can say we are trying to add some new assembly line because earlier they have some conventional or small lines. So, this line we will try to set up by end of December or early January. Rest other components already we started the production and we started the supply to our customer. However, now we are adding new customer as well as some supply to new sample to additional OEMs for all new components.
Hardik Gandhi: Understood. And what was the reason for inter-company sales because I saw that although the standalone numbers, top line was way higher than the console numbers? So, can you help?
Santosh Kumar Yadav: Actually, what happened because as per our earlier plan, we have to start this new subsidiary before two months, three months when we started be

fore May. So, especially for imported raw material like especially for copper and aluminium, we have to give to plants to our vendors almost six months or four months before.

So, based on our plan, we already ordered to them and they have to open our new company vendor code and sometime like in August, we are receiving open account OA. So, they can have sign-ups or maybe insurance back side especially for China and then Vietnam factory. So, especially in new factory, they have not opened at all, not opened the vendor code. So, that's why we decided that we can buy the material in KRN Heat Exchanger. So, once we receive the material and then once we started, we ship this material to new entity. So, that is the reason mainly.
Hardik Gandhi: Understood. So, going forward, I am assuming this will not be the trend?
Santosh Kumar Yadav: Now, this is not much for sure, but particular this quarter and next quarter, some small number will be there because some are still not open. So, some material we are still buying in KRN Heat Exchanger and we will, but by the end of this year, it will finish and from next year, almost it will be zero.
Hardik Gandhi: Understood. And are we already experiencing the additional margin from the PLI scheme as well as the state government scheme which we were benefiting from or they are yet to kick in for the new subsidiary?
Santosh Kumar Yadav: No. So, for new subsidiary, as of now we are not receiving any incentive scheme. So, PLI, what they have ruled, eligibility criteria we will receive in next year only because we entered in mid of the scheme. So, what top line they are asking, if we will not achieve, then for sure we will achieve in next year. So, we are assuming PLI will benefit, we will receive next year for sure. And RIPS, we already applied. So, hopefully next four to six weeks, we will have approval. So, once we will have approval, that day it will start. So, still RIPS also not started and PLI also not.
Hardik Gandhi: Understood. And just on the ramping up side, are we given that such big expansion we have done, are we seeing any big player entering our segment or second is, are we very positive about our future demand at least for the new capacity in the next two to three years?
Santosh Kumar Yadav: So, you can see in new segment like we added multiple part numbers. So, I can maybe explain one by one. So, particularly finned tube heat exchange, so for sure we are seeing the growth is export and domestic as well. So, just for example, data centre like this Google they announced almost INR50,000 crores investment in Visakhapatnam for data centre cooling.
So, we are assuming almost INR1,000 crores to INR500 crores value exchange that we use on particular this project only. And as of now, what capacity we have, so we are expecting at least 50% we will receive. So, like this, all segment growth is there. So, we are expecting almost 20% to 25% growth from existing OEMs for India market. And additionally, we are adding new customer from especially for export for North America and Europe side.
About refrigerator, because this is a new product for all three. So, we already started supplying for small OEMs or like also we approved by Havells recently, because Havells also going to start production for the refrigerator factory near to us from January this year, next year. So, we

already approved by Havells. So, parallelly we are trying to other OEMs also. So, it will for sure

will ramp up and then other than this, bus air conditioning, we recently added.
So, mass production we already started, not in big numbers, but from January there will be big numbers. So, next year for sure we are expecting good numbers, because we already have experienced team and even sales we have as of now

almost 15 people for bus air conditioning business only. Other than this, bar and plate.
So, we already supplied these small numbers to Indian Railway. And by March we will complete our prototype like 6 months, we will achieve and then after six months, we will enter in tendering for at least 20% of feasibility criteria. And then parallelly, we almost developed I think 35 customers. We already signed the NDA for warranted business. So, this business also will ramp up in next year for sure.
Hardik Gandhi: Understood. Thank you so much. Just a small last question from my end. I think for the copper bought out parts as well as on the imports we were looking to source them locally from the new, I think so two new vendors were there domestically who started production. So, are we going to do that and reduce our working capital days for the inventory or we are still going to import only?
Santosh Kumar Yadav: As of now, we are 100% importing. So, because industry is like quality-wise or supply-wise or price-wise, we still have to settle. So, of course, we asked some for sample. So, as per my personal opinion, it will take at least another six months to settle down the things because Hindalco is still not started. And MetTube and Adani have joint ventures.
So, Adani industry also not started, only MetTube started. So, they are mainly, as of now they are supplying plain copper tubes while IGT also they are trying to supply in less numbers. So, once they will settle, so for sure, we will ask them for sample and then approval and then mass production.
Hardik Gandhi: Understood. Thank you so much, sir. All the very best for the future.
Moderator: Thank you. The next question is from the line of Shubham from RV Investments. Please go ahead.
Shubham: Sir, as you said that we have extended our capacity.
Santosh Kumar Yadav: Can you speak loudly.
Moderator: Shubham can you speak a little louder.
Shubham: Hello. Am I audible now?
Moderator: Yes, perfect.

Shubham: So, as you said that we have extended our capacity 6x, so can you give some guidance in terms of revenue for the coming years?
Santosh Kumar Yadav: Actually, that question, Shubham, we receive on multiple calls, but the exact number we cannot say now of course. So, but in terms of capacity, I think you can calculate by yourself it would be better.
Shubham: Okay. Can I know the current capacity of both the plants of the main company and the subsidiary?
Santosh Kumar Yadav: So, main facility, our capacity compared to if you see our last budget is almost full and new capacity, what we added. So, this year we are trying...
Shubham: Sir, I'm not asking about utilization. I'm asking about the manufacturing capacity in terms of volume?
Santosh Kumar Yadav: No, actually, heat exchanger because -- so there is two types of capacity you can say. One is in numbers. Second is in terms of maybe usage of the tonnage of the material. Because we make heat exchanger like a small one, maybe INR200 one heat exchanger and other side almost INR20 lakhs of one heat exchanger. So, that's why it's better to maybe calculate in terms of tonnage.
So, that numbers I don't have in front of me. So, maybe we can send you after the call.
Shubham: Okay, sir. Thank you.
Moderator: Thank you. The next question is on the line of Mohit Chugh from Shub Labh Research. Please go ahead.
Mohit Chugh: Mr. Yadav, so my first question is on the ramp up side of the new facility. We had this question last quarter also where probably we have been writing about 20% capacity expansion of the new plant itself in FY '26, this current financial year?
So, Mr. Yadav, I know you don't give guidance, but if I do a rough math of around INR1800 crore revenue potential from the new capacity, which leads to around INR350 crore revenue from the new facility in FY '26 itself. And the existing fa

cility already generating around INR440 crores-INR450 crores. So, is it fair to assume that FY '26 will be a year of around INR750-INR800 crores revenue for our company?

Santosh Kumar Yadav: Again, actually, numbers, I can't comment much, actually. So, for that, honestly, this is a legal point, so I can't comment much. But capacity-wise and utilization-wise, I already, I think, answered.
Mohit Chugh: Right, right. Now, Mr. Yadav, we've certainly answered about it, but I'm sorry to press again on it, because if we see the newer capacity, which is probably 6x of the last capacity, and at a time when the last capacity was INR300 crore. I mean, we were generating around INR300 crores from the older capacity?

So, from there itself, I am, you know, trying to infer that what will be the ramp up potential for the new capacity in FY '26. So, sorry to press again on it, but that's how I was calculating it?
Santosh Kumar Yadav: I think we are maybe similar thought. So, what I said, the new capacity, we are trying to achieve 20% this year and 50% of capacity utilization next year.
Mohit Chugh: Understood, understood. No, this is helpful. Probably, we'll reach out after the call to the team. Secondly, if my question is on the, you know, standalone versus console number, I think it has been asked earlier also, but I have a follow-up on the question that our consolidated revenue is lower than the standalone revenue. So, is it fair to assume, Guptaji, that the subsidiary sales this quarter was very low? That is why the purchase which subsidiary has done from the parent company has been cancelling out and yet the console numbers are lower than the standalone numbers?
Santosh Kumar Yadav: That is the same because mother company have raw material. So, he's sold to a subsidiary and subsidiary have, of course, revenue less, but once we console, then we have to reduce inter-company billing by auditor.
Mohit Chugh: Okay, okay. It means probably a subsidiary has buyed - bought raw material from the parent company, but subsidiary has not done material sales and that is why net-net revenue is coming down?
Management: Yes, yes.
Mohit Chugh: Understood, Guptaji. I've been very helpful. My last question, Mr. Yadav, is on the recent acquisition which we have done. So, you know, I just wanted to understand because if you look at the company's website and, you know, try to understand what the company has done so far in its history of existence, it seems that the revenue of that company is not material?
So, first of all, is that assumption fair? And then secondly, you know, how much revenue potential do you see given the technology we are buying from the company? And will it give us an entry to railway coaches, passenger coaches segment also from this acquisition if it materializes further?
Santosh Kumar Yadav: So, I think I not clearly heard, but however, I try to reply once it's not complete and I can reply again. So, this company actually, this promoter, I think they left, there is a Sparrows Motherson, they work with Sparrows Motherson. So, the two guys within sales and one guy in operations.
So, they came out and they founded two companies. One is Spare Thermal Refrigeration and one is Spare Refrigeration System Private Limited. So, main company was Spare Thermal System Private Limited.
So, they started and I think they achieved maybe top line, I think maximum, I think 40 or 50 crore only, but they are unable to convert this business because of a lack of working capital. And

then this, before six to seven months, they come, this company, they sold to another guy because now to enter in railway business, complete railway HVAC.
Somebody wants to enter new, so he needs some experience, especially for cab air conditioning or maybe

if you have some bus air conditioning, then also you can enter. So, one company bought that company, complete for this system, this spare system refrigeration - Thermal Private Limited.
And then they promoted three, they buy back bus air conditioning from their old company to this spare refrigeration. So, actually we bought spare refrigeration, bus air conditioning, but this company, I think revenue is not much, I think they top line only two, three crores.
So, now our target is because we have backward integration in terms of all competitors, we are now maybe number one and we see market is good and we have expertise, especially in heat exchanger, tubing, sheet metal, and then of course they have technology to work on this one and electricity. And market is growing at least 20% to 25%.
Third, we will enter in HVAC system for complete railway towards this business. So, once we

have 500 buses experience, then we can apply for railway complete HVAC system. And this thing happening without any big investment for this business.
So, we have already like facility, including like space. So, you can say given very less investment, we added this business and of course, this will come as a complete our product. So, first bus air conditioning and then this battery management system, and then railway air conditioning for railway and then metro.
Mohit Chugh: So, it is fair to conclude that revenue from this acquired company is not very high, as you said, because of working capital constraints it has in the past, but probably technology which we are getting is the value here in this acquisition?
Santosh Kumar Yadav: Yes, because this bus air conditioning is like a little tricky, because you have to complete Pan-India based service and you have to knowledge about like dealer base or maybe bodybuilder knowledge key. So, that is a little tricky. So, that's why we need the experienced person and team who can handle this complete entire ecosystem.
Mohit Chugh: Understood. Fair enough. In fact, congratulations for this. This seems like a very meritful forward integration of the business at such an early stage. So, congratulations on that. And good numbers. Thanks a lot.
Moderator: Thank you. The next question is from the line of Shivkumar Prajapati from Ambit Investment. Please go ahead.
Shivkumar Prajapati: Hi, sir. First of all, congratulations on great set of numbers. My first question is, did we book any inventory loss or inventory gain during this quarter? And if you can help me understand, if suppose we take 20% EBITDA margin as a median, so would you be able to share the split

between the products offering higher margin than 20% and products offering lower than 20% kind of margin?
Santosh Kumar Yadav: So, I think we not calculated that way. Actually, we change price each quarter. So, like mainly four times in a year. But once like metal trend is upper side, then of course, a gain is there always.
But I think what we promised and what we are trying to say about this EBITDA is around 20% is, I think, sustainable for us.
And especially in next year, once we will have incentive from REITs and then PLI, and then of course, in new facility, we will have this income tax also 15%. So, of course, that will be, we can improve with adding the incentives and that we can maybe with income tax. So, both will improve from new facility.
Shivkumar Prajapati: So, will you be able to share the breakup of other expenses?
Santosh Kumar Yadav: We can share. So, maybe after call, you just maybe write down your mail ID. We will try to share.
Shivkumar Prajapati: Sure, sir. Sure. And sir, in this quarter, I came to the point that you have mentioned 26 crores was still unutilized towards the project, whereas the proceeds from IPO has already been utilized.
So, can you explain where did we utilize this extra funding?
Santosh

Kumar Yadav: So, mainly, this is what we like not utilize. So, down payment, actually what machine we bought, especially for import and domestic. So, some vendors have 10% balance or some have 20%, because once machine like perfectly run and everything like certifications, installation or running certification signed by our team, then we will pay. So, that is our agreed term with the vendors, and some I think still pending on solar side and the office, I think. So, this is only that.
Shivkumar Prajapati: Understood, sir. And sir, what would be your outstanding order book and how many new clients or say how many new clients we added during the quarter and did we enter any new geography or are we planning to enter some new geography?
Santosh Kumar Yadav: Geography, I think same, still same. Of course, North America, Europe and the UAE and of course, I think, Sri Lanka we added recently, last quarter. So, we already started supply some of container and about new customer, I think, because now we have multiple products.
So, I think in last quarter, I don't have exact number, but as per my opinion, I think we added at least 40 to 50 customers, but it's in compared to all components.
Shivkumar Prajapati: Okay, understood. And what would be your outstanding order book right now?
Santosh Kumar Yadav: So, order book actually, I said always in all calls because we don't have projects order actually. So, it's the rolling actually.
Shivkumar Prajapati: Understood. And sir, like UAE forms our major portion of our export. So, what is driving growth in UAE? I mean, which segment?

Santosh Kumar Yadav: Actually, in UAE, my customer is same, but their requirement is increasing. So, that's why its number is increasing. But we not added some new customer, it is only old customer only.
Shivkumar Prajapati: Understood sir, understood. And sir, like now we are presenting most of the heat exchangers. So, can you explain bit and can you explain the margin profile of this kind of heat exchangers? Like we are already in, if you can speak more of a rule bond or the bar and plate heat exchangers. So, what sort of margins does this product offer?
Santosh Kumar Yadav: So, refrigerant side like roll bond and frost free and WOT condenser, of course, margin is slightly thin compared to our existing because of big commodity and numbers are big. But the bar and plate and bus air conditioning, this both business margins are good compared to our fin and tubes.
Shivkumar Prajapati: And sir, maybe my last question. So, it's from the annual report. So, just went through it and I saw that the freight and carriage inward as a percentage of other expenses, it was around 22% for FY '25, whereas for FY '24, it was close to about 14%.
So, there was a sharp jump in this freight and carriage inward. I understand that most of our raw material are imported, but still, it's a big delta between these two years. So, can you explain the difference, why it is?
Santosh Kumar Yadav: So, I don't have exact reason, but what I remember, I think freight cost almost maybe changed almost two times compared to both years. However, we can maybe maybe find the exact reason for both years and maybe we can share.
Shivkumar Prajapati: So, thank you so much.
Moderator: Thank you. The next question is on the line of Ajay from Niveshaay. Please go ahead.
Ajay: Congratulations. Encouraging to see the new facility getting ramped up. So, my question is, is the higher uptake mainly like increased volume from existing customers or are we successfully penetrating newer markets or securing new customer addition?
And is it like the growth has been driven by traditional application like of these products like the HVAC or and the new emerging high growth sector like data centre where you mentioned like maybe India has announced like a significant size of opportunity

.
So, is it like the newer growth is being driven by these high growth area and on that data centre comment which you made like 50,000 crore opportunity? So, what would be the addressable market for KRN and what sort of market share are we targeting to that market?
Santosh Kumar Yadav: So, actually heat exchanger of course our existing customer like their buying is increasing, their demand is increasing and we are also adding new customer and then revenue we receive from existing as well as new component as well. So, especially for this refrigerator and then some bar

and plate and then bus air conditioning and some tubing side. So, if we close and then we totally can safely increase.
Secondly, of course we are trying to achieve all industry, our revenue especially data centre of course, they are because their growth is quite good. So, we have already customers and what we don't have. So, we are trying to like taking board also for these customers
And the second like third one especially for this Vishakhapatnam project. So, as per my opinion heat exchange requirement will be I think INR1,500 crores for this project and we are expecting at least 50% of order to us, because especially data centre pooling requirement is a big heat exchanger and we can say proudly as of now we have only such facility to make big heat exchanger with good infra. So, we have capability, capacity and space.
Ajay: Sir, so on the data centre side like is there any technological advantage that we have or any mode that we have which maybe that allows us to like maybe forecast such a higher market share in the market. So, if you can comment on that like any technological difference which we have between like maybe a normal HVAC for industrial system and that for the data centre system, like, is there any technological difference?
Santosh Kumar Yadav: So, actually I cannot say directly technology difference, because these designs maybe do by OEMs only. So, but now we have our design centre also our lab. So, if customer want to then we can help to them to design or maybe we can help to test them quickly.
So, they can save their time but of course I cannot say due to this they cannot buy but especially because if you need numbers big. So, you must be you have capability to make in term of capacity, in term of infra, because to make big coils you need good space with overhead cranes, you need multiple station in term of space and that capability.
So, that we have now if I say earlier of course we will also don't have earlier because of space constraint, and you know not invested in much in machinery, but now we invested based to on these especially for big heat exchangers. So, that's why I am saying we are expecting at least we can get 50% by default.
Ajay: Got it, and sir, like because we project the facility to ramp up. So, maybe if you can, like going

forward and maybe next one two years, how is the mix that we are seeing, like between fin and tube and the bar in plate and then the bus HVAC?
So, if any sort of mix which you can maybe provide, because margins are higher on the bar in plate and the bus air conditioning. So, what sort of mix should we envisage going forward?
Santosh Kumar Yadav: So, I said before also. So, like now we are trying to achieve or expecting 12% of PAT, but from new facility because we have in term of capacity in term of incentive like PLI then REITs and electricity saving and new income tax scheme.

So, if I club all at least for two or three years so we can have much much data, but what we are saying to market, we can try to improve at least one or one and one and a half percent of PAT, because other side about our depreciation and then these overheads will increase.
Ajay: No sir, my question was on the product mi

x like currently, because we have the sheet metal, evaporator coil condenser coil. So, these are existing products and then we have the newer products like bar and plate where we already got the approval and then we expect ramp up in this like Q4?
So, going forward in one two years like I wanted to know how are we projecting the revenue mix of the company in terms of the existing product category the newer products like bar and plate and the acquisition like for bus HVAC which we have recently done. So, any sort of product mix which you can share?
Santosh Kumar Yadav: So revenue, I got your question. So, actually revenue wise we not defined like product wise. However, because we have like mix also inside between, because bus air conditioning like sheet metal also we will make in house, then tubing also we will make in house and ejection also we make in house.
So, this is the like mix we have to sell inside also. So, what we like try to say we will achieve total plant capacity of 50% including all components, including our existing as well as new. However, if you need like segment wise, so we can make the paper and we can share.
Ajay: Got it. And sir like just one question on, because we like, even in previous calls we mentioned for a healthy EBITDA margins, but previously, because China had like removed the export duty on Chinese exports for aluminum and copper coils? So, like I just wanted to know some more thoughts on like how do you plan to manage these raw material fluctuations like because even recently there has been some increase in the metal prices?
So, what sort of confidence do you get to maintain a 20% EBITDA margin, because even in last one to quarter maybe because when our utilization was low and the industry was maybe suffering, we had suffered from margins. So, I wanted to know more from you, like what gives us this confidence on the margin guidance?
Santosh Kumar Yadav: Not actually material risk is not our side. So, like of course impact can be quarter-to-quarter, because if like suddenly jump or maybe some impact from duty side or maybe some anti-dumping duty side. So, we cannot pass to our customer immediately, but however next quarter we always pass and customer also always agree.
So, what your difference to see in especially in the EBITDA, like two or three percent up and down. So, it's because of this only, because sometime we can gain inventory margins or what we have impact then we can pass to our customer and next quarter. So, we will like just you can say one quarter to next quarter. So, that's why this slightly fluctuation there, but risk is not our side, we just always pass to our customer.

Ajay: Got it, and sir just one book-keeping. So, like because it has been asked like the standalone revenue is higher than the console. So, is it for some sort of a backward integration where the standalone entity is acting as like manufacturer for the subsidiary or like maybe sheet metal? Is it something like that or it's just that we have just transferred the material as in how it is received on, like whatever the cost, and that is why, because in the standalone the margins are just lower compared to the consolidated margin? So, is this some sort of backward integration?
Santosh Kumar Yadav: Yes, this quarter mainly from, raw material only, but what you said backward integration also because in new facility we are making new bands and then sheet metal and manifold also. So, this component of course we will buy to this holding company also, but it will be not much compared to what we will this quarter, because it's quite high number, because we have all raw material, we bought in our holding company and we shift to this subsidiary.
Ajay: Understood sir. All the very best for future.

Santosh Kumar Yadav: Thank you sir.
Moderator: The next question is from the line of Yogesh Pat

il from Dolat Capital. Please go ahead.
Yogesh Patil: Thanks for taking my question and congratulations for the good set of numbers. Sir, in this quarter Q2FY '26, we have reported a consolidated revenue of INR150 crores approximately. How much was it from the new facility? Any idea in ballpark number, if you could give us?
Santosh Kumar Yadav: I think it's around INR33 crores.
Yogesh Patil: Okay. And what was the EBITDA contribution from the new facility during the quarter?
Santosh Kumar Yadav: EBITDA I don't have number, but of course, I think around we did minus I think around INR4 CR because interest and then depreciation. But EBITDA margin, I have to check.
Yogesh Patil: Yes, no worries. Sir, on a capital expenditure side can you help us to read the capital expenditure in terms of what is the nature of the capex, how much of the IPO process are pending for the deployment, and what can we expect going forward for FY '26 and FY '27. So, in the second half of FY '26 what amount of capex one can assume and in FY '27?
Santosh Kumar Yadav: So actually, that is still under consideration. So, I can't describe now. However, what we, like I think already did or somewhat is pending around INR25 crores. So, it's tentatively around INR350 crores in new this capex. So, I think INR25 crore is still pending. We have to invest or we have to pay to our vendors. And about next year, next to next year, we have some plans in pipeline. So, but once free then we will let you know. So, it may be in another we need 4 to 5 weeks.
Yogesh Patil: Sure sir. Thanks a lot for taking my question. Best of luck.
Santosh Kumar Yadav: Thank you.

Moderator: The next question is on the line of Heta from Monarch AIF. Please go ahead.
Heta: Yes. Hi sir. I had two questions. One is regarding the solar investments that we were planning to take up in KRN HVAC. So, by when would that be operational and what would be the cost advantage, we would have because of that?
Santosh Kumar Yadav: Solar actually there is two types. One is the like what we are making we are directly using. So because I think in house manufacturing I don't know what is the name. And second is the like on grid system. So, there is two segments. So, one is already started.
Second is another installation with government because we have to contact with grid and then transportation and then supply chain completely. So, it will I think it will start maybe next two weeks for both. So, then we will have at least benefit in terms of our, I think around half percent of saving we can say maybe in terms of revenue.
Heta: Okay. And so, I just wanted to understand how would the working capital now shape up going forward? Do we plan to keep higher inventory levels?
Santosh Kumar Yadav: No actually what happened because now we added the new components, especially for refrigeration and then bar and plate and then bus air conditioning. So that's why we have to keep some minimum level of the stock. So that's why now it's increased.
But going forward it will settle down because now we already started the SAP so we can monitor it smoothly. Secondly this Make in India copper tube and aluminum file starts so then also we can control something. So maybe in this quarter it will maybe same or slightly up but from next quarter we will try to control.
Heta: Okay. All right, so that's it from my end. Thank you so much.
Moderator: Thank you. We will take that as our last question for today. I now hand the conference over to the management for closing comments.
Santosh Kumar Yadav: Hello, yes, so thanks for attending call and still what is the guideline. We still remain same and we really appreciate our team efforts and then our stakeholder supports. So, thanks from our side and we appreciate for attending the call.
Moderator: On behalf of Dolat Capital Markets Private Limited that

concludes this conference. Thank you
for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
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Date: 12th February, 2026

To,
BSE Ltd
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai- 400001, Maharashtra, India

Script Code: 544263 To,
National Stock Exchange of India Limited
Exchange Plaza, C-I Block G, Bandra Kurla
Complex, Bandra (East), Mumbai-400051,
Maharashtra, India

Script Symbol: KRN

Subject: Transcript of Investors/Analysts Call held on 9th February, 2026

Dear Sir/Madam,

With reference to our letter dated 3rd February, 2026 in respect of Investors/Analysts Call, held on Monday, the 9th February, 2026, please find enclosed herewith the Transcript of discussion held during the said Investors/ Analysts Call.

The aforesaid information shall also be disclosed on the website of the Company at www.krnheatexchanger.com .

Kindly take the above information on your record.

Thanking You,

For KRN Heat Exchanger and Refrigeration Limited

Jitendra Kumar Sharma
Company Secretary

"KRN Heat Exchanger and Refrigeration Limited
Q3 and 9M FY '26 Earnings Conference Call"
February 09, 2026

MANAGEMENT : MR. SANTOSH KUMAR YADAV – CHAIRMAN AND MANAGING DIRECTOR – KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
M R. SONU GUPTA – CHIEF FINANCIAL OFFICER – KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
M R. JITENDRA KUMAR SHARMA – COMPANY

SECRETARY – KRN HEAT EXCHANGER AND
REFRIGERATION LIMITED

MODERATOR : MS. HIRAL PAREKH – DOLAT CAPITAL MARKETS
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to KRN Heat Exchanger and Refrigeration Q3 and 9M FY '26 Earning Call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Hiral Parekh. Thank you and over to you.
Hiral Parekh: Thank you, Heena. Good morning, ladies and gentlemen. On behalf of Dolat Capital, I'm pleased to invite all of you to the Q3 FY '26 Earnings Conference Call with the management of KRN Heat Exchanger and Refrigeration Limited. The management is represented by Mr. Santosh Kumar Yadav, Chairman and Managing Director; Mr. Sonu Gupta, Chief Financial Officer; and Mr. Jitendra Sharma, the Company Secretary.
With that, I'll hand over the call to Jitendra sir, for the opening remarks, following which we will open the floor for questions. Over to you, sir.
Jitendra kumar Sharma: Thank you, Hiral. Good day everyone. Thank you for joining us today on behalf of the management team of the KRN Heat Exchanger and Refrigeration Limited. I would like to warmly welcome all our investors, analysts, and partners to our earnings conference call for the third quarter and 9 months period ended FY '26.
We appreciate your time and your continued interest in the company. This has been a solid quarter for us, and we are pleased to share our financial performance and would like to outline our growth objective going forward.
KRN's journey over the last several years has been built on a simple and consistent approach. We have focused on doing the basics right, executing orders reliably, investing steadily in capabilities, and building long-term relationships with customers who value quality, customization, and delivery assurance.
From a single manufacturing facility and a limited product range, we have gradually scaled our operations, expanded our product portfolio, and strengthened our presence across multiple end-use segments within HVAC and refrigeration.
This steady evolution has helped us build a resilient business that can grow across cycles rather than chase short-term opportunities. The broader industry environment has also been supportive. The HVAC and refrigeration sector continues to benefit from strong structural tailwinds, including urbanization, infrastructure development, rising demand for energy-efficient cooling solutions, and increasing focus on indoor air quality.
Growth in data centers, commercial buildings, transport refrigeration, and industrial cooling applications is creating sustained demand for reliable heat exchanger solutions. At the same time, global customers are increasingly looking for trusted manufacturing partners with consistent quality and the ability to scale, which positions companies like ours well over the medium to long term.

During the quarter and the 9 month period, demand was strong across India and major export markets, including the UAE, the United States, Canada, and Europe. Coming to the financial performance, I'll first touch upon the standalone numbers for the 9-month period ended on the standalone basis.
Total income for the first nine months of FY '26 grew about 58% year-on-year to approximately INR485 crores. EBITDA for the period stood at around INR67 crores, reflecting growth of about 32%, while net profit increased by nearly 49% year-on-year to about INR54 crores.
On a consolidated basis for the 9 month period, total income stood at approximately INR428 crores, representing growth of about 40% compared to the same perio

d last year. EBITDA for the 9 months grew up by 53% to around INR79 crores, while net profit increased by nearly 40% to about INR53 crores.
Looking specifically at the third quarter, consolidated total income for Q3 FY '26 grew by about

33% year-on-year to roughly INR155 crores. EBITDA for the quarter nearly doubled to around INR31 crores, and net profit for the quarter grew by 65% year-on-year to nearly INR23 crores.
Overall, the quarter reflects steady execution and improving operating performance as the business continues to scale. As we look ahead, we remain confident about the growth trajectory of the company. The industry outlook remains positive, our order pipeline is stable, and customer engagement across domestic and export markets continues to be encouraging.
Our focus remains on disciplined execution, improving operational efficiency, expanding our product offerings in a calibrated manner, and building a sustainable business that can deliver consistent performance over the long term.
Before I close, I would like to sincerely thank our employees for their commitment and hard work, our customers for their continued trust, and our partners for their ongoing support. What we have achieved is the result of a collective effort, and that support motivates us to keep improving quarter after quarter. We look ahead with confidence and optimism.
And with that, we would like to be happy to take your questions. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mohit from Subh Labh Research. Please go ahead.
Mohit: Yes, sir. My first question is, in my opinion, numbers are very good. We are already at INR150 crores run rate per quarter. But I was wondering with the new plant kicking in production, it could have been better than INR150 crores. Could you throw some light how does quarter 4 and FY '27 overall looks in terms of ramping up the production at new plant?
Santosh Kumar Yadav: Yes. So, actually, new facility, of course, is on ramping stage. And finally, full-fledged we are going to inaugurate our new facility on 11th of March. So I also inviting all investors to come on 11th March for inauguration ceremony of our new facility. Officially, actually, earlier office was not completed, but now finally final stage. So we are going to inaugurate on 11th of March and then we will shift to our new office, new facility.

So if just I want to share some numbers in term of new, like facility billing. So last quarter, we added almost 40 plus new customer from new facility only and we did FG sales to them. So it means number of customer increasing well. And of course, sales is ramping well in this quarter currently. You will get some good numbers including new products as well as our existing products.
And also bus air conditioning also started well. So this year, what we promise we are going to achieve some, of course not good numbers, but in term of starting phase, good numbers from bus air conditioning as well.
Mohit: Okay, sir. Got it. Sir, my second question is on input cost. We are seeing increasing volatility in aluminum and copper. I am wondering how is it affecting the current order book and the current purchase order we are receiving. In terms of our gross margin, I know the order book is short cycle probably 2 to 3 months. But can it lead to one to two quarter of depressed margin for us?
Santosh Kumar Yadav: So for us, I can say we are receiving some inventory gain of course because we always keep 2 and 2.5 inventory and some 20 days or 1 month inventory under transit. So of course metal is increasing, but we can change our price after quarter only. So last we change our price from 1st of December and now we will change from 1st of April 2026.
So as a particular in case of us, we have almost 2 and 2.5 mo

nth inventory in our hand always.
So not direct impact to us, but it convert in I think gain only to us. And we change easily our Copper LME, Aluminum LME, and of course USD to INR in quarter basis. So that we are doing only with all customer.
Mohit: Oh, okay sir. That was very understanding.
Prateek: Hi Mr. Yadav. I was just wondering if I can continue with a few more questions, sir.
Santosh Kumar Yadav: Yes, yes, yes.
Prateek: Yeah. Mr. Yadav, this is Prateek this side, same team. Mr. Yadav, I was just wondering about the initial signals you have been getting from your team on our Bus AC pursuit. How has been the approval from OE customers? How is it going?
Also, in terms of you know, converting an OE from an existing supplier to KRN, how easy or difficult you are finding it because I am sure this is a new business for us, so it's there's a learning curve for you also. So if you can throw some light there?
Santosh Kumar Yadav: Yes. So in term of bus air conditioning, for us, of course, it's new product. But if you see main component of the bus air conditioning is like heat exchanger, then FRP and then tubing and of course compressor and controls.
So in term of backward integration, we are on the top stage if you compare with all Indian manufacturer, because we have our own heat exchanger and we are the best one. And then we have tubing and then we have in-house FRP. And of course control, fan and blower we have to

buy from reputed supplier, same like our competitor buying.

So you can say we can maintain the right quality and of course right cost as well. And about our experience, because our partners have almost 12 year their own experience and before that also they have experience with OEM. So they have market contacts, they have reputation, they know the product and of course they are not selling well in previous time, but now with our support of finance and our product of quality, they are able to like convey to customer.
And of course we already started one OEM in last quarter only. And as I said we added almost 40 new customer in last quarter. So I think 10 to 15 only from belongs to bus air conditioning only. And however some big OEMs we did the NDA, but supply not started yet. So hopefully within this month -- this quarter, we will able to supply with two or three big OEM as well.
But all OEMs will take time, that is I am sure. So next year because as I understood market is almost around INR1000 crores plus for bus air conditioning in Pan-India base and is growing 20% to 25% year-to-year basis. So next year we expected at least cover the 15% of market of total top line of the India market with some OEMs and as well as some body builder and some aftermarket clients.
Prateek: Understood Mr. Yadav. This is very helpful. Just a follow up on this. So I was wondering, has the supply started to any of one customer or it will take some more time in the coming quarters?
Santosh Kumar Yadav: No, no. Already started with one OEM in last quarter only and this quarter is continuing going on with same OEM.
Prateek: Got it. And this is the final customer OEM himself, not some Tier 1 or Tier 2 vendor…
Santosh Kumar Yadav: No, no. OEM. Final user.
Prateek: Final user. Okay, great. That's great. Mr. Yadav, I have few more questions. I'll join back the queue. Thanks a lot. This was very helpful.
Santosh Kumar Yadav: Thank you.
Moderator: Thank you. The next question comes from the line of Rajat G from Fortune. Please go ahead.
Rajat G: So yeah, sir, I just had one question regarding the new acquisition of the bus air conditioning system from Spear -- from Spear. So I just wanted to know what was the cost of the acquisition? And secondly, what was the... I mean you had estimated the revenue it will bring will be around INR160 crores in the next FY. So do you stand with it now? And what will be

the margin profile
for it? Yeah.
Santosh Kumar Yadav: So cost of course we cannot disclose, but it's not much. If you can maybe study from balance sheet, it will be okay. About market share, what I said, total top line is INR1000 crores, so we able to achieve 15% of course from them in next year. It's on right track. Third, margins if I talk about gross margin, so it's better than our existing product because we do complete assembly and we have backward integration in term of sheet metal, FRP and then tubing and of course heat exchanger.
Rajat G: Okay, that's great. So it will be more than 20%? That's what I wanted to know?

Santosh Kumar Yadav: Yes.
Rajat G: Yeah, perfect, perfect. Thank you. That's all from me.
Moderator: Thank you. The next question comes from the line of Manish Ostwal from Nirmal Bang Securities Private Limited. Please go ahead.
Manish Ostwal: Yes sir, thank you for the opportunity and good set of numbers and delivering the good execution on a guided strategy. Sir, my I have only one question on the working capital side. Because of the rising commodity prices, do you see stress coming up for us and what is the net working capital days as on 31st December compared to March?
Santosh Kumar Yadav: So still of course both is increasing metal pricing and still we are not like -- we receive some samples from our local manufacturer, but still we are not buying majorly. Once they settle down in term of quality and I think price structure also not good for us because as of now in case of import, we have some credit limits from them, some with LC and some without LC as well.
But domestic manufacturer, they are not open credit for us and of course I think for not all. So we are expecting they are settle down the things in term of quality and of course pricing and then payment term. So then we slowly we will start to buy from them for copper tube and as well as aluminum foil.
So then inventory will be settled down because now our inventory in term of existing business of course is same way or maybe slightly up. But other business also we have to build the

inventory for other component. So it's like bar and plate and then refrigerator component and then bus air conditioning.
So we always do like in term of inventory, we always keep some stock, we called is minimum level stock in SAP and then we work based on our forecast. So first inventory we have to build -- almost build or some maybe going to build for these new components. So if I conclude, it will be maybe after like 1 quarter or 2 quarter you will get the things once domestic will start then it will be maybe some slightly downside, but still same or slightly up.
Manish Ostwal: Okay. And sir, on average input inflation for us of raw material compared to our price hike, what has been the action during the quarter?
Santosh Kumar Yadav: For us, as I said before, we always keep 2.5 month inventory on hand and then some 20 days or 1 month under transit and then quarterly base we can able to change to our customer. So directly hit not to us, even we are receiving some gain only.
Manish Ostwal: And last one long term question because now we are hearing a lot of investment proposal in the data centers in India. Even Airtel is talking about big data centers setting up in the recently concluded call. So do you see we are going to set up one facility in the Southern region also that which you talked about in past? Can you -- I mean the increase -- has the possibility increase for that investment to come up now?

Santosh Kumar Yadav: So for data center, we always like positive because as I said before also, so even in term of data center coil manufacturing or heat exchanger manufacturing, we are on the top because data center heat exchanger size is

quite big and earlier in old facility we don't have such infra or space or you can say finance support that we can able to achieve big numbers from data center. But now we are on the leading stage because we have already new facility with big infra, big capacity.
And if I convert in like as of till quarter 3, so we achieved almost 15% of our top line from data center only. And since last 2 month, we are receiving good orders, some big orders from data center only. And of course inquiry is under pipeline. So we are hoping in next 3, 4 year, data center will be big numbers for us.
So whatever I said before also in last call, we expect at least whatever order will raise for data center particular for heat exchanger, so we will be contribute at least 50% of the total order for India market.
Manish Ostwal: So like you said 15% currently data center, it can go 40%-50% next 3 -- 2, 3 year sir?
Santosh Kumar Yadav: I think it will increase but other segment also increasing. So in term of percentage I unable to convert, but whatever order will raise we can achieve 15% of the India market. And because our other segment also parallelly going on.
So that maybe we can make some calculation or some sheet and then I can share. But I unable to convert in percentage, but however it will increase because if you last year I think we are only 7%, now it's 15%. And in coming year for sure it will increase.
But it's only heat exchanger segment because we are doing other component, complete Air Conditioning, Bar and Plate and then Refrigerator component. So on total top line what will be the percentage, I have to calculate and then I will share.
Manish Ostwal: No problem, sir. Thank you so much and for answering all my questions. Thank you very much.
Moderator: Thank you. The next question comes from the line of Meet Shah from Finance 360. Please go ahead.
Meet Shah: Thanks for the opportunity and congratulations on the great set of numbers. So sir, my first question is on overall demand, I mean in domestic and international market. Also if you have seen, last one month is full of events. We have signed -- India has signed a trade deal with European Union which is I guess the biggest markets. So what kind of demand are you expecting from this markets? Because since your export percentage is also increasing in terms of revenue, so how price competitive are we in terms of our peers like China or Vietnam? If you can throw some light on this.
Santosh Kumar Yadav: Yeah, so if I summarize your question answer. So actually what happened, we added like new geometry especially for Europe and, of course, USA markets. So, of course, because of tariffs, there was some pause because new inquiry we had, but they unable to convert in order because

of tariff. But finally USA have, of course, reduce and now final numbers on what component what will be the percentage still we don't know, but it will be the maximum 18%.

So we had one exhibition in USA last week only and it start from they announced, so that is good. So still my team is in USA and they will be at least for one month to meet our existing customer. And we have good inquiry, good RFQ from both market for USA and Europe. But finally, some we received of course from new customer some sample order and some like pilot like order. So it will be convert soon.
Secondly, our laboratory also started initially. So now we can test the heat exchanger also in our laboratory. Even last week, we did for one of our customer. So existing was it like if you can say INR100, so we able to achieve same capacity in INR90 as well. So we can save at least INR10 on same capacity of heat exchanger with change the tube diameter. From earlier, it was 7mm. Now we converted in 5mm.
So if you see USA and of course Europe, so both market we will going to target. And based on that, we built our ca

pacity or like in term of capability like number of geometry and number of tube. So both, we hoping good and number will see in coming quarters from both of the market. And what you said earlier, so I think maybe I missed -- is it okay or there's some existing?
Meet Shah: Yeah, so the question was more on how competitive are we on pricing terms? I mean my understanding is after net of tariff, we would be 15% to 20% lower than our peers like China and Vietnam.
Santosh Kumar Yadav: So in term of our peer, of course, we are not Vietnam. There is no manufacturer who can able to supply to Europe and USA market. And of course, some Chinese you can say in term of mass production, but we not targeting to as a peer to Chinese supplier. So we always target to our European supplier or USA supplier. So from them, of course, 15% was quite high, but now we can able to on same tariff of course Europe almost zero. So it is okay.
So if I compare to European supplier to my price, it will be maybe 15% to 20% less landed price. And of course, USA on same way. So if I to like conclude like target to Europe and USA with European and USA supplier, so we can able to like give to our customer 15% to 20% of value on our product.
Meet Shah: Sure sir. Got it. Sir, my next question is on the newer capacity utilization. I think for this quarter, it is around 6% kind of a number. And we have earlier guided to 20% to 25% for Q3 and Q4. So even if we are doing 20% for Q4, it comes around to INR100 crores of revenue from newer capacity. So is your guidance still intact or is there any change?
Santosh Kumar Yadav: No actually -- no the guideline is same, it's 20% we are going to achieve and it's a numbers because consol you can able to see. But actually, we are doing inter-billing, inter-company for raw material and then because some of our export customer and domestic customer we are making product in HVAC but we are supplying from KRN due to vendor code not open or like formalities of quality process is not completed.

So HVAC, we achieved till now INR100 crores plus already in last three quarter for finish goods. So, this quarter number will increase and I think guideline will same that we can able to achieve around 20% of capacity from HVAC. But this number, if you consol, I think you can able to see HVAC number is seems less but actually it's upside because of inter-billing.
Meet Shah: Okay sir. Got it. And sir, my next question is on bookkeeping. If you see the effective tax rates of this Q3 compared to the last year's Q3, it is coming around for this Q3, the effective tax rate is around 12% and for the last it was 28%. And also a follow-up question on EBITDA margins as well. For consolidated EBITDA margins, we have seen the improvement while for stand-alone, it has contracted, right? So I was thinking it should have been other way around because lots of cost are coming up, so it would drag consolidated margins and stand-alone margin would remain intact.
Santosh Kumar Yadav: So what we analysis there is the three reason. For tax, of course, the calculation of the deferred tax that's why tax rate is low. And margins EBITDA, so you can mainly two reason. One is the inventory gain and second one is the backward integration because now earlier, we buying product from outside of some like in term of header and sheet metal, but now we are 100% making in HVAC and then we are billing to KRN Heat. So that is the reason only.
Meet Shah: Okay. But sir, in stand-alone, the margin has contracted by 2.7%. So what's the reason for that?
Santosh Kumar Yadav: Stand-alone, if you see because that is including raw material on a top line. So, of course, raw material we unable to make the margins.
Meet Shah: Okay sir. Sure. Got it.
Moderator: Thank you. The next question comes from the line of Mitesh Bhandari, an Individual Investor. Pl

ease go ahead.
Mitesh Bhandari: Sir, good afternoon. My question continues in line with some of the earlier questions though I

was not able to get the exact guidance. So what will be the guidance in terms of top line and
bottom line for Q4 and at the same time next financial year? And when you say there is some
inter-billing, if you can give a little more clarity on the inter-billing that the subsidiary numbers
are also included in the guidance which is being given?
Santosh Kumar Yadav: So there is two things going on inter-billing. One is because we have some limited like LC limit in HVAC and some vendor code is not opened well, so we raw material we buying on KRN Heat Exchanger and then we billing to KRN HVAC some material what they need. Secondly, like semi-finished product like sheet metal component and header we are making in KRN HVAC and then we billing to KRN Heat. So this is the main reason of the inter-billing.
Second, guideline of the capacity utilization is remain same. So we are going to achieve around 20% of the capacity from HVAC and next year we are going to achieve around 50% from HVAC. Of course, KRN Heat almost full so there we no able to increase on capacity.
Mitesh Bhandari: So in terms of total numbers, what is the revenue which we should expect for Q4 and for next financial year, sir?

Santosh Kumar Yadav: Number, of course, I cannot share but capacity utilization I already describe, so maybe you have to calculate.
Mitesh Bhandari: Okay, okay. Fair enough, sir. And with respect to the exports, you have clarified now that the US and Europe market, etcetera, are now -- a little better position now the tariff positions are clear. But we've also been doing some export to Saudi and Middle East, etcetera. Are we seeing any growth and continuity in orders, repeat orders in that market or further penetration in the Middle East market as well?
Santosh Kumar Yadav: So Middle East market actually, we have same customer and we are supplying to them and you can see number is increasing well from UAE as well because UAE market also doing good. And even last quarter, we already declared the news we got one, almost INR20 crores single order from UAE market only. That is this quarter we are going to supply.
Mitesh Bhandari: Okay. So we further continue to tap the UAE market or our focus is going to be initially more on US and Europe?
Santosh Kumar Yadav: Actually, UAE market for us is not so big. So whatever customer we are supplying, of course, they will remain same, whatever they are increase we will enjoy. However, our main focus is on Europe and USA market.
Mitesh Bhandari: Okay. Fine, sir. Thank you.
Moderator: Thank you. The next question comes from the line of Jitesh Thakur, an investor. Please go ahead.
Jitesh Thakur: Yeah, good afternoon. Can you hear me?
Santosh Kumar Yadav: Yes, yes.
Jitesh Thakur: First of all, Mr. Yadav and team, congratulations to the management team on a strong and more importantly consistent execution. I have a larger vision to share on to just know as the company is clearly on a strong growth trajectory, good governance and strategic guidance has become very important. Could you share some insights on how you are strengthening the role and composition of independent directors for the expedited growth that we can see in the coming years?
Santosh Kumar Yadav: So, as of now, whatever we have four, of course, experts from like CS side and Finance side, so we are taking advice on the meetings from them. And coming years, we will try to add some more experts or more industry experts or you can say professionals much more we will add maybe one or two, three. So maybe next year you will able to see on our Board. So, as of now, four independent directors they have expert in two in finance, one is CS side.
Jitesh Thakur: Okay, okay. But yes, that is my strong

suggestion because as I see as you are growing on a very as per your guided trajectory, a strong and able independent directors would really help you in that effective checks and balances in the company as the company is scaling up. Thank you.
Santosh Kumar Yadav: Yeah, thank you. So we noted down your suggestion but, however, we are working on same as well.

Jitesh Thakur: Yes, please.
Moderator: Thank you. The next question comes from the line of Manan Goyal from ICICI Securities. Please go ahead.
Manan Goyal: Thank you, sir, for the opportunity. Just wanted to check like you mentioned -- hello, am I audible?

Santosh Kumar Yadav: Yeah, now you are audible.
Moderator: Yes, sir, you are.
Manan Goyal: Yeah. Thank you, sir, for the opportunity and good set of numbers. Just one question, you mentioned that you will be able to achieve capacity utilization of 20% in FY '26 and the maximum revenue peak revenue from this new capacity will be around INR2,000 crores. So if I do the math, then around INR400 crores will be coming from the new capacity, right, in FY '26?
Santosh Kumar Yadav: No, I think there is some maybe confusion because our earlier was because numbers, of course, I cannot share in detail. But our total what we said when our turnover was like INR300 crores and then 6x if you compare to. So the total capacity of the including existing and new facility is like that. And from new facility, we are going to achieve around 20%. So that is the calculation.
Manan Goyal: Okay. Understood. Got it, sir. And I see that your gross margin on a consol basis...
Santosh Kumar Yadav: Your voice is not clear. Can you loudly?
Manan Goyal: Hello? Am I audible?
Santosh Kumar Yadav: Yes, yes.
Manan Goyal: Yeah, I see that your gross margin on a consol basis has contracted by around 5% year-on-year. If you can give me the reason for this regarding.
Santosh Kumar Yadav: So, as I said before, so there is two reasons which seems to visible clearly; one is inventory gain, and second is the backward integration in term of sheet metal and header component.
Manan Goyal: Yeah, I just want to know like they are contracted -- they are contracted on a consol, on a stand-alone basis, but they have expanded on a consol basis. So the main reason is inventory gain, right?
Santosh Kumar Yadav: So consol basis, because in HVAC, we are making this backward integration and also new component like Bus Air Conditioning and Bar and Plate also from HVAC and there is our margin is slightly up compared to existing product.
Manan Goyal: Okay, got it. Thank you, sir.

Moderator: Thank you. Next question comes from the line of Mohit from Shubh Labh Research. Please go ahead.
Prateek: Hi, Mr. Yadav. Thank you for the opportunity again. This is Prateek this side.
Santosh Kumar Yadav: Yes.
Prateek: Mr. Yadav, I just wanted to understand the behavior of suppliers at this point of time, because I know you have alluded to this question earlier but just wanted to get some more sense on it. Since the volatility is so high, are the suppliers working on as and when basis or are they honoring the commitment or they are revising it very quickly? How has been the behavior of the suppliers at this point of time, particularly for aluminum and copper? And will it be possible for you to break up the bill of material, BOM, roughly how much aluminum consists of it and how much copper contains?
Santosh Kumar Yadav: So for us, of course, aluminum foil we have like you can say top of the supplier from the world, so they are reputed. So they can't do nothing. Whatever contract we have, they are honoring in well. However, in copper, there is one slightly change that earlier LME, we can book like settlement during the day, we called CSP, but now they send the l

etter to all OEM not to us that they have to charge some premium because volatility is too high and they backward I think from there buying cathode.
So they have to charge as a premium particular I think USD200. So that they want to add to us as also. But, however, as a supplier because we have for copper three to four suppliers, they are also top one in the world so they can't -- because our buying is also good so they are keeping as well. Secondly, main containment in our cost sheet is, of course, copper which contribute I think 40% to 50% based on like product and aluminum contribute 10% to 15%.
Prateek: Understood. This is very helpful. Aluminum 10% to 15%, copper is 40 to 50% of our BOM. This is very helpful. Mr. Yadav, the second thing I had in mind you know I would like to get your opinion also, this is not an ask from you at this point of time since business is evolving and graduating from here. Will it be possible going further to share some order book status or some number there, you know, what can be the execution in say next six to nine months or one year timeframe, given these are very hard coded contracts from the customers?
Santosh Kumar Yadav: I said before also because our customer is not project base, so of course slightly project base also like 1% or 2% you can say. But our order book is like rolling base. Like our main customer, they share us almost six month of their total forecast and then one month is firm order and then it's rolling.
So, of course, data center we are receiving some big orders, like single PO you can say earlier it was less number but now it's really good number of single PO. That is we are going to achieve

good numbers from data center.
Prateek: Got it. No, understandable. One small question, so talking to many capital good companies, Mr. Yadav, we get a sense that to a certain extent, few customers are also in a wait and watch position to an extent where they have kept the orders on furlough where they are just waiting and

watching because of this raw material thing and then second, the geopolitical issues also. Are we also facing any of this challenge in our business, Mr. Yadav?
Santosh Kumar Yadav: No, because our customer is not project company, like I said, of course, if data center like main company like Google, they not release the order to our customer so, of course, they will not come to us. But once they have order, so they of course sent order to us because delivery they need some time, two or three months. So maybe main customer can wait the metal maybe settle down the things, but our customer is not on the same page.
Prateek: Understood. So it might trickle down, but as of now it's not happening. If Google stops the PO or let's say puts anything on furlough, it might trickle down to us but as of now you are saying is not happening?
Santosh Kumar Yadav: Yes, for us is not happening. And of course, this price is slightly up because we work on average, so directly not hit to our customer as of now.
Prateek: Understood, very helpful. Just last question from my side, Mr. Yadav. Any new significant hire at the top management level we have done? I know we are working on it, so just wanted to get an update. Nothing more than that.
Santosh Kumar Yadav: If you see, of course, on the last call, I think before last quarter is happened so we have Export Sales President and we have one President for Food and Non-Food business for like this Dry Cooler and Ammonia business. And then three directors we added as Operation Director like in Bus Air Conditioning and earlier team was quite old. But now still some middle management or some maybe one or two top management still we are searching. So, hopefully, within this quarter also we will fill whatever is required.
Prateek: Got it. I just missed the second part after the Chief of Sales Exports, the second po

sition you
discussed about?
Santosh Kumar Yadav: There is one Sales President for Food and Non-Food business for complete product like Dry Air Cooler and Ammonia.
Prateek: Okay. You mean the chillers or the freezers which are inside the shops, etcetera?
Santosh Kumar Yadav: No, no if you see our websites, we give now -- we updated our website and there is the detail about all our products. So there you can see we added refrigeration and complete HVAC system so there is the you can detail with photographs so maybe you can study.
Prateek Desai: No, no I'll definitely go through it. Very helpful Mr. Yadav always pleasure speaking to you.
Moderator: The next question comes from the line of Vignesh Iyer from Sequent Investment.
Vignesh Iyer: So my first question is on -- so the current order book that we have, just wanted to understand with so much volatility when it comes to raw material are this orders cost plus orders where we pass on any rise in the raw material cost or how is the agreement in general with our customer?

Santosh Kumar Yadav: So our order of course not linked to material volatility because we work on average. So now we are applying like October, November and December and we able to supply January, February and March. So now our price will change from 1st of April based on this running quarter average. So same contact we have almost with all customers and they agreed on that and they are continuing with orders because they -- main customer is not project based.
They are running whatever output they have to achieve so they have to order heat exchanger of course we have to supply on the same bit. And it's not linked to they are waiting for material to settle down the things. And then they will release order to us and then we will execute because we work on average only.
Vignesh Iyer: So how do we book our raw material I mean when we get the order, do we book the raw material immediate basis when we get the order to hedge ourself?
Santosh Kumar Yadav: No, no. So actually so roughly like if I need like 300 ton copper tube in a month. So we like plan our full container load, so one container like 20 ton and then based on then size and based on that we make the container full one size or sometime two size in one container. And then weekly basis we settle down the LME.
And then we like before, we raise the order to our vendor. And then once shipment is ready or before shipment start we can book the LME based on that they apply the LME and then they

supply to us. So it's you can say like similar average way.
Vignesh Iyer: Okay. So sir it would be fair to assume right sir that there is some risk of raw material in our books when it comes to such contracts right? Because the order that we have booked and the average price would have some difference in terms of value?
Santosh Kumar Yadav: So sometime if ordered like, we not linked to our booking with order. So we like linked to whatever we has to use in three months. And then we apply to our customer this three-month average. So in term of total if you see it's link maybe some order if you link to -- we are doing on 11,000 but we booked on 13,000 but next month we will bill maybe 13,000.
And of course we buy maybe 12,000 or it can be 14,000. But quarter-to-quarter basis settle but it's not hit to because we always keep 2.6-month inventory. And of course, 20 days or maybe sometime two week or three week in under transit so it's direct not hit to us and of course not to our customer.
Vignesh Iyer: Okay sir. Sir just one more question I might have missed a commentary earlier regarding Sphere Refrigeration Systems. Sir can you tell me what is the total revenue of Sphere Refrigeration Systems and what kind of growth can we see from next year probably.
Santosh Kumar Yadav: So the Sphere Refrigeration and there was the two company they have one is

the Sphere Thermal
and one is the Sphere Refrigeration. So main business they do in Sphere Thermal but they already like had some agreement with some other guy and they already sold that company before six months with like aligned with us.

But we bought Sphere Refrigeration so they have not good numbers in Sphere Refrigeration, very less I think top line maybe INR2 crores INR3 crores only. But Sphere Thermal they did, I think INR40 crores or INR50 crores and they did this business around 12, 12 years plus. But market scenario is like that market is total almost INR1,000 crore plus in India as of now.
And growing 20% to 25% year-on-year basis. And both for electric bus air conditioning and conventional bus air conditioning. So we are making both electric bus air conditioning and conventional. And of course, this business main things is, you have to open service center PAN-India based because customer need service on immediate basis.
So we already opened four service center in like one is in Indore, one is in Noida, Delhi and Ahmedabad we are going to open. So our target is next six to seven month we will able to open at least 20 to 25 numbers service center in PAN-India based. And sorry we already hired almost 10 to 15 sales team.
And going to going to hire already hired some numbers I think 50 plus service technician but still we are going to hire. So if you can say in next six month we will have complete PAN-India base service center with technical team, service team and the sales team. So that is the main criteria of this bus air conditioning business which we are going to achieve 15% sales of top line from next year.
Vignesh Iyer: 15% sorry I missed the part?
Santosh Kumar Yadav: For top line of the bus air conditioning complete business so we are going to achieve around 15% in next year.
Vignesh Iyer: Of our total sales is what you mean?
Santosh Kumar Yadav: For total sales of bus air conditioning in India.
Vignesh Iyer: Okay and this this product primarily would be manufactured in our new facility right?
Santosh Kumar Yadav: Yes it's already started so last quarter also we did some billing and this quarter is also we are doing to billing including one OEM.
Moderator Thank you. The next question comes from the line of Aditya Sharma an Individual Investor.
Aditya Sharma: Sir considering the recent investment in the bus AC segment could you provide some guidance on its expected revenue contribution over two to three years?
Santosh Kumar Yadav: So this earlier question is the same because this coming year we are to see revenue 15% of the bus air conditioning industry total market size. And then of course there will be 30% to 40% of the growth because industry also growing on same way. And we are the new so based on our backward integration and our like quality of the product so we will be the one of the key vendor for bus air conditioning industry.
Moderator: Thank you. The next question comes from the line of Tej Patel from Niveshaay Capital.

Tej Patel: Sir just wanted to get an idea on the data center side of the business. So today if you look at the major HVAC suppliers, are we -- you know, are they customer to us maybe let's say I mean just

wanted to understand today all of the data center HVAC suppliers are they customer to us. And then when you say 15% of the revenue in this quarter came from data center is it India or is it some other country?
Santosh Kumar Yadav: So as of now major from India only. Slightly we did export also for one of our customer in Europe for data center. And so you can say main revenue in India and as of now we have almost all except one. And for one also we did like NDA and we they asked last week for bidding and we did the bidding and we have L1 position on bidding. So we are

expecting, hope we will start
from this one customer also who is in majorly in data center.
But other than one already we are supplying to all for data center. And that's why I am saying, whatever revenue will come in coming year from data center so our percentage will increase and expecting 50% of total revenue to us based on our quality and of course infra and new facility and our cost.
Tej Patel: Got it. And sir so sir when you say L1 is it project-to-project basis or then when you say you L1 so you entered the supplier list and are you the sole supplier for that HVAC system supplier or it will vary?
Santosh Kumar Yadav: No actually so they have some process to year-on-year basis whatever their total buying so they complete bid I think with more than I think 80 or 90 SKU. So they did quantity and then price and then total price comes and then we did the bidding and then based on that we L1. So now consolidation is going on for bidding. And then I think we have to supply two samples and then supply will start. So L1 means they have already existing supplier and they enter to us to as a new supplier.
Tej Patel: Okay so is it right to assume for any projects that your current HVAC supplier gets you would be the sole supplier in India?
Santosh Kumar Yadav: No. We are not like based on project-to-project but we are not sole supplier for all of course you can say some of customer we are the major supplier. So maybe 80% we and maybe 20% they are buying from our competitors some small quantity. So it's based on like project or their regular requirement they decided and then they offered the order.
Tej Patel: Got it. And sir for the 20%-30% of the suppliers who are competing with us is it all imported or is it manufactured in India by some MNC?
Santosh Kumar Yadav: In India manufacturing in India but one MNC you can say but other is Indian supplier only.
Tej Patel: Sir is it possible to name the peers?
Santosh Kumar Yadav: I think as of now unable to share however we will share yeah.
Tej Patel: And sir when you say you are receiving inquiries you know incremental inquiries from -- for the data center is it the India market or the European or the UAE markets because what we

understand UAE also pushing hard for the data center capex. So just wanted to get your view on the inquiries part of the side is it India or exports as well?
Santosh Kumar Yadav: So majorly we receiving from India only however we have inquiry from USA one of customer for data center and Europe as well. For UAE I think there is no local manufacturer there to make the data center however whatever is top 10 so almost 6 to 7 we already supplying to them. So I think if they have new facility in UAE of course we can able to supply to UAE. But as of now we didn't have inquiry from UAE for data center but we have from Europe, USA and of course majorly from domestic.
Tej Patel: Okay got it. And sir for liquid cooling do we have solutions because I think there is different kind of heat exchangers are used right? Just wanted to understand that part of the business as well because...
Santosh Kumar Yadav: So liquid cooling have like two option one is the, we called CDU and CDU have I think plate heat exchanger which we are not manufacturing. But outside is the same heat exchanger maybe chiller or dry air cooler. So for chiller we are making and of course, for dry cooler we are making heat exchanger as well we are making complete dry air cooler as well.
Tej Patel: Okay but for D2C we are not making the heat exchangers like the air one okay got it…
Santosh Kumar Yadav: CDU we are not making yes.
Moderator: Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to Mr. Santosh Kumar Yadav for closing remarks.
Santosh Kumar Yadav: So thank you all to joining. And I again -- I request to co

me to like all investor on our -- this
opening ceremony of new facility on 11th of March. So if possible please book your calendar and send the information by mail to our CS or maybe to me. So we will maybe -- the logistic part we will take care. And of course, if you need some timing we will share. And expecting same like good numbers in coming quarter including data center and of course, from export side.

So thank you, thank you to all.
Moderator: Thank you. On behalf of Dolat Capital Markets Private Limited that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: May 2026

KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
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Date: 20th May, 2026

To,
BSE Ltd
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai- 400001, Maharashtra, India

Script Code: 544263 To,
National Stock Exchange of India Limited
Exchange Plaza, C-I Block G, Bandra Kurla
Complex, Bandra (East), Mumbai-400051,
Maharashtra, India

Script Symbol: KRN

Subject: Transcript of Investors/Analysts Call held on 15th May, 2026

Dear Sir/Madam,

With reference to our letter dated 11th May, 2026 in respect of Investors/Analysts Call, held on Friday, the 15th May, 2026, please find enclosed herewith the Transcript of discussion held during the said Investors/ Analysts Call.

The aforesaid information shall also be disclosed on the website of the Company at www.krnheatexchanger.com .

Kindly take the above information on your record.

Thanking You,

For KRN Heat Exchanger and Refrigeration Limited

Jitendra Kumar Sharma
Company Secretary & Compliance officer

“KRN Heat Exchanger and Refrigeration Limited Q4 & 12-months FY26 Earnings Conference Call”

May 15, 2026

MANAGEMENT : MR. SANTOSH KUMAR YADAV – CHAIRMAN & MANAGING DIRECTOR, KRN HEAT EXCHANGER AND REFRIGERATION LIMITED
MR. PAWAN NAWAL – CHIEF FINANCIAL OFFICER, KRN

HEAT EXCHANGER AND REFRIGERATION LIMITED
MR. JITENDRA KUMAR SHARMA – COMPANY SECRETARY
& COMPLIANCE OFFICER , KRN HEAT EXCHANGER AND
REFRIGERATION LIMITED
MS. KOMAL YADAV – WHOLE-TIME DIRECTOR, KRN
HVAC PRODUCTS PRIVATE LIMITED
MODERATOR : MS. HIRAL PAREKH – DOLAT CAPITAL

KRN Heat Exchanger AND Refrigeration Limited
May 15, 2026

Moderator: Ladies and Gentlemen, Good Day and Welcome to the KRN Heat Exchanger and Refrigeration Limited Q4 & 12-months FY26 Earnings Conference Call hosted by Dolat Capital Markets Private Limited.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
I now hand the conference over to Ms. Hiral Parekh from Dolat Capital. Thank you and over to you, ma'am.
Hiral Parekh: Thank you, Shailendra. Good afternoon, ladies and gentlemen. On behalf of Dolat Capital, I am pleased to invite all of you to the Q4 FY26 Earnings Conference Call with the Management of KRN Heat Exchanger & Refrigeration Limited.
The Management is represented by Mr. Santosh Kumar Yadav – the Chairman and M.D., Mr. Pawan Nawal – the CFO, Mr. Jitendra Sharma – the Company Secretary and Ms. Komal – Whole-Time Director, KRN HVAC Private Limited.
With that, I will hand over the call to "Komal ma'am for the Opening Remarks." Over to you, Komal.
Komal Yadav: Good afternoon, everyone, and thank you for joining us.
FY26 has been an important year for us. In many ways, this is the year where the groundwork we have been putting in over the last few years has started reflecting in our numbers and overall business momentum. If I look at the year, what stands out is not just growth, but how the business is shaping up. We are seeing better traction across segments, stronger engagement with customers, and more consistency in execution.
The new HVAC facility and the commission during the year has started contributing, and while it is still in the ramp-up phase, the response from customers has been encouraging. We are also seeing our business becoming more balanced.
Earlier, a large part of our focus was on four heat exchanger products, but now we are gradually moving towards a more integrated offering.
Our presence today spans across HVAC, Data Centers, Industrial Cooling, Transport Applications, and Refrigeration. This diversification is helping us build stability in the business.

Export is another area where we are seeing steady progress. Markets like UAE and U.S. continue to do well for us, and we are also seeing initial traction coming from Europe. It is still early, but the direction is positive and gives us confidence for the coming years.
During the year, we also entered the Bus AC segment. This is a strategic move for us. It allows us to go beyond being just a component supplier and participate in system-level opportunities. We believe this will open up a meaningful growth avenue over the next few years.
On the operations side, we have stayed focused on execution, whether it is managing raw material volatility, improving efficiency, or working on backward integration. The effort has been to keep the business steady while scaling up. As the new plant stamps up further, we expect operating leverage to start playing clearly.
Coming to our "Financial Performance." For FY2026, our standalone total income grew by 57.36% year-on-year to Rs.689.95 crores, while EBITDA increased by 19.41% to Rs.84.79 crores, and net profit rose by 42.11% to Rs.71.31 crores.
On a consolidated basis, total income stood at Rs.609.81 crores, up 38.06% year-on-year, with EBITDA growing by 59.52% to Rs.112.48 crores, and net profit increasing by 44.62% to Rs.76.47 crores.
For Q4 2026 FY, standalone total income grew by 55.06% year-on-year to Rs.204.93 crores, with net profit rising by 22.69% to Rs.16.87 crores.
On the consolidated side, total income came in at Rs.181.40 crores, up 33.5% year-on-year, while EBITDA increased by 77.56% to Rs.33.55 crores, and net profit rose by 57.14% to Rs.

23.36 crores.
Overall, the environment remain supportive, with demand across sectors such as data centers, infrastructure, and mobility. With the capabilities and scale we have built, we believe we are well-positioned to capture these opportunities.

With that, we would be happy to take your questions.
Moderator: We will now begin the question-and-answer session. The first question is from Anuj Haria from Inter Globe Services. Please go ahead.
Anuj Haria: Hi. My question is more around the data center front, where a lot of the new AI data centers require a lot of liquid cooling and not a lot of air cooling. So, in the new facility that we are setting up, are there any new products that we are developing that can assist with the liquid cooling AI data centers?

Santosh Kumar Yadav: Good afternoon to all. So, basically, data center, there are two segments. One is the Audio side and another is the IDO side. So, IDO side is changing like in liquid cooling, but still I think it is early phase in India. So, outside, like as a chiller or maybe dry cooler our product still will remain the same, fin and tube type. And the other one may be possible to change in the future, like micro-channel MCHX. So, we are already working on micro-channel and by the end of this year or early next year, we will have this product in our portfolio. Other than this, IDO side, fin and tube will replace maybe to like CDU. So, there will be the plate and plate heat exchanger. So, we also started working on this heat exchanger. So, once our study will complete, so maybe we can add in coming next year in our portfolio this heat exchanger as well. So, as of now, we are receiving order of fin and tube from all our HVAC data center component in India. So, CDU is very large for this year.
Anuj Haria: Got it. My next question is on the new capacity that is coming up. In this FY27, can we expect near 70% utilization for the new capacity that is coming up?
Santosh Kumar Yadav: So, new capacity, if you see like including all products, so we call like our old facility to 6x. So, if you see all products, maybe some of you are not aware, so maybe I can repeat, so, there is new product what we added already, so one is the refrigeration side, WOT, Wire and Tube Condenser. And second one is the roll-bound evaporator, also refrigerator. Then toast-free evaporator, also belongs to refrigerator. Then skin condenser, also belongs to refrigerator. Then other one is the different type of treatment, bar and plate. And then complete product, dry air cooler. Then a complete product is ammonia evaporator. And then complete product, bus air conditioning. And also in heat exchanger, we increase our bandwidth in terms of new geometry. So, these are portfolios. So, we are expecting this year, inclusive all products and new geometry, we will achieve 50% of capacity utilization from new facility.
Anuj Haria: Got it. And then final question is around the raw materials. Basically, in the last six to nine months, there has been a huge hike in all the raw materials prices. What percentage of the cost are we able to pass on through the customers?
Santosh Kumar Yadav: So, in all color, of course, we always remain. So, our price pattern is like that, quarter-on-quarter basis, we are able to change to our customer or we have such contract, we can pass almost 100% copper LME and aluminum LME and USD-to-INR. With all three factors, we can be able to change with our customer and our price pattern or every term is like that only. So, you can say quarter-on-quarter basis, we can be able to pass 100%.
Anuj Haria: Got it. Thank you so much. That is all from my side.
Moderator: The next question is from Aditya Sharma from Holani Venture Capital Fund. Please go ahead.

Aditya Sharma: Sir, first of all, congratulations for your excelle

nt set of numbers. Sir, what is the expected revenue contribution from the bus AC business and data center business in the upcoming quarters? And what margin improvement does the management expect in bus AC segment due to backward integration?
So, in bus air conditioning, if you see like all Indian manufacturers, so we are I think on the top in terms of backward integration, including fin and tube type heat exchanger and micro channel we are going to add, then tubing side and then FRP side we have all in-house. So, you can say the backward integration we have compared to other manufacturers on the top. Last year, we achieved around Rs.10 crores from bus AC only. And this year, whatever is the market size, so we are expecting at least 15% market share. We will achieve these running points here.
Aditya Sharma: And sir, for the data center business?
Santosh Kumar Yadav: So, data center now is really growing. So, we have some good order booking, especially from data center and long lead time, like one of our customers already booked like six-to-seven months also. So, in Q4 we achieve around 18.7% from data center only. So, if you see quarter-on-quarter increase around 2.7% especially on quarter-on-quarter basis and year-on-year basis also I think it increased. So, now we have good order booking from data center. Even if I like little on the export side, so last year we achieved around Rs.100 crores export and now we have two good customers from export side also from data center. So, as of now we have order booking of almost Rs.120 crores plus for export, including data center order.
Aditya Sharma: Okay, sir. So, second question is that, could you please provide the further details regarding the export order of approximately INR55 crores received by the KRN HVAC Products Private Limited, including the geography end use industry of the customer?

Santosh Kumar Yadav: So, total order what I said last year we achieved around Rs.100 crores from export side only, and this year we are planning to achieve almost double compared to last year, including like all geographies, especially North America, Europe and UAE. And that being a confidential order, we cannot share like particular industry size or geography, but total we have opening order is Rs.120 crores, including all geographies Europe, UAE and North America.
Aditya Sharma: Sir, I am asking about the latest Rs.55 crores order received by the KRN HVAC products.
Santosh Kumar Yadav: Actually, particular that order, I think what detail we can be able to share, we already share on our stock exchange. So, beyond that we unable to share.
Aditya Sharma: Okay, sir. My last question is that, could you please provide the details of the recent QIP, including the amount raised, key investors and the proposed utilization of the proceeds?

Santosh Kumar Yadav: Can you repeat again?
Aditya Sharma: Sir, could you please provide the details of the recent QIP, including the amount raised and the proposed utilization of the proceeds and the key investors which are available?
Santosh Kumar Yadav: So, actually, we just took the board approvals up to Rs.500 crores of the QIP size and the rest information is still not concluding. So, once concluded we can share after that only.
Aditya Sharma: Okay, thank you very much, sir. Best of luck for your upcoming quarters.
Moderator: The next question is from Vishad Kabra from Holani Venture Capital Fund. Please go ahead, Mr. Vishit.
Vishad Kabra: Good afternoon, sir. First of all, I would like to congratulate for your financial year results. So, the question is, management previously mentioned that the company has benefited from anti-dumping duties imposed on Chinese products. If a favorable US-Chinese trade agreement reduces these duties or changes the competitive landscape, what precautionary strategies is the company implementing to protect marg

ins and market share? Additionally, how is the current geopolitical environment impacting your export business in terms of demand, pricing, supply chain and customer diversification?
Santosh Kumar Yadav: So, I got your second question, but first question I am unable to understand. Can you repeat the first question?
Vishad Kabra: So, basically, the question is, management previously mentioned that the company has benefited from anti-dumping duties imposed on Chinese products. If a favorable US-Chinese trade deal agreement reduces these duties or changes the competitive landscape, what precautionary strategies is the company implementing to protect margins and market share?
Santosh Kumar Yadav: So, I think I am unable to understand the full question, but maybe what I understand I can be able to reply. So, basically, we are not competing with Chinese till now because our all products is customization and special industry, because we are not in bulk and mass production. So, I think Chinese can be able to compete only if our numbers is huge and one product like catalog item. So, we are not in that industry. So, still we are competing with an European supplier and a North American supplier, and of course, we are directly supplying. So, I think this question, I think we are not competing with Chinese. So, there is no need to make a strategy on that. Second one, geographical tension. Of course, there is a continual issue on being like, especially UAE. So, in March month, we are not able to dispatch our dispatches to UAE customers, but now our dispatches already started. Our freight cost is increasing. So, we are able to take increase from our customer as well. And North America and Europe, as of now, we do not have any issues. So, we are able to dispatch easily

whatever we are providing to our customers. Other than this, of course, some slightly freight cost is increased, especially due to the container some issue or maybe vessel issue. So, that also we are able to pass on to our customer on quarter-on-quarter basis, and that is why little we increase our inventory also. That is the one reason also we are able to increase, because we have import material like copper and aluminum is a long-lead item. So, due to the tension, we increase our inventory as well.
Vishad Kabra: Got it, sir. Sir, my second question is, could you please share the utilized capacity and installed capacity of the new Neemrana plant, and what capacity utilization levels does the management expect over the upcoming quarters and in the coming years?
Santosh Kumar Yadav: So, I think this last year, KRN Heat Exchanger was be able to utilize our full capacity. And for HVAC, we are able to, I think, utilize around 15% only, but this year, we are planning to achieve 50% from new facility as well, and KRN Heat will remain same.
Vishad Kabra: Okay, sir. Thank you and wish you all the best for the upcoming quarters.
Moderator: The next question is from Sagar Tanna from Alchemie. Please go ahead, Mr. Sagar.
Sagar Tanna: Hi, Santosh, ji. We have raised a resolution to raise funds. Why are we raising these funds, what is the end use, if you can just explain this?
Santosh Kumar Yadav: Actually, objective is still not concluded. So, I think very soon we will conclude the objective and then we will let you know. Broadly, main reason will be one of the working capital.

Sagar Tanna: Okay. This is just an enabling resolution up to Rs.500 crores. We may not actually do the full Rs.500 crores fund raise. Is my understanding correct?
Santosh Kumar Yadav: Yes.
Sagar Tanna: Got it. Thank you.
Moderator: The next question is from Shashi Kant from Brighter Mind Equity Advisors. Please go ahead.
Shashi Kant: Thank you for giving me the opportunity. So, I have two questions. The first one is, how is the demand scenario panning out after IMD and climate new guidance on the m

onsoon getting erratic
this year? So, demand scenarios and inventory level in the market from our end customers?
Santosh Kumar Yadav: So, this question, I think, belong to the industry. But actually, we are not a seasonable company. So, on us, there is, of course, no impact on weather or season. But, we have as a commercial running business, so you can see our each quarter will be on like year-on-year or quarter-on-quarter basis will

be on the top. So, we have, of course, demand and we are able to utilize what we are saying 50% in this year. So, of course, you can see quarter-on-quarter basis growth will be there. So, we have good enough order booking and of course, we are working on same and you will be able to see. So, room AC side, we are not aware, of course, about inventory size. And I think this year what I heard from industry, season is not good. But still, we are waiting to improve this.
Shashi Kant: Okay. Sir, my next question is, so a lot of data centers happening in North America, approximately around size of 100 GW. So, what is the TAM for considering liquid cooling is being preferred alternative for the local market?
Santosh Kumar Yadav: So, in India, of course, everybody is talking about liquid cooling and what I have some input like AI data center, they will use liquid cooling as indoor side. And of course, outdoor side chiller or dry cooler will be there. But it is still in commercialization, maybe it has not started yet. Whatever like some piece they are using, maybe Indian manufacturers, they are importing complete CD unit and I think we are supplying. So, manufacturing not started yet. So, as of now, honestly, our customer also not so much clear, but what order they are booking is without liquid cooling till now or some maybe with liquid cooling. So, I saw and in my personal opinion, it will be I think after one year, some clarity will be there and then maybe we can be able to update you.
Shashi Kant: So, how we are looking at the export market in data centers, I mean, US is one of our prominent export markets, so how is the demand panning out for us?
Santosh Kumar Yadav: So, especially data center, we already started export to the two big customers and for three customers
we have pipeline under like development as a sample. So, we are open. I think, what I said this year we are planning to achieve almost double export compared to last year. So, that will be the one reason in this year we are able to see good demand from data center as well from export side.
Shashi Kant: Okay, sir. Thanks a lot. That is all from my side. All the best.
Moderator: The next question is from Mihir Manohar from TRUST Mutual Fund. Please go ahead.
Mihir Manohar: Hi, thanks for giving the opportunity. Sir, the numbers in the P&L are very good and a very strong growth, even EBITDA margins have also held up well on YoY basis. Just on the working capital side, sir, I know we have accumulated a lot of inventory, almost 3x versus last year, and receivables are also 1x or 2x versus last year. Some color around that, I understand that we are expecting large revenue, big ramp up next year, but how to see normalized inventory levels? And should one worry on the receivable side because there is some accumulation of receivables also?
Santosh Kumar Yadav: So, actually inventory side, of course, we are also seeing case increase. And there are some of the reasons I can maybe able to try to explain. So, first one we booked like order book from UAE. I think

one order was Rs.120 crores and additional order also. So, in March, we are almost able to dispatch like around Rs.15 crores to Rs.20 crores, but we are unable to dispatch due to that work condition. So, that material added in inventory in FG or raw material because raw material we already arranged for that. Other one

is in inventory, I think around Rs.8 crores order value, we already dispatched in March, but not able to convert it in the bill. So, that is also covered in inventory. So, that Rs.8 crores will add export in this quarter because from our side, we already dispatched in March only, but orders are not considered in sales because bill was not generated. Other one, because in new business what we added, especially WOT, roll bond, frost-free, skin condenser, bar and heat, dry air cooler, ammonia, bus air conditioning, and new geometry. So, we have to build minimum level stock for all these new businesses. So, that is the one of the reasons also inventory is there. Other one is still BIS issue is in India. So, now in this month also like 28th of May is the last day for inner groove tube. So, that maybe government will again reopen the BIS. where approval which will take two, three months. So, that also we have to build the inventory for at least one and a half month before due to

the BIS issue. Another one is the customer side pending because now new customer is going to add in new business, especially bus air conditioning. So, that is why also this amount is increasing. So, hopefully you can see an improvement in this financial year. Of course, we will now put in some net cash flow tools in our system. So, within this running financial year, you will be able to see improvement in BIS.
Mihir Manohar: Sure. Should we see dispatches and normalization of inventory days to happen in the next six months?
Santosh Kumar Yadav: Like each quarter-on-quarter basis, you will see an improvement. So, I think things may be as per norms or normalization, still I cannot comment because inner groove tube has still not started in India. Either before like six months also, we have news from manufacturing, we can be able to start including and also they are not decided yet. They are supposed to start before one year. So, still we are depending on imports and then government is also want to stop the import due to this BIS tool. So, still, I think minimum it will take six months to normalize the thing. So, quarter-on-quarter basis, we will update.
Mihir Manohar: Sure. Understood. Yes. That is it from my side. Thank you.
Moderator: The next question is from Vignesh Iyer from Sequent Investments. Please go ahead.
Vignesh Iyer: Thank you for the opportunity. So, I heard you earlier when you said that we can pass on the cost escalation on the raw material side or be it on other freight side to our customers. If I understood it right, there would be a quarter-on-quarter lag before the price is passed on, so for the first quarter, we have to take the hit on our books, right?
Santosh Kumar Yadav: Yes. On quarter-on-quarter basis, also you can see it has not increased. Like of course, in the last six months, there is some issue because sometimes increased sharply and then also sometimes decreased,

but however, our pattern is like that. Last quarter average of that, our cost pattern now on RM seed also. We call it raw material seed. So, we have one separate table that belongs to LME for copper like three months and then LME for aluminum and then USD-to-INR. And same seed, we have some other add also like including logistic cost, including freight cost. So, that is the full transplant seed with customer and once it is like changed, so we always are able to pass on to our customers.
Vignesh Iyer: Okay. But what is the usual number of days of inventory that we maintain, months or days, anything would do?
Santosh Kumar Yadav: Now it is around two and a half months I think.
Vignesh Iyer: Okay. And sir, when it comes to execution, I heard that you are trying to achieve 50% of utilization for the new plant in FY27 in addition to our old plant, right? And so what would be the number look like for '28 and '29 in terms of utilization?
Santosh Kumar Yadav: So, t

his year our old facility is fully utilized and new facility this year we are able to achieve 50% and next year 80%.
Vignesh Iyer: Okay. And what would the margins look like for '27 and '28?
Santosh Kumar Yadav: So, margin, what is currently you see we can be able to increase because in earlier calls also I told you we will have two incentives. One is the central government's PLI. So, we are able to receive this year 5% from PLI, particular on heat exchanger production. And very soon we will have RIFS approval as well, maybe within this month can be possible. So, that we have approval from state government for RIFS approval. Then we can have for next 10 years, we can have at least 1.56% of the top line for a new facility. And other than this, our export this year we are able to I think achieve around double compared to last year. So, we will have some good margin compared to domestic in export. And other than this, we will be able to save some money from solar, like electricity as well, because we have now plant is fully operational and we have installed our solar facility. So, if I club all these things, so of course, we can be able to slightly increase. On other side, we will have depreciation is quite high and overhead is now increasing.
Vignesh Iyer: Okay, sir. Got it, sir. Thank you for your detailed answer. I will get back in the queue.
Moderator: The next question is from Heta Vora from Monarch AIF. Please go ahead.
Heta Vora: Good afternoon, sir. Congratulations on amazing set of numbers. Sir, I wanted to understand from our Q4 revenue, what percentage is from products other than fin and tube?

Santosh Kumar Yadav: So, honestly, that number we are not prepared, I do not have the data. So, if you maybe can enter in queue, as meanwhile, our CFO is collecting that answer, so we will answer the next time.
Heta Vora: Sure. So, we were considering entering railways and marine segments as well. We were trying to get tenders in those segments. Is there any progress in that side?
Santosh Kumar Yadav: For railways, now we are feasible for this bar and plate heat exchanger. So, there is a process of including six-month field trial. So, now we are approved by railways including six months field trial. So, now whatever tender is coming, so we are participating on the same. Even last week also we participated in three tenders and in all three we are on L1. So, I think this week we will be able to receive orders from railways. So, bar and plate, we already entered. Other than this, we are supplying

fin and tube only for a marine application. But complete HVAC system for Indian railways, we will enter. So, that procedure is, I think, from now is almost eight months. So, we already hired the team and I think team will join soon. So, once they will join particularly in that business, we will start the things for documentation and plant approval. So, it will take at least from now six to eight months. And then once we are approved by railways, then we can start the business. So, this financial year, I think we will not have much expectation from this business, but next year for sure we will have some numbers. Now we have now also 95% from fin and tube and 5% from other business only.

Heta Vora: Okay. Understood. All right. Thank you.

Moderator: The next question is from Ajay Surya from Niveshaay. Please go ahead.

Ajay Surya: Thanks for the opportunity. So, I wanted to understand first thing on the customer concentration on the data center business because on the commercial AC, I guess one of the large OEMs contributes significant portion of the revenue. So, if you can maybe help us understand the customer concentration on the data center segment, who are the top customers and how are they contributing in percentage terms? And second thing regarding the recent onboarding of new data center customers, like, I mean, leaders like

maybe Vertiv, so how are we on the approval process with these major thermal management players like Vertiv or any other player? And with such players like already onboarded like Schneider and Klimavidak and Shell, so are we also plugging into their localized Indian operation or is it just like we have to supply the cooling components to their global supply chain?

Santosh Kumar Yadav: For data center, we are only supplying like fin and tube heat exchanger. Also if customer needs like subassembly as well, maybe with sheet metal that also we are able to supply. So, with some of the customers we are supplying. So, to your first question, I can see in top-10 customers, in the last financial year we have three from data center only. And whoever making that maybe component for the data center, so almost all customers are our customers, we are able to supply to all. Still like Vertiv, we now have vendor code open. Our quality audit already happened and now we are approved

by their QA system. But maybe billing will need to start. So, in coming weeks or coming months, we can be able to supply to Vertiv as well. Other than this, whatever customers like top five customers for data center, so we are supplying to all in India. And on export side also one customer we have from Europe and two or three customers from North America. So, to one customer already we started supplying to North America as well. So, this year, I think number for sure will like multifold especially for data center business. So, we have good RFQs and some order booking is also very good from data center customers.

Ajay Surya: Understood. And sir the next question is like basically we are targeting a significant ramp up of the new facility. So, if you can maybe help us understand like obviously our commercial AC, we have a good share of revenue, but the incremental revenue which is going to drive, so maybe if you can help us understand that like how much will data center contribute, how much will bus AC contribute and also the railways one? And also similarly in between those segments how much will be export and domestic?

Santosh Kumar Yadav: So, in new facility you see we have almost eight to nine new products other than fin and tube type. So, this business already started now in billing. Too many OEMs including domestic some other OEMs. So, that is the main reason we will have revenue from the new products as well as from fin and tube for existing customer growth and also new customer growth. Of course, in fin and tube especially we will be expecting I think more than 80% or 90% growth especially from data center only. So, like I can be able to maybe new products including complete bus air conditioning and then existing customer growth and plus new customer growth, and of course export what I said we are going to achieve almost double within this year.

Ajay Surya: I understand sir. That is it. Thank you.

Moderator: The next question is from Kamlesh Bagmar from Lotus Asset Managers. Please go ahead Mr. Kamlesh.

Kamlesh Bagmar: Thanks for the opportunity. So, that revenue target of like say Rs.2,250 crores to Rs.2,850 crores, are we targeting this by like say FY28 or it may perform in FY29 as well? And secondly on the working capital side like say I believe that at Rs.2,250 crores at the lower range of the revenue, we would be requiring roughly around Rs.600 crores of working capital. And I believe that given the fact that we are targeting such a huge growth and based on your numbers like say at Rs.2,250 crores revenue we may be generating roughly around Rs.350 crores of cash profit by the time we achieve that particular revenue target. So, is there really a requirement of like say to raise the money through equity because given our capacity which is already commissioned up and running and we are targeting such a huge growth and we can literally manage it th

rough our own internal resources, so why capital raise is on the card?

Santosh Kumar Yadav: Actually, of course, you see, the growth is quite fast, and of course we already invested the money. So, if you see I think our balance sheet what we received from IPO but we invested more than receipt of the IPO in current facility, and now we will have some maybe shortage particularly on working capital side. So, that is why we decided in our board we can maybe have some money through IPO especially for working capital but other objective also is under consideration. So, that is still not concluded yet. In coming weeks we will be able to answer on that question also. You are also right, we can have through bank also, but that is completely a decision by the board only. So, we can consider your suggestion also so we can see what will happen.
Kamlesh Bagmar: Lastly, our entire CAPEX is now over, so the capacity like the 6x existing capacity so all that is done now nothing left on the CAPEX side.
Santosh Kumar Yadav: No, like capacity we have already done by building land or building and office and everything is ready like utilization we are ready but to make like line balancing so slightly we have to invest on existing facility also, because we plan in such a way utility side we completed, building side completed, because growth especially to the industry we cannot imagine what will happen because once we like design our facility before two years, at that time we do not know data center will grow such way. So, data center geometry and our existing geometry have some slight difference. So, once our existing capacity with full particularly geometry belongs to data center then we have to another one also. So, small investment will be there, but not huge on existing facility.
Kamlesh Bagmar: For the next two years, how much CAPEX we are planning sir?
Santosh Kumar Yadav: So, still like paper is not in front of me, but roughly you can say I think maybe Rs.30 crores to Rs.40 crores will be there.
Kamlesh Bagmar: In next year or a year later?
Santosh Kumar Yadav: Yes, particularly on the existing facility.
Kamlesh Bagmar: Okay. And that will help us to achieve our revenue target of Rs.2,250 crores to Rs.2,850 crores.
Santosh Kumar Yadav: So, that number of course I cannot answer, but capacity what I said 50% and 80% we will able to achieve for sure.
Kamlesh Bagmar: Okay, sure. Great sir. Thanks a lot sir.
Moderator: The next question is from Prateek Giri from Subh Labh Research. Please go ahead.

Prateek Giri: Hi Yadav ji, greetings. Yadav ji, first question is on the execution this quarter. I just try to explain where I am coming from because we probably commissioned this new facility in May of last year. We already had around good two quarters for this to ramp up. So, I was expecting a substantially better numbers this quarter from Q3 of '26, whereas incrementally we have hardly done around Rs.15-16 crores. So, is this understanding correct that the ramp up is happening but it is happening at a very slow pace for the new facility? That is the first question, Yadav ji.
Santosh Kumar Yadav: Yes, so actually what happened we started commissioning of production in May 2025, you are right, but like facility was not fully commissioned in terms of like our office not ready and some construction is going on parallelly. So, we started what we can start. So, we inaugurated this facility on 11th of March only. This is like before two months only. So, now we shifted last week only to a new facility. So, now you can check now it is fully commissioned and ready. Other than this, because in a new facility we added almost eight new products. So, for eight new products there is a procedure for customer approval side. So, first we have to approach the customer for our plant visit th

en their
QMS audit, then sample approval. So, that process is almost now completed. Even in bar and plate detection there is a process of the eight months by Indian railways for approval. So, that also we completed in February only. So, now you can see in the coming quarters what is your like question you will have by default answer from our side quarter-on-quarter basis, now capacity utilization will be much faster compared to last three quarters or two quarters.
Prateek Giri: Got it. And Yadav ji, we are already on 15th of May now. So, last 45-days the way ramp up has happened, that also gives you confidence that probably Q1, Q2, Q3 of '27 will be substantially better directionally I am asking?
Santosh Kumar Yadav: Yes, even I can say next eight quarters will be highest ever. So, this quarter also will be average but number I cannot disclose.
Prateek Giri: No, certainly, Yadav ji. One thing in the presentation I could notice that you are quite confident of achieving Rs.150 crores revenue from bus AC segment. So, I was just wondering is this confidence backed by order book or we are still convincing OEMs to place orders with us? Do you already have Rs.150 crores order book?
Santosh Kumar Yadav: We already cracked the two, three OEMs and our regular supply has already started and we are in line on 15% of the market utilization.
Prateek Giri: Great, that is very encouraging. So, that is the confidence of Rs.150 crores which we have written in the presentation. My last question Yadav ji, you know I am sure a lot of people have asked you about the fundraise but fundraise in India have increased manifold in the last few quarters and what it leads

to is depressed return ratios for some time, sometimes troubles the shareholders return and I am sure your team must have given you the calculation. So, this was just a suggestion that if it happens a little

late after the ramp up is running all blaze, that will help us a lot in absorbing the incremental capital on the balance sheet as a equity shareholder. But I am sure whatever decision you will take will be certainly in full interest of the minority shareholders, that is I am certain. So, that was a small suggestion. So, our inventory has gone up substantially this quarter. I understand we are in ramping up phase. Was there a unbilled revenue also I mean because of this geopolitical uncertainties, any shipment issues, etc., that is why inventory has gone up or we have stocked up the raw materials for faster execution?

Santosh Kumar Yadav: So, to your first question answer of course is whatever decision we will take of course is must be in the interest of the shareholders for sure, we will consider that. And to your second question, there are multiple reasons but one of the reasons is this war is also like whatever crisis going on. So, actually if you see we declared one UAE order I think Rs.120 crores for the last quarter only. So, that is actually we are having some material but somehow in March dispatch has not happened. So, we will have raw material including finished goods in our stock around worth of Rs.15 crores to Rs.20 crores. And second one, in March last week we export around Rs.8 crores of the value of export, but is not considered in balance sheet due to the bill is not generated, so that is also considered in inventory. And third one is of course we have to increase a minimum level stock of the four new businesses. So, now we have eight new businesses, so that is also we have to build the inventory. Other one in the last quarter we have to slightly need to up the inventory because RSC season is going on particularly in that quarter and our vendors delivery time goes up compared to the last two quarters. So, that is why slightly on a safer side we increased. And of course one is the reason BIS notification also from government. The last date is 20th of May. So, we

have to bill inventory before that only.

So, there is some reason. Of course, we feel inventory is quite high but in the coming quarters or maybe maximum from now to the three quarters you can able to see it under control.

Prateek Giri: Understood. So, you are saying around finished goods is lying in this inventory number, Rs.25 to Rs.30 crores?

Santosh Kumar Yadav: Rs.8 crores we already dispatched, but of course they consider in inventory, and of course now for this UAE order we not converted completely in FG. So, you can say half is raw material and half is as finished goods. In this month UAE dispatch has already started, so now you can see good things in this running quarter.

Prateek Giri: Got it. Very helpful, Yadav ji. Thanks a lot for the opportunity. And I am sure any capital allocation decision will always happen in our interest. Good luck.

Moderator: The next question is from Tej Patel from Niveshaay. Please go ahead.

Tej Patel: Thank you so much for the opportunity, sir. I think can you provide the data center revenue share in this financial year?

Santosh Kumar Yadav: So, complete fines layer we have around 16% of revenue from data center.

Tej Patel: Okay. Got it. And then I get it you have a rolling order book so probably you do not really provide the order book number but since the lead time for data center are high is what you were saying. I am sure there will be some order book in the data center which we would be having right now. So, is it possible to provide that number, what is our outstanding order book for data center right now?

Santosh Kumar Yadav: So, we have not divided in total order booking in the data center especially because in a data center Indian customers are running customers, so they just give one month firm order and then it is the rolling. But on the export side we have total order booking is around Rs.120 crores including data center order.

Tej Patel: Perfect. And 16% revenue which you were speaking of it is majorly from exports, right, the data center?

Santosh Kumar Yadav: This is domestic and export, both.

Tej Patel: Okay. Got it. And it is the same two customers both in domestic and export?

Santosh Kumar Yadav: No, really in domestic we can say our biggest is the Schneider Electric but the other customer I cannot disclose.

Tej Patel: Okay. And so you were saying we are in talks with Vertiv as well. I am just trying to understand now where can we get the final approval from them and when can we start seeing the dispatch?

Santosh Kumar Yadav: We have approvals now from Vertiv because the QMS audit is also completed and we have results, so we passed in first-go only. So, we are preparing the drawings for customer approval. So, once they approve maybe in a coming week then we will have like supply to proto to them. They will have proto approval and then mass production will start. So, in this coming month I think it will start.

Tej Patel: Great. And sir, you said almost incremental growth synergy would come from major data center,

right? I am just trying to understand what portion of revenue probably would data center be in the next financial year?
Santosh Kumar Yadav: So, I think we have around 19% from data center. So, you can see I think quarter-on-quarter basis for sure it will increase, but total percentage I am unable to convert now. So, maybe we will have to calculate and then we will let you know.

Tej Patel: Okay. And sir are we the sole supplier or are we replacing any customer for work or let us say in Schneider for India business are we the sole supplier or probably we are a second supplier or one of the multiple suppliers?
Santosh Kumar Yadav: No, like our existing customer we have major share, but I think each customer now is almost more than 80% or 90%, so that is we are receiving at the same

pace for our fin and tube exchanger. Earlier
we were not supplying so now we are adding new one. And of course export also, we added three new customers from data center only. So, exports you can say we maybe as a replacement or maybe a second vendor. And for India Vertiv we will enter as a second or third vendor, but last year we had 20%, this year maybe we will have number of share percentage increase and their growth is also there so if you club all.
Tej Patel: Understood. And sir for data center export business is it USA majorly or which geography?
Santosh Kumar Yadav: So, we are exporting to both Europe and North America.
Tej Patel: I mean equally I am just trying to understand, is it like more of Europe or I mean of course –
Santosh Kumar Yadav: North America is more and Europe is less.
Tej Patel: Got it. So, when you say 50% utilization, of course if demand is so good, I am just trying to understand why not more than 50%, is like working capital constraint or is it like a general nature of the business or anything of that it takes time, I am just trying to understand why cannot we not go above 50% if demand is so good, I get working capital comes with it, I am just trying to get your view on this?
Santosh Kumar Yadav: No, 50% means including all products and all geometry. So, like in a refrigerator component we have five to six, so there is a different industry. So, now we have already two, three OEM on board and we are already able to start supply with them, but now we have to add another customer also like big OEM. So, that is why this capacity will increase maybe in one or two years. Other than this bar and plate also now we are recently approved by Indian railways. So, for this year of course we will participate in all tenders and we will have business so also that will take to increase business or a new customer also as well. This new business dry air cooler and ammonia also we will have to add new customers or new business. Bus air conditioning also same way. So, this year we have to open service center Pan-India base, we have to onboard all OEMs, so it will take time approvals and of course to stream the supply chain. And for fin geometry especially for our existing customer or data center of course we can may be able to utilize 80% or 90% of the utilization but we will have total 20 geometry. So, all geometry we do not have such order. We can maybe convert immediately on the same year. So, we have to develop new customer based on our new geometry or geography. So, that is the odd reason if we equal up so then we can say in total we can be able to achieve 50%.

Tej Patel: Okay, understood. Sir, just wanted to get your viewpoint, in terms of gross margin, can we expect it to improve because at this scale are we getting an advantage in terms of sourcing, in terms of let us say lower copper prices or something like that?
Santosh Kumar Yadav: Of course, slight improvement will be there, but honestly in the last two, three weeks in this copper and aluminum silver price is beyond the expectation because they sharply increase. Of course if market has settled down, then for sure we will have some benefit on like our volume will increase and we of course we can be able to negotiate with our vendors in terms of payment terms or margins.
Moderator: Ladies and gentlemen we will take this as our last question. I now hand the conference over to management for closing comments.
Santosh Kumar Yadav: So, thank you all for joining the call and I think we hopefully be able to answer your questions on the nice way but still if somebody have some questions pending maybe you can write to our CA and we can able to answer. And of course what I said is utilize our capacity there maybe still gap is there, but this year for sure quarter-on-quarter is what you will see in numbers which will be really encouraging, and we will ac

hieve what we said. So, really thanks for joining the call.
Moderator: On behalf of the Dolat Capital that concludes this conference. Thank you for joining us and you may now disconnect your lines.